Granules India Ltd. (GRANULES)

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Call: May 2023

REGISTERED OFFICE
GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad - 500 081, Telangana, India.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLCO12471
Date: May 22,2023
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482
Dear Sir,
Sub: Transcript of the Earnings Conference call for Q4 and financial year ended on March 31,2023.
Ref: Our letter dated 24.04.2023 for intimation of the schedule of the Earnings Conference call for the Q4 and financial year ended on March 31, 2023.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for the Q4 and financial year ended on March 31, 2023 has been enclosed herewith and uploaded on the website of the Company at the below-mentioned link:
https://granulesindia.cony/investors/investor-resources/earnings-call-transcripts/
This is for your kind information and records.
For GRANULES INDIA LIMITED
CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

"Granules India L imited
Q4 FY '23 Earnings Conference Call"
May 16, 202 3

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND MANAGING DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR , GPI AND G USA
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER – GRANULES INDIA LIMITED
MR. PUNEET VARSHNEY – GENERAL MANAGER , BUSINESS FINANCE AND INVESTOR RELATION S – GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q4 and FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Irfan Raeen fro m Orient Capital. Thank you, and over to you, sir.

Irfan Raeen : Thank you. Good evening, everyone. Myself Irfan Raeen from Orient Capital. We are an investor relation advisor to the company. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q4 and FY '23 financial discussion call. Today on our call we have Dr. Krishna Prasad sir, Chairman and Managing Director , Dr. KVS Ram Rao sir, Joint Managing Director and Chief Executive Officer , Ms. Priyanka ma'am, Executive Direc tor GPI & GUSA, Mr. Mukesh Surana sir, Chief Financial Officer , Mr. Puneet, Head Investor Relation & GM Business Finance.

I hope everyone had an opportunity to go through o ur investor deck and press release that we have uploaded on exchanges and on company 's website. I would like to give a short disclaimer before we start the call. This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guara ntee of our future performance and involve unf oreseen risk and uncertainties.

With this, I hand over the call to CMD sir. Over to you, sir. Thank you.

Krishna Chigurupati: Thank you, Irfan. Ladies and gentlemen, a very good evening to all of you. And thank you very much for attending our Q4 earnings call today. A detailed presentation of our Q4 and FY '23 performance ha s been uploaded to our website, and I'm sure all of you w ould've gone through it by now.

Our full year performance had significantly improved year -on-year. Revenue for FY '23 grew by 20% and PAT grew by 25% compared to FY '22. It had declined slightly compared to the sequential quarter. This was despite the continued price erosion in the US markets and the problems in our distribution due to our 3PL provider. The problems with the 3PL had caused missed shipments, resulting in lost revenue and failure to supply penalties. We have now switched over to a new 3PL provider and the transition would be complete by the end of this month, that is May '23.

I'm very happy to state that FY '23 was a great year in terms of operational cash flow. Due to various measures that we had initiated, we generated an operational cash flow of INR739 crores, which is a very healthy sign. Despite the buyback, which we had this year where the company -- where the cost to the company were INR311 crores and an un -budget ed capex of INR92 crores for our new initiatives in green technology , our net debt had increased only by INR71 crores as compared to FY ' 22.

During this year, we commercialized our new packaging facility in Virginia, US and also received FDA approval. This facility will help us immensely on the OTC side, which is having a healthy growth and also the Rx side for our US -manufactured products. This will also help us improve our working capital cycle.

We have successfully introduced paracetamol and metformin formulations in selected European countries, with plans to expand our presence to additional countries and geographies. Currently our parac etamol formulation are sold in Hungary, Ireland, Germany and the UK. Paracetamol and metformin formulations. Our aim is to expand to the entire continent with these formulations in the coming years. With a s

trong market share for these products, we are tar geting a substantial portion of the global market. As we continue to launch new products both within our core portfolio and in new areas, we anticipate the EU region to contribute significantly to our overall performance.

I would now like to share details about the most important project that Granules had taken up, which aims to tackle climate change while simultaneously enhancing our supply chain. As you know, we have partnered with Greenko to establish the integrated green pharmaceutical zone in Kakinada, Andhra Pradesh. To support this endeavour , we have established a fully owned subsidiary of Granules India Limited called Granule s CZRO, which is carbon zero. The primary focus of this company is to manufacture products with near -zero carbon footprint. We have made significant progress in developing various technologies for this purpose, and we are also partnering with renowned European ac ademic institutions and European companies.

The initial objective of Granules C ZRO will be to strengthen our key molecules , paracetamol and metformin. We will be producing not only the KSMs for these products here, but most of the chemicals to make the KSM s at this site only, which will also make the API close to zero -carbon footprint. After achieving this, we'll be working on various other initiatives towards manufacturing KSMs for most of our APIs and some products based on fermentation.

At this point, ladies and gentlemen, I would like to emphasize, and we all feel proud of this, is that Granules India will be the only company in the world to make any API starting from the base raw materials, making of base chemicals ourselves starting fr om ammonia and hydrogen. This will be like a dream project, and we are all working effortlessly towards this.

We expect the capex towards this initiative, to be INR2,000 crores over the next five years. In

FY '23, we had invested INR100 crores in CZ RO towa rds land and in FY '24 , we plan to invest INR250 crores. Of the INR250 crores, INR100 crores will be used for land and civil works and INR150 crores will be used to set up a pilot plan t for validations of two KSMs and a commercial plant for one of the KSMs. Granules will ramp -up the facility in a phased and stage gate manner, starting with pilot scale validation s, and after successful completion of the pilot, invest in full at-scale commercial manufacturing. We expect that we should be able to commercia lly manufacture all the raw materials required for paracetamol and metformin by the end of FY '25 or early FY '26.

For funding of C ZRO over the next five years, Granules is in a very comfortable position with its anticipated free cash flow. However, we hav e been receiving keen interest from various

global institutions to participate in C ZRO towards equity and debt at concessional pricing. We will evaluate and consider this at the appropriate time in the future. While we are excited and progressing at a fast pace in CZRO, business at GIL is progressing decently. This year we'll be filing DMFs and ANDAs for exciting and potential products. We also expect approvals of already filed products and expect the new investment in MUPS, in the new MUPS block to reach an asset turn of two, which should improve going forward. Construction of the new formulation facility at Genome Valley is progressing at a good pace and we expect Phase 1 to be completed by October '23 and Phase 2 by May '24.

The plan ned capital outlay in FY '24 for two phases will be in the range of INR250 crores. This plant when completed will add a capacity of 8 billion units finished dosages to the current 24 billion units.

With this, ladies and gentlemen, I pass on the mic to Dr. KVS Ram Rao, our Joint Managing Director.

Kandiraju Rao : Thank you, Chairman, and good evening, ladies and gentlemen . F

or the past one year we have
been focused on building our R&D and product development capabilities based on innovation and technology platforms. These initiatives aim to position Granules as an R&D -driven organization thus broadening our capabilities, enhancing portfolio quality and increasing regulatory filings . In line with this strategy, R&D expenditure has been ramped -up significantly, starting with quarter 4 of FY '23. During FY '23 we filed seven DMFs, six ANDAs, 5 CEPs, and other dossiers across Europe and rest of t he world. We have made significant progress in the development of KPIs and formulations, and we expect to file a very high number of DMFs and ANDAs in FY '24. We'll also be expanding our filings of both API and formulation dossier s to Europe and rest of th e world.

We have made very good progress on our enzyme and bio transformation driven product development. We are expecting to complete the validation for a couple of enzyme -driven APIs over the next few quarters. In line with this strategy, our R&D expendit ure is going to increase every quarter of the current financial year.

We are all aware of the pricing pressures in the generic business, primarily in the US and in some other geographies as well. We have embarked upon a very important initiative across th e organization on improving the profitability.

The areas being focused are the gross margin improvements in API and formulation manufacturing, operations excellence leading to higher productivity, excellence in sourcing procurement and logistics. These efforts have shown initial results and hold the promise of potentially expanding our margin profile from Q2 FY '24 onward s in a sustainable manner. We are institutional izing this approach as a way of continuously improving our profitabilit y through multiple value engineering projects. The improved margin from our core business allow us to invest in our future growth drivers and fuel innovation -driven R&D projects.

We have seen a lot of inefficiencies in 3PL operations in the US, which has r esulted in supply disruptions and FTS penalties. We have proactively addressed these issues by changing the 3PL

in the short term. We have commissioned our new greenfield packaging facility at Virginia. The addition of this FDA -approved facility will enabl e us to streamline our supply chain in the US, reduce costs and improve our working capital cycle. While this facility is partially operational in quarter 1, the full commercialization is expected in September of this year.

We have entered a new year with a good traction of our paracetamol business in the US and other geographies. We are ramping -up our paracetamol capacity to meet the increased demand.

Our US business will also be bolstered by exciting new product launches planned for this year.
We continu e to expand our Europe presence through business development deals and dossier sales on our finished formulations. Our growth for the rest of the world will be driven by improved market share and improved share of wallet .
The Chairman spoke about sustaina bility and our subsidiary Granules C ZRO . On the Granules India Limited side, we have made good progress in institutionalizing ESG as a way of doing business for us. We are currently developing a comprehensive long -term sustainability and ESG road map for G ranules. We have already completed stakeholder engagement, benchmarking and materiality assessment. We will soon be announcing our long -term and medium -term decarbonization commitments to our stakeholders.
I pass on the mic to Mukesh for the finance.
Mukesh Surana : Thank you, Chairman, and thank you, JMD. Let me take you all through the top financial parameters now.
Revenue : Fourth quarter revenue were INR11,955 million as compared to INR10,300 million in quarter 4 financial year '22 at a gro

wth of 16%. This growth is mainly attributed to our
increased commercialization efforts in all major geographies, including US and Europe.
Revenues grew by 4% as compared to Q3 FY '23, primarily on account of increased FD sales in key geographies, includi ng US.
The full year FY '23 revenue were INR45,119 million as compared to INR37,649 million in F '22 at a growth of 20%. This growth is mainly attributed to increased API and FD sales in key geographies, including US and Europe.
The sales breakup as per business divisions, geographic regions and major products is presented in our investor presentation, which is available on the website.
Value added : Our value added as a percentage of sales for Q4 FY '23 was 47.8% as compared to 48.9% in Q4 FY '22. Value -added as compared to Q4 FY '22 is down by 1.1%, primarily on account of higher sales mix of API and price erosion in key geographies.
Value added as a percentage of sales for Q4 FY '23 is down by 0.5 % points from Q3 FY '23, primarily on account of price er osion in major geogr aphies including USA.

Our value -added as a percentage of sales for FY '23 was 48.9% as compa red to 50% in FY '22.
Value -added as compared to FY '22 is down by 1.1 percentage points, primarily on account of higher sales mix of API and p rice erosion in major geographies, including US.
EBITDA and EBITDA margin : EBITDA for the quarter was INR2,281 million. That is 19.1% of sales as compared to INR1,927 million. That is 18.7% of sales in Q4 FY '22 , a growth of 18% over the previous year mainly on account of increased business across all major geographies.
EBITDA for the year was INR9,138 million as compared to INR7,222 million . From 20.3% of Sales - it has moved from 19.2% of sales to 20.3% of sales, a EBITDA growth of 27% over the previous year, mainly on account of increased business across all major geographies.
R&D : Our R&D spend was, for the quarter was INR369 million as compared to INR229 million in Q3 FY '24 and INR339 million in Q4 FY '22. R&D spend for the year was INR1,164 million.
And we are going to continue to spend on R&D in the coming quarters as well, as explained by our JMD.
Net debt : Our net debt was INR7,671 million as compared to INR6,966 million at the beginning of the year. The net debt has increased only by INR705 million despite two major spends, which is explained by our chairman also. Buyback of shares, including taxes and transaction cost of INR3,106 million and deployment of f unds of about INR925 million in our new green initiatives expansion plans.
Cash -to-cash cycle : Our cash -to-cash cycle was 132 days in the current quarter as compared to 130 days at the beginning of the year.
Operational cash flow : Operational cash flow fo r the quarter was INR1,794 million and for the year was INR7,387 million as compared to INR3,321 million in FY '22. Higher operating profit s and a focus on working capital management contributed to the higher operating cash flow as compared to the previous year.
Capex spend during the quarter was INR407 million and during the year was INR4,105 million.
ROC E: We have refined our ROC E calculation by incorporating short -term borrowings in addition to long -term borrowings in the denominator to make it in line with general reporting standards. As per the revised calculation, ROC E for FY '23 increased to 21.1% as compared to 19.3% in FY '2 2.
With this, I open the floor for questions.
Moderator: Thank you. The first question is from the line of Harith Ahamed from Av endus Spark. Please go ahead.

Harith Ahamed : My first question is on our Gagillapur facility where we had a U.S. FDA inspection in Jan this
year. And I think you had disclosed a couple of observations in -- post that inspection. So, I
would like to know if there is a final classification from the U.S. FDA for that inspection a

nd
whether we've received any approvals from the facilit y for the inspection.

Kandiraju Rao : So, the U.S. FDA inspection which has happened is per -- is a pre -approval inspection for 2
products. They have given 6 observations, and we have already replied to those observations,
and we are waiting for the reply from U.S. FDA for the approval of those p roducts.
Harith Ahamed : Okay. Understood. Sir, in your opening remarks you touched on attaining a asset turnover of 2x
for the MUPS block next year. So, can you indicate the kind of revenues or asset turns currently
for the facility for FY '23? And also, i f you could remind us again about the total investment
that's gone into this particular MUPS block.
Krishna Chigurupati: I think Mukesh will answer that.
Mukesh Surana: Thanks, Harit, for that question. So, in the current year we are closing close to one a sset turn and
that we are expecting it to closer to two in the next coming years.
Harith Ahamed : And then the gross block would be around what amount?
Mukesh Surana : INR245 crores is the gross block for MUPS block.
Harith Ahamed : Okay. And then last one wi th your permission. You mentioned capex of INR250 crores for the
Granules C ZRO initiative for FY '24. Can you also give us a guidance on the total capex ,
including this for the year FY '24 and if possible, for FY '25, the overall capex .
Mukesh Surana : Yes, sure. So, FY '24, as we were explaining, INR250 crores, we are expecting for C ZRO .
Another INR250 crores we are expecting for Granules Life Science, which is additional FD
business facility. And regular capex for rest of the blocks will be about INR200 crores. So closer
to INR700 crores, including INR500 crores of big initiatives.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane : So, for this quarter, in particular, how much was c ost-borne because of failure to supply?
Mukesh Surana : The cost in the current quarter, we have incurred INR8 crores.
Tushar Manudhane : INR8 crores. And this is in raw material consumed or in other expenses.
Mukesh Surana : To other expen ses.
Tushar Manudhane : Understood. And approximately how much revenue we would have lost because of this?
Mukesh Surana : So, it is difficult to quantify and also of course there is a good amount of sales lost. Last quarter
also we have indicated some number. It is in similar range, about $4 million to $5 million of
sales loss has happened. And we are expecting this some smoothening to happen June onwards.
So, April, May also there are some challenges we have. We have already taken up changeover
of our 3PL. I wou ld request Priyanka to explain this further.
Priyanka Chigurupati : Thank you for the question. Like CMD said in his opening remarks, we have changed the 3PL .
We've been working over the last 60 days to do that. And we expect to go live on May 23.

Tushar Ma nudhane : Understood. And secondly, on ibuprofen per se, the sales have been moderate for the year. So
how to think about ibuprofen outlook?
Krishna Chigurupati: Priyanka , you can take that.
Priyanka Chigurupati : Ibuprofen, we've actually, in the U.S. we've been stable over the last 2 years on the Rx side. On
the OTC side, we expect to pick up more this year with some recent awards that we received
from -- on the OTC side. And most importantly, we also have a 5 -year lock -in government
business for ibuprofen. So, sales have been pretty stable with a little bit of an increase this year,
potential increase this FY '24.
Tushar Manudhane : Understood. And lastly on paracetamol, if you could also share how has been the pricing trends?
How has been the volume pickup for us?
Kandiraju Rao : I think the pricing change has been significant in terms of PAP price

s going down. And volume
increase has been very positive to us in terms of pre sence of increased market share in the U.S.
and also in other parts of the world. So, this is a positive impact on the volume. And the pricing
I think has been in line with the reduction in the prices of PAP.
Tushar Manudhane : Has that now stabilized? Or w e think that -- or you think that there could be still further lowering
of pricing?
Kandiraju Rao : I think we feel that the pricing is now coming to kind of an equilibrium.

Moderator: The next question is from the line of Sajal Kapoor, an individual invest or.
Sajal Kapoor : I hope we can sustain the cash flow momentum going forward. So that's just our hope because I think we do need a sustainable cash flow engine to fund all our future initiatives. I do like the prudent approach to investment side in the end . And clearly, we are embracing industry five , so that's good news. And question is, after we had the green chemistry back -end for our prime molecule sorted and can this enzymatic and green hydrogen engine in the name of Granules CZRO be explored further f or green chemistry CDMO services?
Krishna Chigurupati: KVS, I think you should take that.
Kandiraju Rao : Yes. So, our first endeavour is to -- this itself is a, Sajal, it is a very big initiative from our side. So, we would like to make sure that in the coming 1 to 2 years window we would like to establish ourselves as the green company with top commercial products that we have in line paracetamol, metformin and couple of other products. So, until and unless we comp lete these big initiatives, we will be not focusing on the right areas, although it is a very important point that you have raised.
We feel that the next 2 years, the organization will focus on 3 major areas. One is R&D effort in the organization to build API and formulations of a different order. Second, we would like to focus on the green chemistry and get the backward integration going. And third, integrating these 2 pieces to ensure that we are known as a green player in the pharmaceutical segment. Once we achieve that and we prove this concept to the world, then we will come back and actually lace it

up to see what kind of benefits that accrue further by business diversification. Chairman would like to add.
Krishna Chigurupati: Yes, Sajal, I think let m e just expand a little bit on this. First of all, we have a few products which we traditionally call core products, which have been performing very well and which has been giving us lot of cash for funding our future growth. And there's a lot more potentia l for these products we have hardly touched. We have about 30% of the world market today for paracetamol, metformin a little less. And we expect that we should go to about 50% of the world market and become clearly the leaders. For this, first of all, we n eed to strengthen our entire supply chain.
And to become true leaders, you have to be fully integrated. And I would even go to the extent of saying we want to be invincible. So, with green chemistry, we are going to do that. As I explained in my opening r emarks, we will start from basic hydrogen and water. So that's where we are starting from. And once we achieve this, our cash flows would be still much, much more healthier and then they will definitely be attempting the other areas. We are working on the other areas today, but that definitely is not our focus.
Sajal Kapoor : That's helpful. And then second question would be related to our green initiatives. So, we mentioned the 2 KSMs for paracetamol, which is PAP of course and then for metformin, which is a DCDA. I mean the current technology that the Chinese manufacturers are using for DCDA is highly polluting and no one in India as on today is making that intermediate.
And how confident are we in terms of given our enzymatic route

that we have successfully
registered at the pilot of the lab scale? Then how confident are we that the DCDA new technology will be available at commercial scale starting back end of FY '25 or beginning of FY '26? And then are we also thinking in terms of having it at t he right scale so that we can make it commercially viable and available for other players in India?
Krishna Chigurupati: Yes, Sajal. First of all, we are very confident of the technology. We had demonstrated this to ourselves at a level of 100 kilos per da y piloting. The next step is we want to go for 1 ton per day. The equipment has been ordered, and we should be able to set this up before September. And once we tweak this, I won't even say establish, but we are sure of establishing once we tweak finer par ameters.
The main equipment also is under order. And the next step will be to start with 10,000 tons per annum full -scale capacity and later on expand that to 30,000. When we reach the 30,000, we'll definitely be able to service, I would say, 80% to 90% o f the world metformin market with just DCDA, which will be green, not polluting, made locally. And most of the DCDAs for the world is made in India. We'll have indigenous supply for these people. And by the way, we will also be expanding our metformin capa city, which will also be green. And all the raw materials for metformin, not only DCDA, all other raw materials will be made in the same site. And they will be green.
Moderator: The next question is from the line of Varun Basrur from Julius Baer Wealth Adv isor.

Varun Basrur : So, when I refer to the comments you made earlier on ramping up the MUPS block and some other capex coming online on formulations in the next year or 2. So what kind of revenue growth can you -- are you building in over the next couple of years from whatever growth capex is done? Assuming of course that whatever price depreciation is there is in line with the long -term depreciation?

Krishna Chigurupati: First of all, let me answer the capacity and what growth rate we are building. The capacity always has to be a little ahead of what growth rate we are anticipating. And we will be having a healthy growth rate. And if you see the last 5 years, we have grown at a healthy more than 20% on revenue and 25% on PAT. And we expect that this sort of growth should continue. And on the depreciation, Mukesh, you want to say anything on the depreciation? Your voice was not fully clear, but I think Mukesh got the questions.

Mukesh Su rana : So, you were referring to depreciation of the block four facility, is it?

Varun Basrur : No. Sorry, what I meant was I think Mr. Chairman answered the question. From the perspective that price depreciation or deterioration in formulation has been a lo t more than the long -term trend. So, if we had sort of normalized that number for what it was over the last 5 years, what sort of revenue growth would be there?

I think that question was answered. The next question is, so you're looking at doing INR250 crores of capex on Granules C ZRO next year. This is largely for backward integration. So, what kind of payback or IRR are you building in? Of course, this would come as something towards gross margin expansion or VA expansion. But when you look at these proj ects, what kind of IRR or payback are you building in?

Krishna Chigurupati: It's a difficult to answer at this point of time because there are so many initiatives happening. And also, we are not taking into account any possible premium we may get for green products. But it looks very healthy, Varun. And definitely the IRRs will not be less than what we have been making before. It could possibly be more.

Varun Basrur : So, could I say a payback of about 4 years or so? Would that be accurate?

Krishna Chigurupati: We will see, Varun. These are huge projects. So, you also have t

o -- you may not be able to consume all the raw materials in -house. We may also have to establish a market. But all I can say is, overall, there will be healthy cash flows in the company, and we should be in good shape.

Mukesh Surana : Just to add to that, we are doing in a phased manner. So, each phases we are seeing success and we are adding it. So, the payback and IRR will be done phase by phase. So currently we are seeing that it is going to be better for the first phase. But we would not be able to give a number to you.

Varun Basrur : All right. So, my last question is on the interest cost, it's a litt le difficult to sort of factor in how the interest cost would look going ahead because I assume that a lot of the operating cash flow would be consumed by the capex or would be utilized for capex going ahead. So, the last couple

of quarters, the interest c ost has been INR17 crores or INR18 crores. Would this continue at the current clip or the current run rate?

Mukesh Surana : See, the interest rate is the key issue. Our working capital cycle is definitely healthier. It's just the interest rate. And the inte rest rate currently after some time we are looking at apause and then of course reduction also. But looking at the current trend, the interest costs will be slightly higher than the quarter 4, which is INR18 crores, slightly higher, with the increase in volume. At the same time, our debt -to-EBITDA, our net debt to EBITDA, which is less than 1 and 0.84 now. And we are going to maintain less than 1. I'm not talking about debt to equity, I'm talking about debt to EBITDA. So that kind of a healthy ratio, we will maintain even with the higher capex .

Varun Basrur : So why I asked this question is because there's also some element of factoring that's coming into the interest cost?

Mukesh Surana : Yes, that's true.

Varun Basrur : Which is not split in either the cash flow statement and there's no breakup. So that's why I asked what -- how would it look going ahead. I understand that there is some element of interest rates going up and down.

Mukesh Surana : Yes, that's ri ght. So factoring, we have been increasing nonrecourse factoring, and we are also adding new customers in our nonrecourse factoring program. That is also increasing the finance cost a bit. But this is going to help the company also in terms of overall cash flow and balance sheet ratios and also the timeliness and discipline with the customers. And this, we are seeing going forward also we will continue to have. But as such, the delta increase because of factoring versus borrowing for the overall year, we wou ld have spent about INR2.5 crores only.

Krishna Chigurupati: Okay. Finally, the cost difference because of factoring is INR2.5 crores. And I don't think it will go up a lot.
Moderator: The next question is from the line of Punit Pujara from Helios Capital.
Punit Pujara : So last quarter we gave an indication year -to-date price erosion in the U.S. market is 12% to 15%. So, can we call out that number for the full FY '23?
Krishna Chigurupati: Priyanka, you want to take that?
Priyanka Chigurupati : Sure. So, the pricing erosion as a percentage hasn't really changed as much. It's still within the same range of about 10% to 12% per year if you look at the overall basket together. And I'm talking primarily on the front of B2C US Rx Dem and.
Punit Pujara : Sure. A follow -up to that would be what's the outlook going forward because we understand that there have been certain discontinuations in the U.S. market by some of the players that is leading to some sort of sanity coming back to the pricing environment. Are you also seeing similar trends? If yes, then what's the range it can stabilize going forward, maybe for the company or at the industry level also would be help ful.

Priyanka Chigurupati : So, you're absolutely right in the fact that there have been a lot of discontinuations in the recent past, but there's 2 ways to look at it. One, on the control substances, it's not more about of discontinuations, it's more about quotas, and there has been a lot of disruptions because of that. We have picked up share wherever we could. But we are also, like I've always said, we don't like to be very, very aggressive with controlled substances because of quota issue. Till date we haven't had it, but we want to be a little conservative as we keep going.
But like I said, we have picked up market share for the products that we have in our portfolio. For some other products that we have seen discontinuation. We don't have anything on our portfolio from the list tha t have been discontinued. But the market has stabilized to a certain level. What the outlook would be going forward, that really depends on the mix between our portfolio and essentially the number of players in each of the molecules that are being disconti nued. I can't put a number to it as of now. But there is a lot of positivity in terms of how much the price erosion can go down going forward.
Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.
Rashmi Shetty : So, one clarifi cation on capex , I want for FY '24. You called out a number of INR700 crores. Is it for FY '24 alone or it is spread over FY '24 and '25?
Mukesh Surana : It is for FY '24. So, these are because of 2 big initiatives also which we have taken up. This is for the year. And with this capex also we will maintain the healthy debt -to-EBITDA ratio.
Rashmi Shetty : Okay. So, from the current levels of the long -term debt, how much additional debt are you planning to raise because of this high capex ?
Mukesh Surana : So cu rrently, we are evaluating whether it should be funded through internal accrual or should we go for long -term debt. That is under discussion. But overall, total net debt level, there won't be significant increase in terms of the ratio which I just mentioned.
Krishna Chigurupati: Rashmi, I think we should be able to fund this mostly thro ugh our internal accruals itself. We have the capability to do that. But at the same time, we have very little long -term debt. So, we are looking at -- as you know, these are in 2 subsidiary companies, C ZRO for the green initiative and Granules Life Scienc es for the additional capacity. And one of the reasons is focus for setting up these companies and other thing is also the income tax benefit of 15%. So, these 2 are there.
So, we had some ideas we're evaluating. Like I said, C ZRO , there's lot of interest for participation in equity and also low -cost debt, long -term debt. So, we are evaluating. We'll take the decision at the right time in the future.
Rashmi Shetty : But still any target like how much debt -to-EBITDA you will be maintaining it, even though if you take some additional debt or something?
Krishna Chigurupati: It will always be less than one , Rashmi , debt-to-EBITDA. Yes, Net debt-to-EBITDA will be less than one .
Rashmi Shetty : Okay. And what would be for FY '25 your capex ?

Krishna Chigurupati: We are still evaluating it, Rashmi. And we do some of the pilot runs. And as we expand the CZRO , we'll have a better idea. We'll be able to place this come up with a number sometime in the second half of this fiscal.
Rashmi Shetty : And out of this INR700 crores, INR250 crores -- sorry, INR150 crores, you will be doing for your green chemicals and KSMs, out of that, how much would be for DCDA?
Krishna Chigurupati: It's very difficult to split up , but it's not INR150 crores, it's INR250 crores fo r the green initiative.

It's very difficult to split up because so many of these raw materials that we will be making is part of the -- they can b

e used for many products.
Rashmi Shetty : So, your DCDA project is basically the part of this green chemical in itiative. There won't be a separate capex spend for this, right?
Krishna Chigurupati: No, this is out of that. Out of the INR250 crores we are speaking about. Part of this will be DCDA.
Rashmi Shetty : Okay. If I just see your quarter 4 numbers, our gross margin on quarter -on-quarter has come down, i.e., very well understood from your presentation that this is mainly due to the higher API sales and specifically paracetamol. But when I see quarter -on-quarter, your paracetamol as well as your sales mix more or less look same, in the similar range when it comes to absolute number. So, I'm just trying to understand that still, quarter -on-quarter, we have seen a dip in the gross margin. So, what is the specif ic reason for it? If you can call out that. And also, if you can just let us know that in FY '24, '25, how would you see the gross margins, whether we are going to see any sort of expansion from the current FY '23 level? And as you mentioned that your R&D and everything would increase, if you can give some ballpark number on your R&D as well as your EBITDA margin guidance number.
Mukesh Surana : So, I will take question by question. One, Q3 to Q4, the margin primarily is also because of some price erosion. A nd at EBITDA level, the major dip in the margin from Q3 to Q4 is higher R&D spend in Q4. Third question which you have asked on the R&D spend; it is going to increase compared to Q4 spends. But at the same time, we are also looking at a better sales CAGR, EBITDA CAGR. So overall full year, we should be able to sustain the kind of EBITDA margin we are looking at. But quarter -on-quarter, we should not be looking at it. But overall F '24, we are going to see a sustainable or some improvement in the margins.
Krishna Chigurupati: Rashmi, on '24 -'25 for your question, we have some very interesting launches coming up this year and some of the initiatives we are taking, we expect that there will be expansion of margins.
Rashmi Shetty : So, on your R&D part, we can st ill assume that it would normally -- even though if it increases, it would be in the range of 3% around of the sales?
Kandiraju Rao : It will be slightly -- it will be more than 3%.
Moderator: The next question is from the line of Tushar Bohra from MK Ventures.

Tushar Bohra : Sir, first, just quickly I want to check, we mentioned that our margins should improve and sustainably from quarter 2 onwards. So, and we also mentioned that the logistics -related issue, whatever third party will get done by end of May. So, we should assume that we'll continue to have maybe a softer margin profile in Q1 in general. And Q2 is the margin level that we should start to benchmark the organization for the future?
Krishna Chigurupati: You're right, Tushar. Q2 onwards, not o nly margins, we also expect revenue to increase. So, some new businesses are taking off and with stability of 3PL sales in the U.S. also should increase.
Tushar Bohra : Sir, if you can highlight 2 things mentioned. One is, you mentioned a couple of times a number of interesting launches this year. That is front ended in H1 or H2. And the nature of these launches, what kind of products or therapeutic areas or specific substances? And similarly, on the research R&D front, you mentioned that the number of ANDAs and DMFs both will move up significantly this year. So again, if there is anything interesting further that you can highlight, maybe some more subjective, qualitative comments around that?
Kandiraju Rao : Yes. On launches side, we have both controlled subs tance launches and also the products that we have filed in the last couple of years, we have been getting the approvals. So, I think from quarter 2 onwards, we will see the new product la

unches which will come up in the U.S. And also, we will be launching some products in Europe. So, this will be the launch plan for us as we travel from Q2 to Q3. And second, on the R&D side, I think there is a significant ramp -up on the DMF and the ANDA filings as compared to this year.
Tushar Bohra : Yes, that you mentioned , the but any like which kind of therapeutic areas or any specific products you may want to highlight or potential around some of them?
Kandiraju Rao : I think we will not highlight right now. But as we start filing, you will get to know. But suffice it to say that in my opening remarks, I told that these products that we are going to develop are backed up by the technology platforms that we have created and under the process of creating. So that we expect it to add a lot of value to the core strength of Gra nules.
Krishna Chigurupati: And Tushar, I think I'll give you a part answer for that. Mostly they will be in the MUPS type of products.
Tushar Bohra : Great, sir. One quick question on the green capacities that we are setting up for paracetamol and

metformi n to start with. Sir, I'm assuming you already have a pipeline of products beyond these two in place when we say that these will not be the only two products that will come out of that facility over the next three , five years period?

Krishna Chigurupati: What we are doing, Tushar, while these are the first products that will be commercialized going green, we are building the chemical block, the buildi ng blocks for different chemicals. So basic chemicals, we are building. From there, we can go into many other products. Yes, we do have ideas, but it's too early to talk about those products. But once we have the building blocks in place, so many things ca n be done. And it need not be only pharmaceutical, it can be many areas.

It can be chemicals, it can be agrochemicals, so many other things can be made. But the basic thing is to make the building blocks.

Tushar Bohra : Interesting, sir. Just one quick one more point on paracetamol and metformin. So given that these are obviously first line of defence molecules, but essentially commoditized products. And in U.S., we've seen a history of price erosion being a constant issue for a lot of our peers as well as for us. We are taking such a large initiative on essentially commoditized products. Have we gone into any kind of discussion with some of the potential clients? Or have you sensed an interest from market for long -term contracts around para and metformin thr ough this route. That gives us better security or comfort in taking such a large capex , even though it may be in phases?

Krishna Chigurupati: Okay, Tushar. To answer this question, first of all, we have been in this product for 35 years. And we have great experience, we have great relationship with all the top consumers in the world. And there's a lot of interest from them for more and more products, that's why we have expanded, and we are still expanding. And we are very confident that at 50% of the capaci ty, we'll be able to sell everything. We have long -term contracts. I don't say long term what you mean by long term, but multiyear contracts up to 5 years we do have with some of these people. And once we go green, I'm sure there will be many more for much longer -term contracts coming in.

Moderator: The next question is from the l ine of Harith Ahamed from Av endus Spark.

Harith Ahamed : Can you share the GPI sales for the year FY '23?

Mukesh Surana : Yes. So, it is INR1,341 million API sales. It is also covered in our investor presentation.

Harith Ahamed : This is the US subsidiary when you …

Krishna Chigurupati: Sound was feeble, Harit h, can you come up again?

Harith Ahamed : No. I was looking at the revenues at our US subsidiary, Granules Pharmaceutical In c.

Krishna Chigurupati: You're talking about the revenues?

Harith Ahamed : Yes.

Krishna Chigurupati: Yes, 1 minute. Yes, it is INR1,119 million.

Harith Ahamed : Okay. And then when you shared the details around our capex for next year, you mentioned Granules Life Sciences. I missed the amount you mentioned. And could you also give more colour on the activities and the nature of products under this entity? And then where exactly is the facility?

Krishna Chigurupati: This is in Genome Valley, close to Hyderabad. And it's going to be INR250 crores for '24. We have already spent some money in '23. In '24 we will complete the project. And you said what type of products. There are different range of products. All the products which are under filing will be made -- will be filed from this area only. The Stage 1, Phase 1 will be ready shortly,

September. And we'll be doing the filings from there. So, all the new products wi ll be filed from there.

Harith Ahamed : So, this is a formulation facility?

Krishna Chigurupati: Formulation facility.

Mukesh Surana : Just one correction, Mr. Ahamed, I just said crores, it is -- not million, INR1,119 crores.

Moderator: The next question is from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Yogesh Tiwari : I just want to confirm on one previous question asked on paracetamol. So, when I look at FY '23, paracetamol, which is approximately 50% of our revenues, it has grown between 25% to 30% on a Y -o-Y basis. And that was the major driver -- one of the major drivers. So just to confirm like what is happening in the industry, like will we be able to keep a similar growth rates in paracetamol so that the U.S. and the Eu rope business continue to grow in like more than 25% in FY '24 also?

Krishna Chigurupati: Yes, Yogesh, paracetamol, we see a very clear growth. And also, there's a move away from our

India's biggest competitor. People are wanting to buy more from other are as. But unfortunately, or fortunately, only 2 countries in the world make paracetamol, the U.S. production is very little. So, there is a move towards more reliable suppliers. And we being in this business for more than 30 years, people trust us, and we se e more and more business coming our way. But not only the paracetamol API, we have competition for paracetamol API from many other people. But when it comes to PFI and tablets, we are in a very, very sweet spot.
And most of our customers are moving away from API into PFIs and FDs. Today, our paracetamol FDs by themselves are about 50% of our total API capacity. And this is going to go up. And once people are locked up with FDs with you, some of the biggest innovat ors, biggest brand leaders in the world are locked up with us.
And also, we have our own OTC front in the U.S. that are applying to store brands like Walmart, Target and other people. And we are also licensing many people in Europe with our own dossiers for paracetamol and metformin and other products. And we are also working on South Africa. We are working in Southeast Asia, Australia. So many of these places, there's a lot of interest and we are licensing products, and we have no doubt paracetamol market will keep growing for us. Overall, the market growth in single digits, low single digits, but for us it's going to grow at a much rapid pace because there are not too many reliable suppliers in the world today.
Yogesh Tiwari : And just one balance -sheet -related question. So, there's a jump in lease liabilities, although the number is small, from it's like INR7 crores to about INR70 crores. So, what would be the drivers for it?
Mukesh Surana : Sorry, which head you said?
Yogesh Tiwari : Lease liabilities under the balance sheet.

Mukesh Surana : Yes, sure. So, we have taken warehouse under lease for our USA facilities. So GPAC , we have d

one, and also, we have taken a warehouse under lease. There is asset also of right -of-use asset, and there is a lease liability also.
Moderator: Ladies and gentlemen, we'll be taking the last question. That is from the line of Rashmi Shetty from Dolat Capital.
Rashmi Shetty : Sir, out of your INR700 crores capex , you mentioned that for Genome Valley INR250 crores project would be completed by FY '24. What about this green chemical initiative, when are we going to complete our project? And when do we expect the commercialization and everything to happen?
Krishna C higurupati: One product, like I said, the piloting will be done in September of this year. And another product, there will be a little more capex , but the commercial production will start in end of '25 or early '26. That will be the first product. And '26, we expect another product also to come online, possibly end of '26.
Rashmi Shetty : And these products are basically FD products or, I mean, or the API products?
Krishna Chigurupati: These are KSMs, for KSMs and the chemicals that go into making the KSMs f or paracetamol and metformin to start with, and we'll follow up with other products.
Rashmi Shetty : Understood. And one last question on PFI segment. I mean we were getting a lot of orders from the South American market like LATAM and all. But in second ha lf of FY '23, we have seen a very subdued growth. And that is why we competed with a single -digit sort of growth in FY '23. In FY '24 and '25, how do we see the demand? And are we expecting that it should crop back double -digit sort of growth?
Mukesh Surana : Yes. I will just clarify this. PFI third -party sales has come down, because we have used that for FD business. So, where the margins are also better. So PFI has become a unit transfer to FD for third party sales.
Rashmi Shetty : Okay. So, we should normally build up the similar sort of growth in FY '24 -'25 also?
Mukesh Surana : Yes. So better to see FD growth. So, if you are modelling , you can model for FD business growth.
Moderator: Ladies and gentlemen, that was the last question. I now hand the con ference over to the management for the closing comments.
Krishna Chigurupati: Thank you very much. Ladies and gentlemen, we had some very interesting Q&A session today. And I was quite excited to share my thoughts on the green initiative we are going throu gh. And I would like to thank you once again and end this meeting on a very positive note about our green chemistry. Thank you very much.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Granules India Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500 , Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: November 1 6, 2023

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q2 and half year of FY24.

Ref: Our letter dated 31.10.2023 for intimation of the schedule of the Earnings
Conference call for Q2 and half year of FY24 .

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for the Q2 and half year of FY24 is enclosed with this letter and it has been uploaded on the website of the Company at the below -mentioned link:

https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)
Encl: As mentioned above

“Granules India Limited Q2 FY-24 Earnings
Conference Call”

November 09, 2023

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN & MANAGING
DIRECTOR , GRANULES INDIA LIMITED .
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
GPI & GUSA
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,

GRANULES INDIA LIMITED
MR. PUNEET – HEAD - INVESTOR RELATIONS & GM
BUSINESS FINANCE , GRANULES INDIA LIMITED .
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL .

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q2 & H1 FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Irfan Raeen from Orient Capital . Thank you and o ver to you sir.
Irfan Raeen: Thank you, Sharad. Good afternoon everyone. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q2 and H1 FY 24 Financial Results discussion call. Today on the call we have Dr. Krishna Prasad sir - Chairman and Managing Director; Dr. KVS Ram Rao - Joint Managing Director and Chief Executive Officer; Ms. Priyanka - Executive Director, GPI & GUSA; Mr. Mukesh Surana - Chief Financial Officer and Mr. Puneet - Head, Investor Relation s & GM, Business Finance .
I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on Exchanges and on Company 's website. A short disclaimer I would like say before we begin the call. This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinion and expectation as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Krishna Prasad sir for his opening remark. Over to you, sir. Thank you.
Dr. Krishna Prasad: Thank you Irfan. A v ery good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q2 earnings call today. A detailed presentation of our Q2 performance has been uploaded to our website, and I 'm sure all of you would have gone through it by now .
Our EBITDA, PAT and other ratios have improved and will further improve in the coming quarter. Some of the launches of the approved products, both in the US and other geographies were delayed and will be launched in this and the coming quarters, which will contribute to higher revenue and resulting profitability.
On the IT incident update, production and sales have almost rebounded to their three incident base. We have fortified our cyber security measures, establishing a more robust security environment to safeguard our operations, and we have instituted a comprehensive upgrade to our systems and security protocol. While we are trying to recover the business loss, we anticipate a revenue shortfall versus the planned production and sales as part of the lost sale is irrecoverable .

During the quarter, ANVISA audit at our Gagillapur formulations plant was successfully completed with zero critical observation s. We also received approval from ANVISA for compliance with the guidance of cGMP for our Bonthapally factory . Health Canada audit was completed with zero observations for the Jeedimetla API plant . We also received the accreditation certificate of foreign drug manufacturers from PM DA Japan for the Jeedimetla facility. The construction of our new formulation facility at Genome Valley is progressing at a good pace. And we have completed the first phase during October 23 as communicated in the last con call. We are targeting to complete the next phase by May 24 with 2.5 billion dosages per annum capacity . Upon completion across all the phases by December 24 this new plant will add 8 billion doses to our finished dosage capacity. As shared earlier with this facility, along with the recently launched new Greenfield packaging facility in Virginia, USA. We now have capacity in place for us to cater to emergin

g new opportunities and demand in the near term.
Our f ocus on R&D over the past six quarters with enhanced outlay is geared towards fast tracking , integrated product development, building expertise in the areas of controlled substances, complex products and biocatalysis and enzymes. As of today, we have 59 approved and t wo tentatively approved US ANDA . Five European do ssiers to in the UK, six in Canada, and three in other regions, a total of 75 dossiers approved and 21 global dossiers to be approved.
We have a total of 33 US DMFs, 24 CEPs, five EDMFs, eight KDMFs, four Canadian DMFs,

four China DM Fs, two Japanese DM Fs and 50 file d across several regio ns.
We have launched four products in the US and one product in the UK in H1 23 and we expect to launch about seven products in the US , two products in South Africa , two products in the UK and two products in Europe in H2. The complete effect of which will be seen in quarters going forward .
Climate change and sustainability opportunit y:
Our newly adopted purpose is healing life responsibly through pioneering green science . This is guiding us towards transforming healthcare through innovation and sustainability. We are resolute in driving a positive transformation within healthcare. Our commitment is further solidified by our pledge to achieve net zero emissions by the year 2050. Ladies and gentlemen, I would like to once again emphasize , we pledged to achieve net zero emissions by 2050. This is a very ambitious target and every person in the company is striving towards this. Earlier this year, we completed the measurement of our scope one and scope two emissions. Now we are in the process of inventor izing our complete scope three emissions as per the GHG Protocol. Making a significant stride in our journey, we have received a BB rating in our first MSCI ESG evaluation. Acknowledging our initial effort in environmental, social and corporate governance criteria. We aim to improve our rating in the subsequent years through sustained efforts and excellence in our sustainable practices. In tandem with our strategic vision, we have pledged allegiance to the science based targets initiative SBTi ensuring that our climate goals are aligned with the latest scientific consensu s. Our dedication to sustainable practices resonates to the ethos

of United Nations Global Compact, UNGC, to which we are committed, signifying our support for responsible business practices globally. A landmark in a sustainable journey, is the MOU with NIPER Mohali , handling the inception of the center of excellence, in innovative and sustainable pharmaceutical development. The envisaged outcome is a suit of innovative pharmaceutical products and processes that are resource efficient, as well as optimized for energy conservation.
Granules CZRO :
As shared during the last call, at CZRO , we are focused on strengthening our core business for backward integration of Paracetamol and Metformin in the first phase , as we are putting up a pilot plant for DCDA and a small commercial plan t for PAP at the Vizag plant . We have received the technical feasibility report and we are under final review and discussions with AM Green, which is part of Greenko on the project planning for the Kakinada site, which will be our main facility for CZRO . We are targeting to start the project work at K akinada during FY 25. With this ladies and gentleman , I hand over the call to Dr. KVS Ram Rao.
KVS Ram Rao: Thank you, Chairman. Good afternoon everyone. I wish to update you all on the progress of the transformation journey. As briefed in my last couple of conversations, there ’s a paradigm shift in the management of portfolio of our new products. From a traditional Para-II filing, the company has shifted its focus to Para-III and Para-IV filings. The shift in focus is followed by strengthening o

f portfolio teams, R&D teams, technology transfer teams , to enable smooth integration and filing of the products. The new portfolio of the organization is aimed at not only oral solids , but also other dosage forms, leveraging the capability of Granules , technological capabilities in API, and formulations. Significant progress has happened on these dosage forms, and we expect to fi le new dosage forms in the near future.
At present, there are about 41 products which are under various stages of development at Granules integrated product development center . All these products are scheduled to be filed in FY24 and FY 25. Out of these 41 products, launch and approval of 16 products , day 181 launches are around 13 products. The first wave launches are around nine products, and one is an NCE -1. To add to the number s stated by the Chairman in his opening remarks. We are geared up to double digit filing of DMFs and ANDAs that is of strategic importance to us . The progress of our commitment is in execution of our strategy. Yet, another significant aspect of strategy is to focus on sustainable new technologies. The technology development team has made significant progress on the application of Biocatalysis to some three products , two products have completed the pilot scale and commercial production at plants. And the third mole cule has completed optimizations in the lab. These three products can give significant and sustainable advantage for Granules when they are commercialized.
Global cost leadership has been one of the strategic levers identified by the organization , while the backward integration from CZRO will give us the leadership for Paracetamol and Metformin , we have started our work on additional 10 products which are critical for the organization in

terms of both profit optimization and of protecting market share in geographies of interest . The program is expected to bring in the desired results in a year from now. With this , I hand over to Mukesh.

Mukesh Surana: Thank you, CMD and JMD.

Let me take you all through the top financial parameters :

Revenue :

The second quarter revenue were Rs.11 ,895 million as compared to 11,507 million in Q2 FY23. A growth of 3% in value terms . Volume growth year-on-year was higher as compared to the value growth. Sales in the US region grew well, partially offset by the decline in the LATAM and Europe regions . Revenue grew by 21% as compared to Q1 FY 24. The sales breakup as per the business division and geographic regions is presented in our investor presentation which is available on the website.

Value added :

Our value added as a percentage of sales for Q2 FY 24 was 51.7% as compared to 49.7% in Q2 FY23. Value added percentage as compared to Q2 FY 23 is increased by 2% points. Primarily on account of better product mix , increase in sales of formulations . Price erosions were offset by the reduction in rates of key raw materials. Value added as a percentage of sales for Q2 FY 24 is up by 0.3% points from Q1 FY 24 primarily on account of better product mix, increase in sales of formulation s. Price erosions were offset by the reduction in rates of key raw materials , and an increase d focus on product level cost reduction s.

EBITDA and EBITDA margin :

EBITDA for the quarter was , Rs.2130 million, 17.9% of sales as compared to 24 29 million, 21.1% of sales in Q2 FY 23, a decrease of 12% in value terms over the previous year, primarily on account of increase in operating expenses such as manpower and R&D, increase as part of capability and capacity building, which will drive future growth in short to medium term .

R&D:

Our R&D spend for the quarter was , 496 million as compared to 246 million in Q2 FY23 and 413 million in Q 1 FY24. We are going to continue to spend on R&D in the coming quarters as well.

Net debt :

Our net debt was 98 95 million as compared to 7 671 million at the beginning of the year. The net debt has increased by 2 224 million primarily on account of reduction in operating cash due to reduction in revenues in Q1 .

Cash -to-Cash cycle :

Our cash-to-cash cycle was 162 days in the current quarter as compared to 132 days at the beginning of the year and 170 days in the previous quarter. Th e decrease as compared to Q1 happened because of a decrease in inventory days as sales picked up this quarter post the IT incident in the last quarter .

Operational cash flow :

Operational cash flow for the quarter was 329 million as compared to 35 million in Q1 FY 24. Increas e is primarily on account of inc rease in EBITDA and better cash -to-cash cycle compared to Q1.

CAPEX :

CAPEX spend during the quarter was 1029 million .

ROCE:

ROC E for Q2 FY 24 is 12.8% as compared to 9.3% in Q1 FY 24, primarily on account of increase in EBITDA due to the reasons stated above.

With this , I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Megh Shah from Prospero Tree. Please go ahead.

Megh Shah: I just have one simple question. Time and again, there have been many media sources and article telling us about the sale of the company. Many times Priyanka and the promoter team both have denied such a possibility and have clarified over the same. But ag ain, in the last one week, we have again begun to hear that you are close to finalization of a sale with some private equity player. And usually media sources won 't keep sharing such things again and again for no reason at all. So, can you pleas e comment on the same?

Dr. Krishna Prasad: Okay, Mr. Shah, I understand your concern. Let me tell you , denying this over and over again and the rumors erupting over and over again is really disturbing. But in my opinion, and just to put this at rest, rather than just denying I would like to mention the initiatives which we have taken now towards sustainability, the green chemicals, enzymatic reaction, flow chemistry, so many things formulation development, green development. A nd the investments we are making today are like a dream for us. Everyone in the company is so excited and they are working

towards this. They 're putting in their best effort and if at all, there is any intention of doing what you suggested. This is not the way we would be going. And we would not be spending our time and effort and our blood and heart into this , what we are doing. It 's something what we are trying to achieve , it is something nobody has done so far I can even proudly say somebody who has something which has not been attempted so far in the world, we expect to be one of the first few companies to achieve this. And do you think we will just give up this grand dream, just for a little bit of money. Money doesn 't mean much , what we have planning to do, trying to be responsible, trying to save the planet is much more important than a few 1000 crores . I don 't think , I can add more than this. And I wish people are convinced and the media stops this type of rumors.

Megh Shah: We completely understand it , just that the media reports keep on coming again and again. So, as investors we are just a little bit concerned, that 's all

Dr. Krishna Prasad: I understand it, but I 'm sure I don 't know if you are convinced , but I don 't know what more convincingly I can say , this is the best answer I can put forward.

Moderator: Thank you so much. The next question is from the line of Suresh Agarwal, who 's an Individual Investor . Please go ahead.

Suresh Agarwal: Sir we are on expansion spree from last few years, but it 's not generating any profit or rewards for shareholders . We a

re in the range of 100 to 140 crore profit range, our expenses on all fronts increasing, but not fruitful. Please throw a light on this?

Dr. Krishna Prasad: Suresh, if you see, your statement saying we have not grown may not be right, if you see our last five years of CAGR on both top line and bottom line are about around 25%. So, both bottom line and top line are growing at 25%. And I think it's a decent growth in my opinion, some companies may have a quicker growth but Granules has been growing sustainably. And this growth is just not over the last five years. Even if you see the last 15 years , the CAGR is almost like that. And it 's in proportion to our investments too. And without investments, you can never get growth, some investments may take a little time to pay off , some pay off immediately. So, this is what is happening and we have been investing very responsibly, prudently. And even in CZRO . It could be a dream, but we are also responsible. We are not investing blindly , if we are putting pilot plants , demonstrating our ability to make green products, and only after that we are going to the next stage. So , I have to say that we are growing, and our investments are paying off and will continue to pay off.

Suresh Agarwal: So, do we have any dividend policy in the company?

Dr. Krishna Prasad: We have a dividend policy, which Mukesh will explain.

Mukesh Surana: So, we do have a dividend policy and it is also put out in our website you can take it and it 's a pretty standard dividend policy.

Suresh Agarwal: So, c an you give some light on that?

Mukesh Surana: So, you can take it offline, but it is there in the stock exchange in our website, but in the policy, we are not saying specifically percentage payout and all , it depends on profit and results and also availability of cash flow and depending on the future expansions.

Dr. Krishna Prasad: Mr. Agarwal, let me also add, I think we have been one of the, okay I don 't want to say but I personally feel we have been very liberal and we have rewarded our shareholders liberally . In the last three years, four years if you see we had two buybacks, which are more interesting than even a dividend , we also had dividend last year of close to about 80 % or 90% in addition to the buyback. So, b uyback was about around 270 crores and that 's been very liberal and two years before that, we had another buyback. So, we have been quite liberal in our rewards to the shareholders. In fact, we have been criticized by many investors for wasting money to some extent, they feel that we should have kept it for our expansion.

Suresh Agarwal: Thank you sir. We hope that the company actually in the first few years , actually I am invested since 2011, it has rewarded a very good in 2017 -18, but after that the company has become lethargic, like we are expanding in the America and all these , we have put a plant there, Priyanka is looking after that, only revenue is generating there is no profit from there. So, we are in some vicious circle of expansion and expansion and growth and growth, but not reflecting truly in the balance sheet . So, it's my suggestion please do something like our Unit-5 we have done molecules also, but it has not been materialized now , like our new JMD he is also going for expansion in some other fields. So, please, consolidate. We are long term investor we are with you.

Dr. Krishna Prasad: We und erstand, but Mukesh maybe you can wrap up this question.
Mukesh Surana: Sure. So, since 2011 which you are mention ing, if you see our return on capital employed, return on equity , net debt to EBITDA , in all the parameters we have done extremely well. So, we are ensuring that we are also growing and also we are ensuring that our balance sheets and financials are healthy . So, that 's what I could say.
Moderator: Thank you so much. The next

question is from the line of Harith Ahamed from Avendus Spark.
Please go ahead.
Harith Ahamed: I'm looking at the segmental break up of revenues, and the F D sales has increased sharply on a quarter -on-quarter basis. And looking at the geographic mix as well , it's the US market which is also seeing a sharp increase on a quarterly basis. So , it appears that we 've done quite well in that market on the formulation side. So, what exactly is driving this , are there some specific launches or it's the general pricing and demand environment that we are seeing in that market ?
Dr. Krishna Prasad: Okay, Priyanka is going to take that.

Priyanka Chigurupati: Hi, good evening. Like you rightly said, the US market grew quite significantly this quarter based on our formulation growth. The only thing I would like to add to that is , while new launches certainly are responsible for some of the growth. I think, m ost of the growth for this quarter came from existing products and the one stance that we have always taken is that , once we enter a molecule we don 't really exit because we work on constant cost improvement activities, we work on sustainability which CMD also mentioned earlier in this call about sustainability being a cornerstone for our growth. So, considering all that, I do want to point out that most of this growth came from our existing molecules where other companies could not sustain or supply some product. So, that's where the major formulation growth came from.
Dr. Krishna Prasad: You see our PFIs has come down a bit, most of our PFIs customers are converting to finish ed dosages that's the reason these are also growing a bit.
Harith Ahamed: Okay . So, we can look at a similar run rate in the coming quarters, and maybe growth on top of this level going forward ?
Dr. Krishna Prasad: There could be changes here and there , but definitely this is the ratio and like I always mentioned, FDs will be going up and PF Is and APS will be coming down as we go. As you go up the value chain. And this can be seen quarter -on-quarter.
Harith Ahamed: Okay. So, I'm looking at the employee cost for the quarter and for the first half, there 's a significant increase on a Y-o-Y basis. And this is largely responsible for our EBITDA margin s being a bit muted despite the expansion that we 've seen on the gross margin front. So, what is leading to this , Y-o-Y increase in employee cost, have we commissioned some new facilities and you said there is a elements of higher R &D spend, but it looks quite high even after factoring that?
Dr. Krishna Prasad: Okay, we basically our MUPS block is fully operational now. And we have beefed up manpower for extra revenue. Because there was still some delay in launches resulting from offshoot of IT incident the launches were delayed, and I mentioned in my last call, Q2 also will be hit to some extent that has happened. So, this manpower is built for higher revenue, and we are working toward higher revenue. And also another reason for extra manpower is in addition to R&D is packaging sites in the US , new packaging site which we have built in Virginia, that is fully operational now people are there, but is yet to stabilize, we expect that end of Q4 the plant will be generating cash, and then the whole manpower is going to be justified. But we had to put in people ahead of the actual return coming in. And again, we talk about R&D, R&D manpower has also gone up quite a bit. Dr. Ram Rao would add. You want to talk about how many people we have ?
KVS Ram Rao : Yes, so we have both AP I and formulation s put together we have ramped up the manpower by almost 50% compared to last year. And that is clearly reflecting in our productivity of R&D. So, we are geared up for the future growth both in operations as well as in our R&D filings.

Moderator: Thank you so much. The next question is from the line of Nikhil Yadav from Motilal Oswal Services Limited . You may go ahead .
Tushar: Tushar here . Sir just extending the earlier comment , so with new launches like Metoprolol . So, Metoprolol is launched is the first question ?
Dr. Krishna Prasad: No, that 's what I was referring to as delays. Metoprolol is not launched, there are few other products where validations are just getting completed and will be launched by the end of this

quarter, or early next quarter.
Tushar: Okay. And so that should then ideally further drive the US sales going forward?
Dr. Krishna Prasad: Yes, that 's the whole expectation it should .
Priyanka Chigurupati: Tushar , just to add to that we have about seven launches planned in the US and the UK and one in Europe over H2. So, the next two quarters you 'll see quite a bit of an increase in formulation growth .
Tushar: Understood. A nd just on the raw material or let say the gross margin side if you could bifurcate the benefit in terms of due to the segmental mix change and due to the lower raw material cost ?
Mukesh Surana: I will clarify Yadav. T he raw material cost benefit and cost improvement benefit is largely offset by price erosions also and product mix also , the major improvement has happened because of increase in the ratio of formulation sales.
Tushar: Okay. And secondly, even on the other expenses side it has now moved almost up to 250 crores. So, now that the MUPS facility is operational and even the packaging si te is operational. So, should this be considered as a base going forward ?
Mukesh Surana : This is to be considered as base and some of the results will start coming from Q4, Q1 onwards .
Tushar: And I missed the net-debt number if you could just share at end of first half FY24?
Mukesh Surana : Net debt is 990 crores.
Moderator: Thank you so much. The next question is from the line of Rahul V eera from Abakkus . Please go ahead.
Rahul Veera: Just a quick question on the Genome Valley formulation facility , if the CAPEX is on track starting this quarter ?
Dr. Krishna Prasad: Yes Rahul, its on track but the first thing that we actually , we did a puja few days ago, that is for the pilot plant. And now there is a manufacturing section, which will come up in another six months, with 2.5 billion capacity and maybe end of December of calendar year 24, the entire

capacity of 8 billion will be online, if everything is on track, we will be making some filings from the pilot plant in the next month. And which will trigger off an inspection from the FDA . And by the time the site is approved, we would have had the capacity running , a few months here and there .
Rahul Veera: Sir so over the n ext six months other than Metoprolol , which could be the other large key molecule where our expectations are very high ?
Dr. Krishna Prasad: I don't think we can share the products but we do have quite interesting molecules. And as and when we launch maybe you will be understanding or as you keep tracking our approvals also you would understand , but I don 't think we should be naming these products ourselves.
Rahul Veera: Which are the ones where our expectations are very high , which are in the public domain but our expectations are very high like two key molecules, because for H1 we have done 2000 crores of top line and our ideal guidance in the last quarter was 20% on last year 's base s, 4500 crores was the topline in FY 23. So, to move to 5 400 crores of topline we have to do like 1700 crores over the next two quarters each.
Dr. Krishna Prasad: This quarter there is some , this year there is a loss sale which cannot be recovered. But still, all I can tell you is there are good launches which we are sure we can pick up , we have already b

een
talking to customers. There 's a good traction happening , they cannot name what it will be but definitely it 's interesting and exciting. But again, I have to remind you we cannot keep looking on quarter -on-quarter, its a long term strategy we are playing , even though we are confident of the next few quarters and we will be seeing good improvement .
Rahul Veera: Sure sir. A nd our CAPEX is 700 crores for this full year FY24?
Mukesh Surana : So, our CAPEX is 700 crore is the guidance we had given , we have spent so far about close 180 crores , and we probably would spend another 400 crores or so in the H2.
Moderator: Thank you so much. The next question is from the line of Madhav Marda from FIL. Please go ahead.
Madhav Marda: Just wanted to understand on in the beginning of the call, sir mentioned about EBITDA ratio for us to improve in the coming quarters, just if you could remind us what are the key drivers is it basically newer launches, which have seen the better margin and then operating leverage from the fixed cost that we have added , is that the right way to look at the drivers of the margin improvement?
Dr. Krishna Prasad: Madhav as I mentioned a little while ago, the entire infrastructure is now built for higher capacity. Now, we need to produce high which we will and sell them. And this is also be partly driven by existing molecules in new geographies, like I said, we have some approvals in Europe, South Africa and all, and also new products in US. So, these are the new launches , plus increase in existing products which will drive growth.

Madhav Marda: Got it. And also, if you could just remind us of our basically Paracetamol which we wanted to sell more in outside of the US market , how is that scale up happening for us, like Europe, et cetera or South Africa ?
Dr. Krishna Prasad: We've got quite a bit of approvals more than 50% of those are Paracetamol in Europe and South Africa , UK. So, the Paracetamol in these geographies is growing in the form of formulations. And in the same market, the API sale of Paracetamol we expect will be coming down as formulations increase.
Madhav Marda: And obviously, formulation should be better margin than selling API ?
Dr. Krishna Prasad: That's right, the product mix is what will drive the margins as we graduate more towards FDs the margins also should keep changing. That 's the expectation we had all these years and we keep harping on that. But without the support of AP Is and PFI the whole equation is not worth it.
Madhav Marda: And sir the IT incident, there was some impact in the early part of the Q2 as well. You all did quantify, in Q1 there was about 150 crore of sales impact, anything that you could share for Q2, how much was that impact for us , in the early part of the quarter ?
Dr. Krishna Prasad: It is a little difficult to quantify that Madhav , because some of the launches were delayed too. It's not only the production, but I 'm happy to say that the last month of the quarter was normal , we have return to normalcy that's why I said in my opening statement, we are back to near normalcy. We are in a normal state of running right now.
Madhav Marda: So, basically like Q3 we should see full normalize operation now, there's no like issue s?
Dr. Krishna Prasad: Q3 should be a normal operation as anticipated in the past.
Moderator: Thank you so much. The next question is from the line of Varun Basrur from Julius Baer. Please go ahead.
Varun Basrur: So, a couple of questions. Number one is that, there has been some inventory built up, I 'm assuming this is in line, this is to support whatever launches are happening in H2, has there been an element of , will there be some sort of write off, in line wit h whatever lost sales have been, we have done in the first half , that's my first question. The second question is, there h

ave been
issues in the last couple of , last three quarters also first with the three PL changeover and then with the cyber -attack . Is there any element of this which is going to come into H2, or just if you could reiterate over that, and that 's all from my side, and Happy Diwali to all the participants.
Dr. Krishna Prasad: Okay, Mukesh will be planning to take that.
Mukesh Surana: Varun it's a valid observation , the inventory built up has happened and also largely for the new launches, and also to serve the US region, because we need to carry some inventory in USA to

serve there. And there are no such issues in terms of inventory write off or anything or loss of sale or anything in H2, so these are inventory built up to serve launches and the expected sales.
Varun Basrur: And OPEX there was some issue with third party logistics switch over, that entire thing is behind us at this point or is there some spill over just want to ask that?
Mukesh Surana: The expenditure has substantially come down almost to negligible, I would request Priyanka to add on to it .
Priyanka Chigurupati: I just want to add one point in the transition to our new 3 PL has completed. And we 've seen very significant improvement in our OTIF rates. So, there might, this past quarter we might have had a very small spillover, and possibly a very small spill over the next quarter, but there 's nothing that is substantial enough to discuss right now.
Moderator: Thank you so much. The next question is from the line of Vikas Sharda from NT Asset Management . Please go ahead.
Vikas Sharda: Couple of questions. One is on the product mix, you talked about increasing share of formulations and this quarter it is over 60% , any guidance you can give on where do you think the share can go up to say in next two to three years?
Mukesh Surana : So, two to three years should be in that range, but quarter -on-quarter, we should not be tracking so this quarter let's say whatever we show whether it will be same in Q3, Q4 difficult to answer but year -on-year it should be in that range and going forward i t will go beyond 60%.
Dr. Krishna Prasad: Why don't we take the next question and come back to Vikas.
Moderator: Yes. So, w e will take the next question from the line of Mr. Yash Malhotra from JM Mutual Fund. Please go ahead.
Yash Malhotra: I just would like to know your current optimization levels and where do you plan to take it further ?
Mukesh Surana: So, the optimization levels have to kick in Q3 onwards. So, as Chairman has explained, we have taken a higher expenditure in quarter two, the optimization and automation, effectiveness will start from Q3 onwards. Is that the question , have I answered the question what you raised .

Yash Malhotra: Okay, on those levels as in percentage ?
Mukesh Surana: Sorry.
Yash Malhotra: I understand , you expect to kick in Q3 onwards ?
Mukesh Surana: That's right.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika G roup. Please go ahead.
Nirali Shah: So, in the last we had actually mentioned that the legacy , that our top legacy products were no longer the top products that is the Paracetamol, Metformin, Ibuprofen, and that the second order will change and probably these products will be replaced by more complex products for the upcoming. So, if you could update us on this, these products ?
Dr. Krishna Prasad: Nirali , the legacy products will always keep growing , always maintain, there 's a lot of market for those products and new geographies. And they continue to grow while in the new market , new products while we launch which will be better profitable. And volumes may not be the same level. But going forward in the next one or two years, we still see that our legacy product will at least be more than 65% and the rest of this are new products. Even though the margins may vary, but the sales mi x will be somewhat like that.
Nirali Shah: Okay, thanks. And my second question is, can you also update us on the backward integration projects, namely DCD A and PAP?
Dr. Krishna Prasad: DCDA we have put up a small pilot plan t because this is a technology being implemented by us first time in the world and patented technology. So, we just wanted to start with a pilot plant and then go on to the main plant, the pilot plant will start in February. And meanwhile the planning for the main plant is on , the equipment also has been order ed and t hat should start sometime in FY25 for DCDA. And for PAP we are planning to start a mini commercial plant in Vizag . Along with the DC DA, which should happen next year, the reason of starting in Vizag, Kakinada site where we plan to do CZRO and all the greens, chemicals and intermediates is still not ready the power has to come in. Rather than waiting , we just wanted to start something, run it and master the whole art . And then by the time the site is ready, we 'll be ready to go there .
Moderator: Thank you. The next question is from the line of Mr. Varun Mishra , who is an Investor . Please go ahead.
Varun Mishra: Actually, I just had one question. Like we have seen the raw material prices have come down in this current quarter. So, do we see the similar trend to continue for the rest of the year or is like the prices it has stabilized ?
KVS Ram Rao : We see that the raw material prices have come down, we believe that it has touched its bottom plateau. And we will continue to monitor it as the signals from the external world keep coming in. But as of now, it is at a reasonably low level.
Moderator: Thank you so much. The next question is from the line of Nagesh Motamarri , who was an Individual Investor . Please go ahead.
Nagesh Motamarri: I would like to know about the debt component, is it in Indian rupees or foreign currency debt , and what is the cost of the debt?

Dr. Krishna Prasad: Before , CFO takes that question, I just want to tell you Nagesh , thank you very much for the congratulatory message. But we all realize we have a long way to go , we're working towards it.
Nagesh Motamarri: Yes, it's a continuous process, it 's not a destination.
Dr. Krishna Prasad: Yes, it is a continuing process, and we are trying to make up for lost ground . Mukesh you can go ahead and answer that.
Mukesh Surana: So, our bo rrowings are in foreign currency and it 's a mix of long term loan as well as short term working capital and we are borrowing in SOFR plus effective spread so which is at a very competitive rate.
Nagesh Motamarri: Okay, what is the component of working capital and the term loans ?
Mukesh Surana: Sorry, what is the ?
Nagesh Motamarri: Breakup of the total debt?
Mukesh Surana: So, out of 990 crore , 150 crore is long term.
Nagesh Motamarri: Okay, the balance is the working capital ?
Mukesh Surana: Yes.
Nagesh Motamarri: And by any chance you are in the P LI scheme ?
Mukesh Surana: So, currently, we have applied for PLI scheme for our new DCDA project , other than that there are no other PLI schemes.
Nagesh Motamarri: Okay. And no dividend has been declared for this quarter right ?
Dr. Krishna Prasad : No.

Nagesh Motamarri: Will there be a quarter we have been getting some interim dividend retirements ?
Dr. Krishna Prasad : We will go for a final dividend, at least that will be a sizable number.
Moderator: Thank you so much. The next question is from the line of Rahul Veera from Abakkus . Please go ahead.
Rahul Veera: By any chance, any update is there for the DCDA getting the PL I approval for us?

Dr. Krishna Prasad: It's approved actually,

we have approval for DCDA, it's for 8000 tonnes, we don't want to go beyond that. Even though our plan s for manufacturing is 30,000 tonnes, when we applied, we applied only 8000 , because there 's a liability if you don 't get to that number fast.
Moderator: Thank you so much. The next question is from the line of Shivendra NS , who is an Investor. Please go ahead.
Shivendra NS: I just have one clarification not sure if it's already covered in the call, what is the updates of the IT issue and how did you see that , did you see that impacting margins going forward or is this done and has been resolved and it's in the past?
KVS Ram Rao : So, the IT issue , whatever we have faced in the quarter one. It had a spillover effect till middle of the next quarter and we are currently resolved all the issues and as pointed out by Chairman in his speech , and later that the last month has been normal. And we are absolutely back on track for the regular production and dispatches. And all operations have become normal and although it has got its own regularization happened last month, but it had its impact in terms of the revenue, which was also stated in the speech of the Chairman.
Dr. Krishna Prasad: And going forward , the last part of your question , we have taken enough security measures, we've done a lot. And we are at a much, much , much better state of preparedness to face the cyber -attack . People keep getting attacked every day. And we keep monitoring what 's happening.
Moderator: Thank you so much. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.
Tushar Bohra: Sir, q uickly couple of questions. First, in the last couple of years something or the other has continued to bog us down in terms of execution. We hit a quarterly high somewhere in mid-2020 about 16 4 crores of PAT and then obviously a lot of things have happened since then. But it would it be safe to assume that, with the IT incident and the third party logistics issue behind us, we can look at next few quarters strong set of execution and on a much higher revenue base. Can we expect that, we can have much better profitability, should we look at most of these execution challenges or sporadic issues are no w behind us. And we can look for a few quarters of really strong execution net growth for the company?
KVS Ram Rao : IT issues are almost behind us and the raw material prices have started stabilizing much lower , at a lower level. So , the residual impact of some of these issues on the execution will be there for or a quarter or so. But as we expect the operations coming back to normalcy, and then the execution going to a highest level, our capacity is coming up in quarter four and quarter one, you can see progressively there will be a very good improvement. And we are all striving to achieve that.

Tushar Bohra: Got it sir. And the sharp formulation growth in US, i s it more to do with your core molecules , like something to do with the core molecules or is it the newer molecules have now started to contribute at a higher run rate ?
Priyanka Chigurupati: I'll take that question. It 's a mix of major products, some of which are some dosage forms of the core molecule, but also a lot of them a re from previously launched non -core molecules. And this primarily came from GP I.
Tushar Bohra: So, ma'am like, since the new products typically, they have given the granules strategy of gradually looking at market share increases and sustainably building the products over several years, can we say that we are finally starting to get meaningful traction from s ome of our launches over say FY 21 to 23 ?
Priyanka Chigurupati: If you look at the IMS numbers for our market shares, we 've picked up market share quite fast for most of our major products. And there are some changes that I mentioned earlier in my

discussion that have happened in the market, which have enabled us to pick up more market share and or potentially change some le vel of pricing with customers, because our competitors in the market , the competitive landscape in the market changes little bit. So, to answer your question, yes we have increa sed market share quite a bit. But it 's not something that has grown gradually. This has, we are seeing the market dynamics change, and this is of granules backward integration and all the other pillars that we have to support our front end, we 've been able to increase prices to a certain extent , very certain extent and then sustainably grow market share.

Dr. Krishna Prasad: Just to complete that , fully answer your question, some of the new launches we were able to get a very good market share.

Tushar Bohra: So, therefore sir, just a follow up on this, so therefore we should be able to see a more consistent increase further from here on , the overall traction in US. And assuming that the incremental sales also pick up in Europe, once you have fully normalized from Q3 and beyond. Can we expect that the overall contribution from formulations will continue to trend up or remain strong in percentage terms?

Priyanka Chigurupati: Absolutely, you'll see an increas e in trend of formulation in absolute terms. Like I mentioned earlier, in this call, we have seven launches over the second half, most of which the market shares which will be seen through the next couple of quarters. So, outside of that , we also have new products being approved in the next fiscal year, like Dr. Ram Rao mentioned, we have a double digit ANDA filing that we are aiming to achieve this year all those products and some of the products might be approved in FY 25. And there 'll be a continuity of it in FY26. So, at least will be a strong pillar of our growth globally , supported very strongly by our growth and investment into PFI s and APIs .

Tushar Bohra: Great. Just one last on the overall strategic initiatives going forward. So, we see a lot of emphasis in the last few quarters on R&D and innovation and also the work that is being done in controlled

substances and new technologies, which was also mentioned earlier in this call, maybe if you can highlight few more qualitative details and as well as highlight the path to commercialization of these new molecules or these new initiatives across enzymes an d biocatalysis as well as some of the work that has been done of the Pune laboratory ?

KVS Ram Rao: Yes, highlighting down the qualitative side definitely, on the enzymes we have gone ahead with the three molecules as I mentioned in my speech, and then we will be looking forward to commercialization of at least two molecules in the coming 12 to 14 months , commercialization plan. And then when we really look at the entire portfolio, it is very, very clearly mentioned that we have different types of products. And we are also looking at something slightly outside the overall solid forms , first w ave launches and also we are looking at NC E-1 filings, all this endeavor is from the strategic side is to ensure that we have a very healthy pipeline and focused on Day-1 launches. So, with our propensity to pick up market shares, through the Global cost leadership, backward integration, we will be able to clearly see that as the pipeline keeps filling up year-on-year. And these are all the launches which are likely to happen if things go well, but project six to 30. So, with that type of a mid-term and short-term plan together in the portfolio, as what Priyanka has very clearly stated, we will be seeing the launches, and we will be seeing actually the market share picking up for these new products. And , I have also stated in my speech that, we are also looking at global cost leadership. And this is very important from the perspective t

hat always the generic pricing in the markets, both US and Europe is going to go down. So, should we need to compete, then cost leadership is an important element. And therefore, as an overall strategy, we have portfolio, we have largest from approval produc ts to the wa ve ones to the Day-1s and to NCEs , and then cost leadership , everything put together should give a lot of value to organization in the next couple of years.

Tushar Bohra: Thanks, just one last if I may squeeze very quickly. Be you mentioned on the formulation side , have any of the new products already surpassed Methocarbamol and Guaifenesin for us in terms of contribution to revenues on an annualized basis ?

Dr. Krishna Prasad: Yes, a few products that have been far better than them.

Moderator: Thank you. In the interest of time, that was our last question. I now would like to hand the conference to the management for closing comments.

Dr. Krishna Prasad: Once again, thank you very much, ladies and gentlemen, for attending this call. I would like to end this on a very positive note saying that , we do expect t o do better quarter -on-quarter and we will all be seeing better results going forward. So, with this, I wish you all a very Happy upcoming Diwali . Thank you very much.

Moderator: Thank you . On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Jan 2024

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: January 2 5, 202 4
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q3 of FY24.
Ref: Our letter dated 11.01.2024 for intimation of the schedule of the Earnings Conference call for Q 3 of FY24.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transc ript of the earnings conference call of the Company for Q3 of FY24 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:
https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

“Granules India Limited Q3 & 9M FY24 Earnings Conference Call”

January 23, 2024

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND MANAGING DIRECTOR
DR. K.V.S RAM RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER
MR. PUNEET VARSHNEY – HEAD INVESTOR RELATIONS & GM FINANCE

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL PTY LTD.

Moderator: Ladies and gentlemen, good day and welcome to Granules India Limited Q3 and 9 months FY24 Earnings Conference Call .
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Over to you, sir.
Irfan Raeen: On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q3 and 9 months FY24 Financial Results Discussion Call .
Today on our call, we have Dr. Krishna Prasad sir – Chairman and Managing Director; Dr. K.V.S. Ram Rao sir – Joint Managing Director and Chief Executive Officer; Ms. Priyanka ma'am – Executive Director (GPI & GUSA); Mr. Mukesh Surana – Chief Financial Officer; and Mr. Puneet – Head (Investor Relations) & GM (Finance).
Before beginning with this call, I would like to give a short disclaimer :
This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.
With this, I would have to hand over the call to Krishna Prasad sir for his opening remarks. Over to you, sir.
Dr. Krishna Prasad: Thank you, Irfan. A very good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q3 Earnings Call today.
A detailed presentation of our Q3 FY24 performance has been uploaded on our website. And I'm sure all of you must have gone through it by now.
We had a stable Q3 after the I T incident had an impact on our previous 2 quarters' performance. Our Finished Dosage contribution during the quarter had increased to 66% resulting in an improved VA of 57% and improved EBITDA of 21.7% for the quarter. Our operating cash flow for Q3 stood at Rs.188 crores, driven by better collections and an improved EBITDA margin. Our operational expenditure is higher compared to th e previous year, driven by higher manpower cost, which is built for higher revenue and growth.
We expect the Formulation segment to drive the volume growth in the short -to-near term, primarily in North America and Europe. We are gearing up our Finished Dosage capacity to cater to this incremental demand. The construction of the new Formulation facil ity at Genome

Valley as part of Granules Life Sciences is progressing at a good pace. This plant when fully completed will add another 8 billion dosages to our Finished Dosage capacity.
We inaugurated the pilot plant at this site in the month of November 2023. In addition to new filings, commercial supply of monograph tablets is expected to start in Q2 FY25 which will gradually be ramped up during the coming year to go up to 2.5 billion capacities in the first phase. We expect the second phase to be completed by Q3.
During the quarter, we received approvals for 3 ANDAs from US FDA and 1 EU approval. Launches of these and a few previously approved products were delayed, and we expect to catch up in the next few quarters. During this quarter, we filed 2 ANDAs for the US. As of today, we have 62 appro ved and tentatively approved US ANDAs; 8 European dossiers, two in the UK, six in Canada, and three in other geographies – a total of 75 dossiers approved and 21 global dossiers to be approved. We have a total of 36 US DMFs, 24 CEPs, 5 EDMFs, 9 KDMFs, 5 Canadian DMFs, 5 Chinese DMFs, 2 Japanese DMFs, and over 50 filed across several regions. We are anticipating a higher number of ANDAs filing during Q4 FY24 and accordin

gly a higher
R&D outlay.
At Granules India Limited, sustainability is a core element of our DNA. We are committed to healing lives sustainably through pioneering green science. I am happy to share that Granules India Limited has been honored with the prestigious Economic Times RE -Pharma Award for Excellence in contribution towards sustainability. This recognition is not just an honor but a significant motivator bolstering our confidence to continue our journey with conviction. At CZRO, a green pharma initiative, we are focusing on strengthening our core business for backward integration of paracetamol and metformin in a sustainable manner. In the first phase at Vizag, we are putting up a pilot plant for DCDA and commercial production of PAP. The DCDA plant at Vizag with a capacity o f 108 tonnes per annum is expected to start by Q4 FY24. The PAP plant at Vizag with 10,000 tonne capacity is expected to be completed by the end of FY25. The project work at the main Kakinada plant is expected to start in FY25.
Over the past 2 years of organizational transformation, we have strengthened the organization and the leadership at R&D, operations, and other functions. The focus now turns to further strengthening the sales & marketing organization. I am pleased to annou nce the joining of Mr.

David Gonzalez as CMO of B2B business. David joins us from Polpharma, and he has been previously associated with Teva and Glenmark Life Sciences in global roles. Most importantly, we have also strengthened our board by inducting Mr. Sethurathnam Ravi as Independent Director. Mr. Ravi was and is on boards of many prestigious companies in the public and private sectors in various capacities including Chairman in some of them. We have also inducted Ms. Priyanka Chigurupati as Executive Director. Priyanka will be responsible for global marketing, portfolio, and new product launches.

With this, ladies and gentlemen, I hand over the call to Dr. K.V.S. Ram Rao.

Dr. K.V.S. Ram Rao: Good evening everyone. As briefed in my last couple of conversations , there is a paradigm shift in the management of portfolio of new products from the traditional Para 2 filing, the company has shifted its focus to Para 3 and Para 4 filings. The shift in focus is followed by strengthening of portfolio teams, R&D teams, and t echnology transfer teams to enable smooth integration and filings of the products. The new portfolio of the organization is aimed at not only oral solids but also ot her dosage forms, leveraging the capability of Granules' technological capabilities in API and formulations. Significant progress has happened on these dosage forms, and we expect to file new dosage for m ANDAs in the next financial year. The mix of portfolio includes launch on approval, Day 181, first to launch, and NCE -1 products. Most of these products are in the area of non -oncology.

Granules has built excellent infrastructure in APIs and formulations in oncology at our Vizag facility. We have started building a very strong portfolio of oncology products. The dosage forms of oncology products include oral solids and others. The portfol io, again, is focused on Day 1, NCE -1, and first -to-launch products. The approach here is also global product development. This should enable us to leverage our infrastructural and R&D capabilities and build a very strong oncology pipeline for the organiza tion. This strategic shift in portfolio has led us to build platforms around the strength of Granules and the global product development should enable us to become a strong player in most of the chosen geographies including the US.

I'm happy to say that this year, we will have double -digit filing of DMFs and ANDAs including Quarter 4 , the progress demonstrates our commitment in execution of our strategy. This is going to increase the R&D spend in Quarter 4 . Yet a

nother significant aspect of strategy is to focus on
sustainable new technologies. The technology development team has made significant progress on application of biocatalysis. Two products have completed the pilot scale and commercial production pl ants are under preparation, and the 3rd molecule has done the optimization in the lab and we are planning to commercialize the product.

Global cost leadership has been one of the strategic levers identified by the organization. While the backward integration from CZRO will give us leadership for paracetamol and metformin, we have started our work on additional 10 products which are critical for the organization in terms of both profit optimization and protecting market share in geographies of interest. The program is expected to bring in the desired results a year from now. With global product development as the chosen portfolio in oncology and non -oncology products, we have now embarked on a commercial excellence program. This program will serve as a catalyst for our business growth and business building in both new and existing commercial portfolios across the chosen geographies. To accomplish this, we have recently appointed a new Chief of Sales & Marketing as explained by the Chairman ea rlier.

We are also actively reinforcing our commercial team to ensure we have the necessary talent and expertise to expand in these chosen geographies. This also includes our capabilities in regulatory filings and addressing the nuances of regulatory requirements across the geographies to enable smooth market entry and long -term success. This le adership capability building,

excellence in our commercial processes, and customer centricity will be instrumental in the success of this program. This should result in larger market opportunities and drive profitability and growth for the organization.

With this, I hand it over to Mukesh, CFO.

Mukesh Surana: Let me take you all through the top financial parameters now.

Revenue:

The 3rd quarter revenues were Rs. 11,556 million as compared to Rs. 11,461 million in Q3 FY23, a growth of 1% in value terms. Sales in the US region grew well, led by both existing and new products. Revenue declined by 3% as compared to Q2 FY24. The sales breakup as per business division and the geographic division are presented in our investor presentation which is available on the website. You can see that the focus on Formulation sales has increased resulting in the momentum shifting from API and PFI to Formulation s.

Value Added:

Our value added as a percentage of sales for Q3 FY24 was 57% as compared to 48.4% in Q3 FY23. The value -added percentage as compared to Q3 FY23 has increased by 8.6% points, primarily on account of better product mix - increase in sales of formulations. Price erosions were more than offset by the reduction in prices of key raw materials. The value added as a percentage of sales for Q3 FY24 is up by 5.3% points from Q2 FY24 as well, primarily on account of better product mix - increase in sales of formulatio ns coupled with the reduction in rates and prices of key raw materials.

EBITDA and EBITDA margin:

EBITDA for the quarter was Rs. 2,505 million which is 21.7% of sales as compared to Rs. 2,313 million, 20.2% of sales in Q3 FY23, a value growth of 8% over the previous year primarily on account of better product mix. EBITDA for Q3 FY24 is up by 3.8% point s from Q2 FY24 with a value growth of 18%, primarily on account of better product mix - increase in sales of formulations, coupled with reduction in price of key raw materials.

R&D:

Our R&D spend for the quarter was Rs. 468 million as compared to Rs. 229 million in Q3 FY23 and Rs. 496 million in Q2 FY24. We are going to continue to spend on R&D in the coming quarters as well.

Net Debt :

Our net debt was Rs. 9,285 million as compared to Rs. 7,671 million at the beginning of the year. The net debt has increased by Rs. 1,614 million, primarily on account of reduction in operating cash flow. Net debt has decreased by Rs. 610 million from Sept ember 2023, primarily on account of improvement in operating cash flow in Q3.

Cash to Cash Cycle :

Our cash-to-cash cycle was 162 days in the current quarter as compared to 132 days at the beginning of the year and 162 days in the previous quarter.

Operational Cash Flow :

Operational cash flow for the quarter was Rs. 1,880 million as compared to Rs. 329 million in Q2 FY24. Higher EBITDA and improved cash realization from receivables resulted in higher operating cash flow.

Capex spent during the year was Rs. 1,047 million.

ROCE:

ROCE for Q3 FY24 is 15.3% as compared to 12.9% in Q2 FY24, primarily on account of increase in EBITDA due to the reasons stated earlier.

With th is, I open the floor for questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on this DCDA, now that plant is expected to start in Q 4 FY24, so effectively stabilization and then meaningful contribution to profitability when should we start expecting?

Dr. Krishna Prasad: Tushar, like I said in my remarks, the pilot plant from where we would be doing filings and also site transfers has already been inaugurated. Work is going on on the filings. Meanwhile, in the same block in another floor, we are putting up some compressio n machines and coating machines where we will be doing monograph products for the US, which doesn't need an FDA inspection to start with; they'll come later. Meanwhile, when we do new product filing and also site transfers, the FDA will come to inspect us even before the main block is ready. Once they inspect this pilot plant where there is some product running, the site is approved and then we are ready to go which will be in Q3 -Q4 of next fiscal. We can straightaway start production.

Meanwhile, we will also look for expediting the European approval. So, rather than waiting for 1.5 to 2 years applying after the site starts, we are applying for an FDA approval from the pilot plant itself and also some production will happen there from Q2 of next fiscal – Q2 or end of Q1.

Tushar Manudhane: This is to do with DCDA, right? Not the FDA?
Dr. Krishna Prasad: DCDA pilot plant trial runs will start in March of this quarter.
Tushar Manudhane: So, effectively, the commercial meaningful benefit will start hitting….
Dr. Krishna Prasad: The commercial, again after the pilot plant run, we will have to possibly modify the main equipment a little bit if required and then erection and all that will go into FY26, Tushar. PAP will start in '25 but this will go into '26. That will happen in the big site in Kakinada with renewable power.
Tushar Manudhane: Sir, the LATAM business with this inventory in the channel, is largely that correction done or you can expect some more in the coming quarters?
Dr. Krishna Prasad: It's a mix of inventory correction and also some of our important customers have lost certain government tenders. So, I'm not sure it will come back to normal, but it will definitely improve. And as of today, we are a little tight on capacity. In case we don't have too much PFI from LATAM, we will make it up for PFI from some other market. That's not a big issue. That's not going to hit us too bad.
Tushar Manudhane: Likewise, paracetamol as a product given that this quarter was not great as far as paracetamol in Europe is concerned, but how to think about it in the coming quarters?
Dr. K.V.S. Ram Rao: I think our pa

racetamol, again, the inventory which have been built up by our customers, include Europe, and as we see and move into Quarter 4 and Quarter 1 , I think the inventory levels are expected to come down, and then will start picking up the business in Europe for paracetamol. The trend will continue for some time in Quarter 4 because we bounced back to normalcy.
Dr. Krishna Prasad: Basically, there has also been a sale price decrease in paracetamol. So, when you look at revenue numbers, they will come down, but the margins are intact since raw material prices also have come down.
Tushar Manudhane: Lastly, the metoprolol, when do you expect it to launch in the US?
Dr. Krishna Prasad: It's on the sea, delayed by the ship going around the cape. Once it reaches, I think they will start.
Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Asset Management. Please go ahead.

Tarang Agrawal: Just a couple of questions. This recent dichotomy seen in your performance in your US and ex -US business; while I understand the situation with LATAM and the general trend of raw material prices going down, I just wanted to get a sense on your comment on both US as well as ex -US business. In the US, if you could give us a sense on how your volume has grown this quarter and some of the key products that have contributed to that? And similarly, if you could give us a sense on what really has h appened in Europe and ROW business, maybe some commentary on the volumes there.
Dr. Krishna Prasad: Actually, the US Finished Dosage business has grown and continues to grow, mainly driven by new products made from India and also products made at our US facility. The controlled substances business is growing and some of our new launches are also contributing. And as we launch a few more products, the revenues of FDs in the US are going to increase. Europe was mainly a paracetamol driven market and especially API. So, we had the sale price reduction in paracetamol and that's why the rev enues have come down. And while volumes will be there, the revenue will definitely not catch up to the old level where after COVID, the prices were very high. I don't expect the price to go there. However, our formulations that we are launching in Europe a re going to drive the growth in this region, and we see a steady increase in Europe too. So, while the US will be doing better than Europe in the short term, like I say 1 year or 1.5 years, after that, the growth rate in both geographies should sort of be equalized. LATAM, we are now trying to get into Finished Dosages in LATAM and it's going to take some time. While it will improve as a percentage of revenue, I don't think it will go back to those old levels because the US and Europe are growing very fast, and as a percentage, LATAM will continue to be low.
Tarang Agrawal: Just a follow -up; if I look at your dossier filings for Europe, right from June 2021 till December 2023, almost 2 -1/2 years, the number has moved up from, say, 5 total filings to about 9 filings. How should we see this? Should the intensity or the speed of these filings i ncrease as we move forward?
Dr. K.V.S. Ram Rao: As I said in my brief, the focus is on global product development and we are getting into the filings across the chosen geographies in the globe. Europe is a preferred destination. Already we have started working on more filings in Europe and you will see this numb er increasing very rapidly each quarter from Quarter 4 onwards, and we will to be able to see a lot of traction in Europe on the dossiers and also a lot of focus on the launches of these dossiers which we have filed sometime ba ck. So, Europe is going to be definitely a value -added formulation supply business through dossiers. That is the focus of the organization. And also the portfolio that we have created in the last 1.5 yea

rs, I think all those are also destined to be filed in Europe in the
next 2 to 3 quarters of time.
Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.
Sajal Kapoor: How much of the gross block is not optimally utilized today or waiting for ramp up but we are incurring fixed costs there?

Dr. Krishna Prasad: Mr. Kapoor, the number will be given by Mukesh in terms of rupees. But the Vizag site at unit #5, the onco and the other APIs, due to delay in approvals of some of our formulations, which will be using APIs from that site, that have been idle for a long, long time. And also, onco block has been idle. You just heard Dr. Ram Rao say that there are lots of very exciting plans for onco, APIs, and FDs. And we also expect with some approvals for some of the MUPS products formulations we have filed, the APIs will start being manufactured in that site; and maybe within a year or so, we should start seeing some good revenues from there. In terms of gross block, Mukesh will answer that question.
Mukesh Surana: The net block is about Rs. 350 odd crores where we use commercial as well as R&D. So, partially it is commercial and partially it is R&D.
Sajal Kapoor: Dr. Prasad, I just wanted to understand, as a percentage, by the sound of what you just explained in the response, it seems like a significant or a material part, if not significant, of the gross block is still fairly underutilized but the fixed costs are already flowing through the P&L. Is that a fair assumption?
Dr. Krishna Prasad: You are perfectly right, Mr. Kapoor. That still forms a sizable portion of our net block.
Sajal Kapoor: And the second related question is, what could be the EBITDA on about 70% capacity utilization assuming no material change in product mix and no material change in the cost of raw material? With 70% capacity utilization, we keep the same product mix as in the current quarter, let's say, assumption, of course, and the cost of material also remains kind of largely stable. I'm just trying to get a sense on what could be the optimal EBITDA margins and ROCE because the current numbers are not givin g a true reflection of the business potential.
Mukesh Surana: Currently, we still have a lot of room for capacity utilization both in Gagillapur as well as Bonthapally which are our largest plants. And there the utilization is higher than 70% but still we have room to go up to 90% to 95%. And also, we are continuous ly investing on debottlenecking and also improving production . It's a continuous process. And currently, we have in Gagillapur , the capacity in the range of 23 billion to 24 billion. With various improvements, we can further increase. And we are also adding one more facility, Granules Life Sciences. So, always it will be ever evolving. We will continuously add capacity. We will always have some capacity to be utilized.
Sajal Kapoor: Just a small clarification. Yes, I get that Mukesh. On a dedicated capacity, we expect no less than 95% steady state utilization. But on the fungible capacity, is it difficult to go beyond, let's say 85%? So, capacity utilization on a blended basis on a s teady state will be hovering between, let's say, 85% and 95%, including both fungible and dedicated capacity. Assuming we don't do any fresh CapEx which is not correct – I know that what I'm trying to understand is, can we get to 25% EBITDA ma rgin when we get to optimal capacity utilizations across dedicated and fungible capacities? Or can we even breach 25% with the improvement in the product mix? That's the sense I'm trying to get here.

Dr. Krishna Prasad: I understood that Mr. Kapoor. And basically, with optical product mix it can definitely go up to, a few percentages than what we are doing now, not 25% but

close to that. B ut the product mix will happen with the new launches. So, new launches, we have to see how they go in the market, we are quite excited , but we have to see how they perform . Definitely, the margins will go up. And again, another thing to add here is if you, if we remove Unit-V, where you rightly said, a lot of assets is not being utilized. Definitely our EBITDA levels will be higher than what you are saying. That means when that asset is utilized we can see some much better numbers.
Moderator : Thank you. The next question is from the line of CA Nihar Shah from Crown capital. Please go ahead.
CA Nihar Shah: I have two questions. One is on margin, though our margin has seen a good jump this quarter, like we are around 21.5 % to 22% level. So, what are the sustainable rate at which we are looking at going ahead ?
Dr. Krishna Prasad: It will be around this number Nihar definitely, and like I always say that we are always aiming for abo ve 20% and every quarter, or maybe year-on-year, we will see the EBITDA levels going up. Definitely and as like I said, when discussing with Mr. Kapoor, the product mix which when it becomes optimal definitely the margins will go up. But it will take maybe a few quarters to

see the effects.
CA Nihar Shah: Understood . And also our revenue this quarter went down on quarter -on-quarter basis like slightly. So , we are looking to improve from this at what rate and how c an we look the revenue outlook for next year ?
Dr. Krishna Prasad: Next year should be quite decent. But again, to answer your question for this quarter, the revenue I won 't say de-growth, no growth in revenue was caused because of prices of Paracetamol, like I said the margins were there. If you see the value -add was fairly good. But the revenue came down and next year definitely we will see an upward trend. Also, this year, if you see we also lost the first quarter. So, this quarter , this year is going to be not so exciting, but next year seems to be going great .
CA Nihar Shah: So, any ballpark figure, what kind of revenue are we looking for next year or any year-on-year growth rate which you would like to give?
Dr. Krishna Prasad: No, we made it clear a few quarters ago that we will stop giving guidance . But you will see the improvement Nihar .
Moderator : Thank you. The next question is from the line of Rashmi Shetty from Dolat C apital . Please go ahead.
Rashmi Shetty: Sir, basically on the US business and just to understand more on the gross margin side, the entire gross margin expansion, that we are seeing a sharp jump from quarter -to-quarter as well as on

Y-o-Y basis, it is mainly driven by this US business only or some other factors are also contributing it ?
Dr. Krishna Prasad: It’s a mix, actually it ’s a mix of product mix, which we are selling in the US. So, you are right, it is the US business that is giving us a higher value add.
Rashmi Shetty: Okay. So, if I try and understand, what is the volume growth currently, which you are seeing in the US business and what is the kind of price erosion that we are seeing in the US?
Mukesh Surana : We have multiple products ; some are in metric tonne and some are in tablets so it is difficult to give.
Rashmi Shetty: On an average if you can give something, some ballpark number just to understand ?
Mukesh Surana : So, currently we are much higher in terms of volume compared to the value. So, just to give some ballpark number, the price erosion range ranges from 6% to 10% at selling price levels . Raw material level will be much higher .
Rashmi Shetty: Got it. And, what, I understand that the FD sales contribution has seen a sharp jump i f I just compare nine months data to nine months data of FY 23 from 50% contribution it has gone to 61% and our API and PFI segment has actually come down. So, whether this ki

nd of performance will be there in the subsequent quarter also or we will see some fluctuation going ahead ?
Dr. Krishna Prasad: There will be some fluctuations Rashmi , but definitely they will be at the same sort of at these levels with minor fluctuations .
Rashmi Shetty: Okay, but this from 61%, any aim or anything which you are targeting that in next two years the FD contribution to overall sales to go to any particular number ?
Dr. Krishna Prasad: I cannot give you a number, but definitely our objective is to have an increased FD contribution because the FDs gives us the best margin . So, we are aiming for a higher percentage, and we definitely see the number growing , I cannot give you an exact numbers.
Rashmi Shetty: Okay. And what is the outlook on the API and PFI business because we have seen a big decline this quarter , this year which I understand is due to the pricing and also due to the Paracetamol pricing on higher base. But going ahead, have you seen that most of the impact has already come in and now the prices are stable, or do you feel that we are going to see much more impact in the coming quarters also ?
Dr. Krishna Prasad : Again, our objective is to convert API ’s and PFIs into FDs, which has started, so you will not see any as a percentage. The APS BFI s would s tay approximately around this range.

Priyanka Chigurupati: Rashmi , just to add to that, can we say the percentage s that remain same, but the volume growth will be quite significant, which means in terms of absolute numbers, you will see an increase primarily on the larger volume API . There has been a little bit of inventory stock ing that happened because of COVID for some molecules, which as we go increase, because our customers will be depleting in the existing inventory. So, we do have some capacity available for them and we will be utilizing that going forward.
Rashmi Shetty : Okay . And in your FD business , how much does US geography contribute , as of now . Now the US has become a big business , so you can at least give some idea. Only in your FD segment,

how much is the US contribution, followed by Europe?
Dr. Krishna Prasad : Majority of our FD business is from US, Rashmi so as major part, Europe is growing now.
Rashmi Shetty : Okay . And how many launches have we done till date? Till date in the sense for this year in the US business only for this year ?
Priyanka Chigurupati: We've done about four to five launches this year. But some of them have been soft launches like CMD indicated in his speech earlier. Some of them have been delayed because of logistics issues. But those will be resolved because we are building inventory in th e US before we take on new businesses and we will see our continuous stream of launches going forward. In Q4, we estimate to launch between three to four products and Q1 in addition to gaining more market share from the existing pr oducts we 'll be launching about three to four products.
Rashmi Shetty : So, this year you will end up by eight to 10 launches ?
Priyanka Chigurupati: No, we will have about four or five launches yet another three launches about seven new launches.
Rashmi Shetty: Seven to eight launches and next year how much are we targeting?
Priyanka Chigurupati: With the visibility we have across the regions we will have between four to eight launches with the current visibility.
Moderator : Thank you. Our next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.
Harith Ahamed: So, in recent months, you had some interesting approvals like generic s of Toprol -XL, Protonix and a few others . So, can you give an update on launches of these products and how the market shares have ramped up and also try to understand if there is a chan ge in the contribution from our top five core molecules, which has historically been above

80%?
Priyanka Chigurupati: So, like I mentioned just now when Rashmi was speaking to us, we have delayed a few launches intentionally because of logistics issues. Now that said, we have already launched four to five products we will be launching during a soft launch of three products in this Q4. And going

forward, we 'll be doing the remaining launches. Sorry, what was the second half of your question ?
Harith Ahamed: Given these are molecules outside our core, top five molecules . I was trying to understand if, there will be a change in the contribution or decrease in the contribution from top five molecules when we launch these products?
Priyanka Chigurupati: Yes. So, as we have always committed, if you see our numbers over the last couple of years in quarters, our core contribution has always been around 85%. As of this quarter, it 's about 72% , so this goal is always to increase the contribution from the new product s, and you will see that going forward as well.
Dr. Krishna Prasad : Harith to add to that also, the margin contribution from the new er products is quite decent compared to the older products as of today.
Harith Ahamed : Did I hear correctly that the core molecules this quarter contributed 72% ?
Dr. Krishna Prasad : Priyanka, yes.
Priyanka Chigurupati: Sorry, y ou cut off for me.
Dr. Krishna Prasad: She is right, around 7 2%.
Harith Ahamed: Okay, 72% of the overall revenues?
Dr. Krishna Prasad : That's right.
Harith Ahamed : Not the FD revenues?
Dr. Krishna Prasad : No. Overall.
Harith Ahamed : Okay . And when I think of CAPEX in FY25, in FY 24, we are tracking around Rs. 400 crores, estimated for the full year. Now when we are starting phase two at Kakinada how should we think about CAPEX in FY25 and this phrase two at Kakinada approximately, how much will be the overall spend and over what timelines ?
Mukesh Surana : Harith, I will give you a complete perspective on the CAPEX, as of now for first three quarters we have spent Rs. 283 crores and we are expecting to spend for the full year around Rs. 500 crores so that is the reduction in the capital expenditure primarily Granules C zro and that Kakinada as Chairman has explained in will start in F25 and commercial will start in F26 so there will be some deferment of capital expenditure but not so much substantial in the next year as well. Next year, we are planning for over all Rs. 600 crore CAPEX, Rs. 200 would be regular and Rs.400 crores would be on the growth project like Granule Life Science and Granule Czro and few other project s which we are exploring .

Moderator : Thank you. The next question is from the line of Bino Pat hiparambil from Elara C apital . Please

go ahead.
Bino Pat hiparambil: Just a quick one on raw material. So, when you say the decline in raw material prices helped margin , are there any two or three key raw materials which has mainly contributed to this?
Dr. Krishna Prasad: The main thing is the biggest product for us today are Paracetamol and Metformin . And the raw material for Paracetamol is PAP para-aminophenol and Me tformin is DCDA . So, both these product s prices have come down drastically . Of course, so as the selling price grew, but these are the two main products that have contributed .
Bino Pat hiparambil : Understood. And w hat do you attribute this reduction in prices to and how do you think it will remain though?
Dr. Krishna Prasad : Sorry, I lost you, I didn't get you.
Bino Pat hiparambil : What would you ascribe this reduction in prices of these raw materials to , is there a specific reason and how you think it will sustain at those levels ?
Dr. Krishna Prasad : During COVID that this price has shot up, there were shortages and now after COVID new capacities also were added and as of today their surplus mate

rial and I do have every reason to believe with the surplus capacity available the prices should hold on for a few years. Plus, or minus some percentage .
Moderator : Thank you. The next question is from the line of Nagesh M an Individual Investor . Please go ahead.
Nagesh M: Just wanted to know your viewpoints on dollar INR how it works in future. And what is your hedging policy , because for the last six, eight months the dollar has been stagnating it around 83 only?
Dr. Krishna Prasad: Mukesh will answer that.
Mukesh Surana: So, dollar -INR there are divergent views , our internal view is, in this range for next quarter and also next year in this range of 8 2 to 83. And as a hedging policy , we have a risk management policy and also we have a clear hedging policy in terms of whatever net exposures are there we take time to time coverage.
Nagesh M: Okay. What will be the average dollar rupee for your entire nine months period this y ear, realization?
Mukesh Surana: Around Rs. 82.5.

Nagesh M: Okay. One more question is , is there any chances of getting a bonus shares , because the company has not issued any bonus?
Dr. Krishna Prasad: Nagesh we did two buybacks , and that was really something we thought we were doing something very good. So, now with all the CAPEX and other things that we are doing, we may not do a buyback at least another year or two . Bonus shares, we have not thought of it, and we don't think I can commit at this moment in time .
Nagesh M: Okay. And any chances of the pledge of shares being totally released because you have done the reduction for a very long time and now it is stagnated ?
Dr. Krishna Prasad: It will be totally release d. You will see that shortly.
Moderator : Thank you. The next question is from the line of Vikas Sharda from NT Asset Management . Please go ahead.
Vikas Sharda: You mentioned that the raw material prices for like PAP and DCDA have fallen quite sharply this year. So , I was just wondering when you are talking about backward integration in your, Czro subsidiary. So, how does the viability of those projects change with say the changes in the prices or are these not really linked , how do you look at that prospect of that backward integration ?
Dr. Krishna Prasad : Even though the price dropped, when we make a product, going based on curren t yields, and other data we have now, we should still be profitable, not an exorbitant profit, but we will be profitable. And we have been able to justify our investment. More than just this , I've mentioned many times, the entire world is dependent on China for DCDA , and the geopolitical crisis somewhere there can lead to global shortages of Metformin . So, once we make the DCDA ourselves , it's a lot of self -reliance and customers would prefer to buy from a company which is fully integrated, and the other advantages. We will have the lowest carbon footprint when we make our DCDA, our product Metformin will be green compared to anybody else. Even though you don 't see it today, a few years from today, you will see the effects. And people , every company in the world pharma company , distribution company, including Walmart 's and all have taken targets for achie ving net zero, and the only way they can achieve that number is to buy products with less carbon footprint. And they do believe there will also be a premium for having products with carbon footprint . To Sum it, its self-reliability and also premium price based on green chemistry, in addition to nominal margin.
Vikas Sharda : Thank you. And one more question that , like when one looks at say the revenue growth for this quarter overall, it's a 1 %. How would you look at the volume growth versus the price movement

mix?

Mukesh Surana : So, it depends on a lot of product combi

nations and also a new metric ton ne and tablets. On
average , from lower side to the higher side 5% to 6% to 10% range of price erosion has been
there.
Moderator : Thank you. The next question is from the line of Saurabh Shukla , an Individual Investor . Please
go ahead.
Saurabh Shukla: Actually, I have two questions. The first one is, like related to this R&D section, which is
research and development. So, may I know how much increase we can see in the R &D spending
in the upcoming quarters for the financial years and in addition to this, is there any specific new
products in the pipeline that is going to be adding new portfolios ?
Mukesh Surana : R&D expenditure, we are spending 4% of sales , this quarter we have spent about 47 crores. In
the Q4 we probably would be spending much more than the 47 crores . As a percentage to sales
also, we will increase our spend in Q4. A lot of filings are in process in the next two months. So,
expenditure is going to go up and some new launches.
Dr. K.V.S. Ram Rao : So, on the new product launches, Priyanka has just spoken. So, we have done about four to five
launches now. New products in R&D. So, as I said in my brief, regarding the new products in
R&D, we do 10 to 12 filings every year. And this you will see, based on our R&D expenditure
that we are already slated for Q4, we will be ramping up around 10 to 12 every year , not only in
the US, but I 've also mentioned that this is a global product development. And we will be looking
at not only filing in the US, but extending these filings into the chosen geographies, including
Europe. So, overall, we will be looking at as Chairman has pointed out earlier, more of
converting assets into a good finished dose players in markets outside the US along with the API
sales. So , it will be 10 to 12 products every year in the R&D for at least the coming couple of
years.
Dr. Krishna Prasad: A lot of development oncology also is happening in the R&D as of today and will continue.
Saurabh Shukla: Okay . One more question, like as I said, as I saw there are two si tes that are being, Vizag and
Kakinada apart from that, is there any other like other new sites that Granules India basically
going into find out in India or any other geographies in the upcoming years or upcoming quarter
itself. And I just wanted to please emphasize that part, that is the question.
Dr. Krishna Prasad: Let me try to understand your question a little better, it wasn 't clear. So, are you asking if other
than Kakinada are we having any other expansions in different geographies?
Saurabh Shukla: Correct.
Dr. Krishna Prasad: Okay, we have a lot of investments going on right now. And even though Kakinada is delayed,
it's not going to be small. And also, we have this in Genome Valley, which is a different site
other than current form ulation facility, about 500 crores of investment is going on there . And
recently, we have started a packaging unit at a fairly high investment in Virginia, in addition to

our GP I facility . So, we have already invested in we have made plans for some more . And as I
see it today, I don 't think any other geography is visible.
Moderator : Thank you. Ladies and gentlemen that was the last question of the day. I now hand the
conference over to Mr. Krishna Prasad for closing comments.
Dr. Krishna Prasad: Ladies and gentlemen, thank you very much for attending this call. And I hope that you have got
all your answers. And if you have any other questions, please feel free to reach out to our team
Puneet or Mukesh , and we will be glad to clarify. So, once again, thank you very much. And
have a good evening.
Moderator : On the behalf of Granule s India Limited that concludes this conference. Thank you for joining
us and you may now disconnect your lines .

Call: May 2024

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: May 21, 202 4
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q4 and financial year ended on March 31, 2024.
Ref: Our letter dated May 02, 2024 for intimation of the schedule of the Earnings Conference call for Q4 and the financial year ended on March 31, 2024.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transc ript of the earnings conference call of the Company for Q4 and the financial year ended on March 31, 2024 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:

https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

"Granules India L imited
Q4 FY '2 4 Earnings Conference Call"
May 15, 202 4

MANAGEMENT : DR. KRISHNA CHIGURUPATI – CHAIRMAN AND MANAGING DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR – GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER – GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Granules India Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on a touch -tone telephone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Irfan Raeen: Thank you, Steve. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q4 and FY '24 financial results discussion call. Today on the call, we have Dr. Krishna Prasad sir, Chairman and Managing Director; Dr. KVS Ram Rao sir, Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, ma'am, Executive Director; Mr. Mukesh Surana, sir, Chief Financial Officer. Before we begin the call, I would like give you a short disclaimer. This call may c ontain some of the forward -looking statements, which are completely based upon our beliefs, opinion, expectation as of today. These statements are not a guarantee of our future performance and involve unfortunate risks and uncertainties.

And with this, I would like to hand over the call to Krishna sir. Over to you, sir. Thank you.

Krishna Chigurupati : Thank you, Irfan. A very good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q4 earnings call today. A detailed presentation of our Q4 and full year FY '24 performance has been uploaded to our website, and I'm sure all of you would have gone through it by now. We had a strong performance in Q4, with continued growth in the formulation share of the business.

This was driven by new products manufactured in India and mai nly in the U.S. and also sales in new geographies . While the year wasn't as per our expectations due to several reasons, including the cyber -attack and changing marketing dynamics for some of our products, mainly paracetamol, we are very excited to see our strategic initiatives take shape. Our FD segment has grown by 41% in Q4 FY '24 compared to Q4 FY '23 and contributed 65% of our revenue in FY '24. The sales of new products other than our legac y five products have been growing well and now contributes 25% of our revenue versus 15% one year ago. We continue to prioritize investment in building R&D capabilities and improve the quality of our product pipeline.

We have exciting product pipeline in oncology, antidiabetic segment, large volume molecules and select non -OSD form s. Dr. Ram Rao will elaborate on this further in his speech . We have made good progress on products being developed on innovation and technology platforms, such as biocatalysis and continuous manufacturing. The pilot plant validation for two API products has now been completed, and we are gearing to build commercial scale manufacturing capacity at Unit V in Vizag . We have approved ANDAs for the finished products, finished dosage forms of these APIs, and with this backward integration enabled by the differentiated technology platform, we are aiming to reach the leader ship position in these molecules.

We expect the formulation segment to drive the growth going forward with API and Select KSMs supporting this growth. We are gearing our FD capacity to cater to this incremental

demand. The construction and capacity ramp -up of the new formulation facility at Genome Valley as part of Granules Life Sciences is progressing well. This plant will add 8 billion dosages to our finished dosage capacity.

The plant successfully commenced operations in the month of March, and the capacity is being r

amped up progressively. On the sustainability front we have committed to achieving net zero by 2050 , aligned to SBTi's 1.5 -degree pathway. We have conducted one of the most comprehensive assessments of our Scope 3 em issions in the pharma industry.

Our net -zero road map has been finalized, and action plans have been initiated on efficiency measures, adoption of biofuels, renewable energy, supplier sustainability programs and green molecules platform. At CZRO , our green pharma initiative, we are focused on strengthening our core business for backward integration of paracetamol and metformin in a sustainable manner. We commenced operations for DC DA at the newly built pilot plant in Vizag during March '24. The pi lot DCDA plant has a capacity of 108 tons per annum. Plants are being worked out for a larger commercial facility at Kakinada.

To summarize, we are excited about the various venues for growth, including advancing our core products up the value chain, introducing differentiated new product lines and expanding and deepening our presence into new geographical markets.

With this, I hand over the call to Dr. Ram Rao.

KVS Ram Rao: Thank you, Chairman, and good evening, everyone. We have been communicating for some time about our strategy and transformation journey at Granules. After several quarters of focus and hard work, I'm happy to share that our strategy is strengthening the co re, focus on R&D,

technology and innovation and strong focus on quality have been paying off well in the markets or in other words, we have strategy in action.
Following our examples of transformation of our strategic thinking and execution into tangible business results. Our first strategy of strengthening the core, we have proven the strategy for two components of our portfolio, regular commercial products and new product launches. Our approach is through commercial excellence, innovation in R&D and technology and manufacturing ex cellence .
For commercial products, our program is focused on market share expansion in the chosen geography , resulting in moving up the value chain from API to Finished Dosages . Expansion of business in geographies outside the U.S., a sustainable and healthy bottom line . Following the key reasons in the strateg y in action, the Finished Dosage business is now contributing 65% of the revenue, while our API and P FI businesses are around 35% in FY'24.
Comparatively in FY'23, the finished dosage business stood at 50% of the revenue. This is a significant shift in our business model, driven by strong focus on North America, Europe and chosen geographies of rest of the world. This is an outcome of our stra tegy of strengthening the core.

Another important guidance is the revenue and the market share growth of our core molecules in North America . We have grown more than 20% in the last couple of years very tough generic competition in this geography. This growth is led by products where we have achieved and has continued to remain between the two top players over several years. We continue to maintain this dominant position in these molecules.
Our Finished Dos age business revenue has also gone up significantly in Europe and some of the chosen regulated markets. The revenue has gone up from INR248 crores in FY'23 to INR327 crores in FY'24, an increase of 32%. The approach of strengthening the core, which has also made us build a packaging facility , GPAC , in the U.S. has grown our OTC business by around 25% in FY'24. This move has made us one of the key players in the private label OTC space and the only integrated player right from raw materials to distribution .
New product launches, we have received 16 dosage approvals from various regions in FY'24 on account of the excellent work from our R&D and regulatory teams. Several of these molecules have been launched i

n U.S. We continue to gain momentum on products we launched in quarter 3 and quarter 4 of FY'24, primarily in the U.S. Majority of these molecules have been filed in Europe and some of the chosen ROW markets.
We have already received some approvals from Europe and expect most of the approvals in Europe and other geographies in the next couple of quarters. Some of these molecules will become a part of the existing core molecules, and our approach of strengthenin g the core will enable the molecules to become market leaders in our chosen geographies. We are not only strengthening the core, but we are also expanding the core.
Through these achievements of strategy in action, I wish to state that our first pillar of strategy has been success fully executed and the results are clearly visible through market share increase, revenue growth and geography expansion, along with healthy and sustainable bottom line.
Coupling this with our backward integration strategy and green chemistry, we wish to b uild a robust and an expansive core for the organization.
The second strategy on R&D, technology and innovation through our efforts in portfolio management, R&D and continued innovation in new molecules, we have successfully created four major platforms for the organization. The first platform, CNS, specifically in ADHD, is a growing therapeutic category in U.S. and in other parts of the world.
Our R&D infrastructure at our Chantilly facility in Virginia in U.S. is focused on development and manufacturing of CNS medication with special focus on ADHD products. Our strict policies and management around manufacturing and commercialization of these products have allowed us to gain momentum in the U.S.
Our R&D in Chantilly also focuses on complex products, some of which have been launched at a brand level for several years without competition, owing to the complexity in development.
The composition of this portfolio includes a Para IV, Para IV-181, first-to-file and Para III products . With this well -balanced portfolio of immediate launches and IP -driven litigation launches in the next couple of years, we see a lot of excitement in this category.

Oncology platforms , leveraging our excellent infrastructure in API and combination of oncology as unit , we started developing our oncology portfolio of first to file, first to launch Para III and Para IV and Para IV -181 products in the U.S. and Europe. This portfolio will also extend through the rest of the world, including India.
These products will be developed for the global markets, and we expect to launch them from FY'26 onwards. A lot of commercial work in this direction was already taken, and we expect to play a very significant role in the overall solid oncology business across the globe in the coming years.
And then in manufacturing technology platform , we have been communicating for the last four quarters on our progress on this platform. Five projects are significantly advanced and almost at the stage of completion of optimization. One of the projects has been tried at the plant scale successfully. We are focused on creating manufacturing technology infrastructure and start validation of at least three molecules in quarter 3 FY'25.
This platform is expected to bring us global cost leadership, manufacturing technology excellence and help us lead towards our journey on sustainability. The progress of this platform in a short period of four quarters demonstrates our commitment towards transforming the organization through science and technology.
As is clear from the above , Granules is fully focused on building world -class product platforms through science and technology and drive business growth through bottom line sustainability and living the purpose and vision of the organization. To achieve this transformation, spend in R&D has also b

een increased to around 4.5% of the sales.
Strong focus on quality, I wish to share our happiness with all of you on the Zero 483 outcome of our Unit V facility of USFDA in April this year. Quality everywhere is the value of the organization, and we wish to percolate the quality culture across all areas of the organization. Several initiatives focused on behaviours , technology, systems and processes drive excellence in quality. We will continue to have strategic focus on quality, and we make this a formidable strength of Granules.
Thank you, and over to you, Mukesh.
Mukesh Surana: Thank you, CMD and GMD. Let me take you all through the top financial parameters now,
Revenue : The fourth quarter revenue were INR11,758 million as compared to INR 11,955 million in Q4 FY'23, with a decline of 2%. Formulation growth, including GPI -manufactured products, offset by decline in Para API sales volume and price erosion .
Revenue grew by 2% as compared to Q3 FY'24, in line with our strategic focus, continued FD sales growth, including GPI -manufactured products, offset by decline in Para API sales volume and price erosion , the full year FY'24 revenue were INR45,064 million as compared to INR45,119 million in FY'23.

Despite the cyber incident and decline in Para API volume and price erosion, transformative focus into formulations, including GPI -manufactured products enable d the company to sustain the similar turnover year -on-year. The sales breakup as for business division, geographic regions are presented in our investor presentation, which is available on the website.
Value -added : Our value added as a percentage of sales for Q4 FY '24 was 60.1% as compared to 47.8% in Q4 FY '23. Value added as comp ared to Q4 FY '23 is up by 12.2% points, primarily on account of higher FD sales including GPI manufactured products and lower material costs. Value added as a percentage of sales for Q4 FY '24 is up by 3.1% point from Q3 FY '24, primarily on account of higher FD sales. Our value added as a percentage of sales for FY '24 was 55.1% as compared to 48.9% in FY '23. Value added as compared to FY '23 is up by 6.3 % primarily on acco unt of higher FDs including GPI manufactured products and lower material costs.
EBITDA and EBITDA margin. EBITDA for the quarter was INR 2,557 million that is 21.7% of sales as com pared to INR2,281 million t hat is 19.1% of sales in Q4 FY '23 an increase of 12% in value terms over the previous year mainly on account of improved VA percenta ge. EBITDA for the year was INR 8,560 million as compared to INR 9,138 million in FY '23 a decline of 6% over the previous year mainly on account of increase in R&D spend for R&D pipelines.
R&D : Our R& D spend for the quarter was INR609 million as compared to INR 369 million in Q4 FY '23 and INR 468 million in Q3 FY '24. R&D spend fo r the year was INR 1,986 million. We are going to continue to spend on R&D in the coming quarters as well. Freight costs : Freight expenses increased by INR 128 million compared to Q3 FY '24 mainly on account of Red Sea surcharge issues. Out of this, an a mount of INR 75 million is inventori zed on the dispatches made to US A subsidiaries .
Net debt : Our net debt was INR 8,421 million as compared to INR 7,671 million at the beginning

of the year. The net debt has increased only by INR 750 million. Cash -to-cash cycle. Our cash -to-cash cycle was 161 days in the current quarter as compared to 132 days at the beginning of the year. New launches and Red Sea issues impacted both inventory days and overall CCC days.
Cash flow from operations : Cash flow from operations for the quarter was healthy INR 2,150 million as compared to INR 1,794 million in Q4 F Y '23. And for the year was INR 4,394 million as compared to INR7,38 7 million in FY '23. Cash flow from operations for the year has d

ecreased due to reduction in EBITDA and an increase in inventory days.
Capex : Capex spend during the quarter was INR 1,006 million primarily invested in Granules Life Science and Granules CZRO. During the year we spent INR 3,823 million primarily invested in Granules Life Science amounted to INR 1,560 million and Granules CZRO INR565 million. ROC E for FY '24 is 16.5% as compared to % 21.2% in FY '23. The decline is primarily on account of decrease in EBIT, investments in Granules Life Sciences and Granules CZRO and increase in inventory days.
With this, I open the floor for questions.

Moderator: The first question is from the line of Ashish Soni, an individual investor. Please go ahead.
Ashish Soni : This is regarding the new capacity of build. So, when do you think optimally it can be used within this year or maybe next financial year?
Krishna Chigurupati: Yes. I think you are referring to the formulation capacity. Assuming it's that, I think in July the ramp up will happen. By August we should be touching about something like 100 million per month and over the next eight months from then, maybe into April, May of next fiscal, we should be able to touch at least 4 to 5 billion annualized capacity.
Ashish Soni : And regarding this new product approval, so how much it can contribute to our revenues going forward this year, next year?
Krishna Chigurupati: Priyanka, you want to answer that?
Priyanka Chigurupati : Sure. good evening, everybody. Going forward, we are looking for new products to contribute about 7% to 10% if everything goes well up next year's revenues.
Ashish Soni : Okay. And how is our progress on the DDCA, the green chemistry, what you are planning to do? So how is the progress right now looking like?
Krishna Chigurupati: We started pilot plant production in March. We commercialized production from the pilot plant and a lot of trials and variations are happening. We are also streamlining and tweaking the process. This process is first time in the world anybody has done it. It's our own proprietary patented technology. It needs a lot of refinement. So it's going on in the right direction.
Everything is planned. And once it's finalized, we should be, we are already making arrangements for commercial produc tion in Kakinada. So things are going well on that front.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri : Just wanted to ask right now sir, seeing improvement in our gross margins right now then. So what kind of margin trajectory would you see in FY '25? Will we be able to keep bettering margins as quarters go b y?
Mukesh Surana : Yes. Thanks for the question, Darshil. We have achieved 48% gross margin in F Y '23, and F Y '24 we have achieved 55%. Last two quarters, we are in the range 57% to 60% . That is also because of higher FD sales, and we continue to see that the higher FD sales will be there in the next year as well. And the raw material cost also has helped us in the current year. So depending on the raw material costs and our product mix we see the sustainability in the range of 55% to 58%.
Darshil Jhaveri : Okay. So sir, how much would that translate to as an EBITDA? So can we see around like a broad range maybe 24% to 26% EBITDA. Is that possible, sir, if you could help in that, sir?
Krishna Chigurupati : I would be very conservatively say something around 22%, 23% is possible. That's what we have been maintaining t hroughout , and we are trying for more, but let's see what happens.

Darshil Jhaveri : Okay. Perfect. And sir, with regards to our higher interest cost, so what would be the trajectory that you would see, maybe will that this run rate would continue for a year or two? Or how would we look at our higher interest costs, sir?

Krishna Chigurupati : That would all depend on the U.S. Fed, but I would let Mukesh answer that in detail.
Mukesh Surana: Yes, Thank you, CMD, for putting that rightly. So yes, it is largely dependent on our SOFR rate.

If you see, our net debt has not gone up despite investments in capex, so it is largely dependent on Fed rate. And based on the current conditions, we see the Fed rate is not going to come down in the next six months also. So in the upcoming 2 quarters, we see the similar interest cost of Q4.

Darshil Jhaveri : Okay. So that helps a lot. And just like, sir, one last question. In terms of revenue, would we like to guide something that how much better could we do it in FY '25, sir? Any quantitative, qualitative guidance that can we grow at a certain rate? That would be very helpful, sir.

Krishna Chigurupati : We'll definitely do better, Jhaveri. And how much better, I don't want to mention anything. Like I said before, we have taken a decision not to give any guidance.

Darshil Jhaveri : Okay. Perfect, sir. And just one last question, sir. In terms of our demand environment, do we see any, how is the demand environment currently going? Is it buoyant right now? Or, what do you see around, sir?

Krishna Chigurupati : The demand for all our products is quite good. As we add new ge ography , the sales are also increasing. And there is a fairly good demand, a very healthy demand for all our products. Except, of course, with the exception of paracetamol , where we have had some challenges in the last quarter.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah: So my first question is that paracetamol API sales have been declining and is witnessing price erosion. So where do you see this stabilizing now?

Krishna Chigurupati : Actually, this demand is also partly because of overstocking by some of the large brand leaders in the world. And that I think should start stabilizing from Q3. And also, there's also an issue of excess capacity that was built up after COVID. So, there's a lot of competition and that is causing to price erosion. I think this year most of this thing may continue. Next year onwards, FY '26, things should stabilize. But even during this year, quarter -on-quarter, I think there will be some improvement.

Nirali Shah: Understood. Thank you. And my second question is on our debt profile, where do we see a comfortable net debt number, say, over the next 2 to 3 years?

Mukesh Surana : So internally, we want to manage net debt to EBITDA at 1 to 1.1 level , 1.1, we are comfortable. Hope that answers your question.

Moderator: The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen : Sir, this new formulation capacity that we have installed, how much revenue do we foresee from this plant itself in this fiscal and in the coming year?

Mukesh Surana : The new capacity is in granules life sciences Pvt Ltd . So, CM D has already answered that. 100 million per month, we are expecting July 24 onwards. And next fiscal year, we are looking at 4 to 5 billion.

Krishna Chigurupati : Revenues depend on the product also we are trying to finalize, which products to commercialize there. It will depend on that.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Broking.

Nirali Shah: So I just have one more question that we see that the product mix over the next 2 years, it has changed from 25% new products to 25% legacy products. So, when can we expect the shift in the margins due to this product mix?

KVS Ram Rao : Yes. So, as I already pointed out that we have a product mix change from API to finished product. And as CFO has already explained, we already moved up our margins because of the shift in the business model. All the new products which we are l

aunching now and we are going to get approval in the next 1 to 2 years also will add to this shift in the business model more towards the FD. And also in other regions also, we have the contributions coming from the finished dose. So, overall, I think the moment will be quite positive on the finished dose side and that should help us to have much better and sustainable margin of bottom line.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: Good evening, sir. Thank you so much for your time. My question was that if you look at our employee cost and other expenses this year, they have gone up by almost 20 %-25%. And I think some of it seems to be that we are kind of investing ahead of the curve in new plants and I think we have had the new packaging facility in Virginia as well. So, is it the right understanding that in the coming couple of years, as revenue scale s up, some of these cost line items should kind of grow lesser than revenue s? Basically, is there a scope for operating revenues to kick in given how the business is kind of positioned right now?

Krishna Chigurupati: Yes, Madhav, you have been perfectly right saying that the new facilities and expansions that have led to increase in manpower cost. It's R&D too. R&D, GPAC, the packaging facility in the U.S. And also, most importantly, we are investing in building a future -ready organization. In the U.S., not only the packaging side, there's been a lot of investment on the marketing team and

also building up capacity in the U.S. manufacturing. So both these things also have taken up a lot of manpower.
And also, we have invested a lot on the global marketing team. We have built up a new organization to serve customers in a better way. And we have people of very high caliber and a lot of people have been added to various services. They have customer -specific representatives. There's a big change happening in the organization. This cost increase has happened. But going

forward, it will not be at this rate, definitely. This is a big shift that has happened this year. So, it will be in control.
Madhav: Okay. And then the second question which I had was, like we were, I think in the presentation you have highlighted in the -- I think this is the second part of that slide, which is the portfolio expansion slide, Slide 7, you have spoken about the CNS, ADHD products and the MUPS products. And I think you have also mentioned about getting approval for Metoprolol and I think one other product which has come through. So I just wanted to understand that some of these products, will they start contributin g in a healthy way from Q1 FY '25? Is that how we should think about it?
Krishna Chigurupati: They will not contribute heavily from Q1. But as we go by, these are very big products for us. We are banking heavily on these products. And the margins and the revenues from these products are going to really propel the growth of revenue .
Madhav: Okay. So could you share a bit more on the timeline, like when do we expect more material ramp up from these new er products?
Krishna Chigurupati: This year itself, FY '25 will see a good contribution from these products and a good growth due to these products. But '26 should be the year where we will see a very marked difference.
Madhav: Okay. And I think , I think Priyanka was referring to, I don't know if I have picked it up. No, I was just saying that I think in the earlier comment, you have mentioned that 7 % to 10% of contribution should come from new products in FY25. So, did I get that right? 7 -10% of FY24 revenue basically should be like new products in FY25. Is that right?
KVS Ram Rao : I think so. What we are looking at right now when the question was asked was on the 7 % to 10% of the contribution coming from new products. But as we see the number of app

rovals and the launches that we are doing in the US, this percentage of the new products will definitely go up. And it continues to grow as we go from FY25 to 2026 and 2027 , this is expected to grow much faster.
Mukesh Surana: Madhav , I just want to add a clarification , in the presentation that we have circulated. It is a history of 10 years. So, in the history of 10 years, if you see the 5 products were the l egacy and everything else w ere new product s. What JMD has just clarified is, in addition to that another 5%-7% contribution from more new products.
Krishna Chigurupati: Not the growth of new products introduced already, but the products that will be introduced.
Madhav: And has Metoprolol being launched in the US or that is going to happen going ahead and Ibuprofen OTC as well?
KVS Ram Rao : Mostly US, but it is happening in other countries also. So, nowadays whatever the new filings that we do, it is for across the world, global filings. So, most probably we launch in US and Europe at the same time. Other countries will be in the next phase.
Madhav: Okay, got it. And just a last question was our capex expectation for FY25?

KVS Ram Rao : FY25 capex, we are estimating about 6,000 million, INR600 crores. So, half of that will be granul es lifesciences expansion, other half will be for other projects as well as maintenance capital.
Madhav: Okay, got it.
Krishna Chigurupati: Just to elabo rate a little bit on that, Madhav , we have decided to go a little slow on C ZRO , take a very cautious approach. And only after each state gate is passed, we are investing money on it.
Moderator : Thank you. The next question is from the line of Foram Parekh from Share Khan. Please go ahead.
Foram Parekh: Yes, thank you for the opportunity. Sir, my first question is, you mentioned that value added products now contribute 65% of the sales. So, may I ask, what is the percentage contribution do we envisage? I mean, till what percentage do we want to go?
Mukesh Surana : I will just clarify your question a little bit. So, value added, we call it as gross margin as value

added, which is 55% for the year and if you are asking about formulation, in the quarter 4 we were at 73%, overall year we were at 65%.
Foram Parekh: So, this 65% is expected to reach to what number? I mean, how much do we envisage?
Mukesh Surana : We are looking at around 70% moving forward. It could be a little more too, but we will see as we go. We expect some API sales also to keep increasing. We don't want to cannibalize that totally.
Foram Parekh: Okay. So, this 75% is expected like in one year's time or it will be spreaded over a period of two years?
Krishna Chigurupati : It will be next year. One year's time is best.
Foram Parekh: Okay. So, then my second question is, you mentioned that EBITDA margin is expected to reach to 22 %, 23%. So, again, this would be like over a period of two years or we see this coming and being executed next year?
Krishna Chigurupati : If you see in the past few years, also, we were around 21%, 22% EBITDA margin. So we expect that to be reached as early as possible. But going forward, we say that this is what we will maintain, but the possibility of doing better is always there.
Foram Parekh: Okay. And sir, in the presentation, I see on the Slide 22, geographically, all the geographies are not -- have not performed in FY '24. So could you just elaborate? I mean, why are we not able to grow in all the regions like Europe, Lat am, India, ROW?
Krishna Chigurupati : In these markets, Lat Am and ROW, especially these two markets and in Europe, our sales were mostly profiled by Paracetamol, API and PFI. So, we had an issue on Paracetamol, API, PFI due to market demand coming down and also the price erosion. Now, just to give you an example,

the prices have come down from something like INR600, INR650 to INR250 or INR300, it was lower than that. So, that is what has contributed to the decline in sales in this region.
Foram Parekh: Okay, so sir...
Krishna Chigurupati : FDs have gone up in Europe, they have compensated to some extent.
Foram Parekh: Okay. But sir, in ibuprofen, we see that prices have come down and probably we do not see it going back to the COVID days. So how do you see the demand? I mean, is there demand? And with this kind of prices, how do you see ibuprofen sales ramping up in the next years?
Krishna Chigurupati : Ibuprofen sales will have to ramp up only by volume increase. It is not going to be driven by value. I think the value is the lowest, and it will continue for a while. The market for these products like Paracetamol and ibuprofen don't grow too much. They grow by single digit or possibly 2 digits. And the only thing we have been growing is to get increase our market share and then very crudely put it cannibalized on other people's market share. We have done it successfully in the past. And even for ibuprofen going forward, we expect to im prove our market share mainly in the U.S.
But the good news is we have some European approval, and we already have tied up some sales contracts with some customers there. So, Ibuprofen will only grow by cannibalizing on others.
Foram Parekh: Okay. And sir, can you just give us the number what would be the market share for ibuprofen in the European market?
Krishna Chigurupati : There are different forms, OTC, Rx window, it is a little difficult to estimate. But we do not have a presence today but we will be getting a detailed market share as we go forward in Europe.
Moderator: The next question is from the line of KVKS Choudary , an individual investor.
KVKS Choudary : My first question is with regard to MUPS Block. Can you give us an idea about the current capacity utilization in the product from that line?
Krishna Chigurupati : MUPS Block, we're contributing quite well to the revenue and profitability, but actually, M UPS Block will also do a little bit of granulation and other type of compression too. And we have packaging lines. But actually going to just the M UPS products, we are doing around 40 % to 50% capacity utilization. And by the end of this year, we expect it will go up to 70%.
KVKS Choudary : My second question is with regard to Granules Incorporated, GI Incorporated. We have had some controlled substances approvals and as well as ADHD. But the ramp up doesn't seem to be commensurate with the number of approvals. What is the current investment and asset turnover EBITDA in Granules?
Mukesh Surana: Can you come back on that question?
Krishna Chigurupati : Asset turnover. Let's talk about asset turnover for GPI asset turnover.

Mukes Surana: GPI asset turnover, we have invested there in the intangible assets as well as fixed assets. Fixed

assets turnover significantly better. So it is in excess of five. And now GPI manufactured
products is also going up. Some of the launches that you rightly said, which will get launched in
the next couple of years. So we will get a good return on the intangible assets also.
KVKS Choudary : The controlled substances are not under patent. Isn't it possible for you to launch them immediately?
Krishna Chigurupati : We have a lot of controlled substances being sold from GPI from our US facility already. And that facility has been set up only to concentrate on these products. And we have more products
coming up and we will be selling more of these products.
KVKS Choudary : Okay. What is your ADHD line?
Krishna Chigurupati : Sorry ?
KVKS Choudary : What are the products lined up for ADHD? ?
Krishna Chigurupati : We have many products lined up but I don't think we should talk about them.
KVKS Cho

udary : Hello?
Krishna Chigurupati : Yes, we can message out there. I don't think we can give you the names of products.
Moderator: The next question is from the line of Nilesh Prasad from Motilal Oswal.
Tushar : Hi, sir. Tushar here .
Krishna Chigurupati : Hi, Tushar.
Tushar : Sir, on Metoprolol and subsequent to that, how do we see good any potential product for '25,
'26, if you would throw some, light?
Krishna Chigurupati : It's got -- yes, go ahead. Anything else?
Tushar : Yes. Maybe if you could answer this and then...
Krishna Chigurupati : Tushar, Metoprolol has a very good potential and things are looking very, very positive. And we are ramping up production for the U.S. market. So we are very happy with the progress there.
And the good news is Europe also, we got approval. We are going for national phase. And this
year, we will start sales of Metoprolol in Europe also. So two regions we will be selling and we
are also planning to take this product into L aTAm and other countries. The outlook looks quite
good.
Tushar : Sir, anything on the price erosion on Metoprolol per se with, in terms of the competition?
Krishna Chigurupati : Not a great price erosion. There's normally , whenever a newcomer come, there will be a fight, so prices will go down a bit, but it's nothing drastic.

Tushar : Okay. And sir, any other like this interesting product in the portfolio which can come up for
approval in '25?
Krishna Chigurupati : Yes, they're quite interesting product s Tushar and as we get the approvals, you will know about them. And maybe later on, possibly, we could look at how they're doing. But we have many
exciting products there in the pipeline.
Priyanka Chigurupati: And just to add to that, we have a total of about 16 to 18 launches coming up this fiscal year, out of which 14 products will be new and remaining will be essential extensions of the launches --
ramp -up of the launches that we've already made in Q4.
Tushar : 14 new launches, right?
Priyanka Chigurupati: Yes. Yes.
Tushar : Interesting. So that should further build up at least as far as the U.S. market is concerned ?
Priyanka Chigurupati: It's not just the U.S. market. It's both , sorry, U.S. and Rest of the World markets.
Krishna Chigurupati: And mainly Europe, Tushar.
Tushar : Okay. So the 16 to 18 launches is combining of U.S. and Europe market largely ?
Krishna Chigurupati: Yes.
Priyanka Chigurupati: Correct.
Krishna Chigurupati: That's right. It's a big challenge for us and the excitement expecting to say this is the first time in Granules, we'll be launching so many products in 1 year.
Tushar : Yes, that could help grow the sales at a healthy level in '25, '26, right?
Krishna Chigurupati: Yes, that definitely Tushar you are , right. We are working towards that.
Tushar : And so if I connect this comment with the EBITDA margin also moving up to 22%, 23% for
FY25, so effectively and subsequently, the cash flow generation and considering the capex, the
net debt level to what it would come down to maybe by end of FY25?
Krishna Chigurupati: Net debt will not -- possibly may not come down, Tushar. We are looking at maintaining our net debt-to-EBITDA at less than 1, and if at all, we can get great opportunities to o, we may not want
to grow if the net debt-to EBIT DA has grown more than 1, but we are not trying to make it zero
debt, bring it down totally. We want to have a healthy net debt to EBITDA.
Tushar : Understood. So no, I didn't mean zero net debt, but will there be any red uction in net debt, INR
INR5 0 crores to INR100 crores ?
Mukesh Surana : Not expected, Tushar. We are at INR 840 crores. So net debt to EBITDA of around 1 level is

what we are saying .

Tushar : No. I mean INR50 crores to INR100 crores reduction is what can be e

xpected?
Mukesh Surana : Not really so , because of the growth there is the investment in working capital and also Granules Life Sciences capacity expansions are planned. So we would positively manage the net debt to EBITDA . Ratios is not worsening, it is improving.
Krishna Chigurupati : Just to clarify this were INR842 crores is the net debt as of today, as of year-end. And I don't think we are planning to bring it down drastically . Maybe there could be a small change, plus or minus here and there.
Tushar : Got it. And lastly, because I joined late, so I would have missed it. Just if you could elaborate on the paracetamol situation, what has happened exactly because of which there has been significant price reduction? Is there any new competition that has com e out or existing players have lowered the prices significantly?
KVS Ram Rao : So Tushar, there are three components to this issue. The first one is many players who are end customers of paracetamol have actually got a lot of inventory store d. And as explained by Chairman earlier, it will take a couple of quarters to actually get to the position of liquidating their inventories, and therefore, the paracetamol situation is expected to not to go back to the original levels, but definitely go bac k to some higher levels by quarter 3 or quarter 4 of this year. That is the first reason.
The second reason, because the offtake is low and the capacities which have come up thanks to COVID are high, so there is an excess supply to the demand and some of the organizations are looking at lowering the prices to actually survive the capacity utilization. So therefore, the price has been significantly down at the numbers shown by Chairman just a few minutes ago. So I think that's the second.
And the third one, we actually did -- and as I told in my communication that we are moving towards the finished dose on paracetamol and therefore, we will be in a position to look at overall balancing at paracetamol in the next couple of quarters. But suffice it to say that this situation will continue for the next 2, 3 quarters.
Krishna Chigurupati: Just want to clarify, Tushar, except us at Granules India, every other paracetamol manufacturer is a single product company and they will fight tooth and nail, and if they don't sell enough, they will be dead. So, they are desperate and at this point in time, I don't think they should go and fight for that market with no margin. We would stick to our regular customers, and once their inventories are rationalized, we would get back into business. .
Tushar : Got it, sir. And this is more specific to paracetamol, right? We are not seeing such situation in either Metformin or Ibu or Methocarbamol , right ?
Krishna Chigurupati: No, no. It's only paracetamol.
Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed: Sir, can you disclose the sales from our GPI subsidiary for FY'24 Granules Pharmaceuticals Inc ., for U.S. subsidiary?
Krishna Chigurupati: Did you say revenue, Harith?
Harith Ahamed: Yes, yes, yes. .
Mukesh Surana : So GPI full year turnover INR1,619 crores, Harith and for the quarter is INR477 crores.
Harith Ahamed: Okay. Okay. So, when I look at FY24, we've ha d a very strong growth in our FD segment, more than 25%. So, when I think of F Y25, should we extrapolate a similar growth? Should we be able to maintain a similar momentum for the segment? And if you can also share the number of launches that you're targeting particularly in the U .S.?
Krishna Chigurupati: Harith, all the growth going forward is only going to come mainly coming from FD. So if you look at the overall growth, obviously, the FD growth has to be very decent and very healthy. Definitely there will be a very healthy growth and possibly a little better than last year's growth.
Harith Ahamed

: Okay. So, when I look at the filings, the data that you've given in one of the slides, we have, from both GPI and GIL, together we have around 13 ANDAs pending approval. For the size of our FD business in the U.S., it's supposed to be slightly on the lower side. So, should we expect a further step up in R&D spends going forward? And if you can share the spends that you're anticipating in FY25, R&D spends that you're anticipating ?

KVS Ram Rao : So, we have already communicated that our R&D spend has gone up, and it continues to remain around that and likely to go up in the coming years, because we have a very good pipeline and the delivery of the pipeline in the various categories, as I mentioned before. So, we expect the R&D spend to be, you know first-to-file. Go ahead.

Krishna Chigurupati: So, I'll... Go ahead. I think Dr. Ram Rao said in the speech that we are working on a lot of first-tofile 181 days and all these 3 -4 launches. So, there's a lot of work going on, especially in the Onco and other areas. There could be a slight increase, but overall I don't anticipate there'll be a great increase in R&D spend. Already, we have provided for the growth, and we are already there.

Harith Ahamed: Got it, sir. And then last one, w hen I look at other expenses for the quarter, there's been a sharp increase of around INR50 crores quarter -on-quarter. I understand all that is probably because of the quarter -on-quarter increase in the R&D spend, but it still seems to be on the higher side , any one-off that's there in the number, the other expenses number?

Mukesh Surana : Yes, Dr.Hari th, as we have explained, one is the R&D expenditure, which has gone up. Second is the freight cost, which also has gone up because of red sea issues . In addition to that, there are a few one -off costs, such as consultancy costs and quality audit costs, which also have gone up, which w ere specific to a quarter.

Harith Ahamed: So we should expect some normalization when you think of the coming quarter ?

Mukesh Surana : Yes. So going forward, you know, R&D, there will be a similar expenditure quarter -on-quarter. Other expenditure should come down.

Moderator: Ladies and gentlemen, in the interest of time, this was our last question. I would now like to hand the conference over to Mr. Krishna Chigurupati , for closing remarks.

Krishna Chigurupati: Ladies and gentlemen, once again, thank you very much for attending our call. In spite of your very busy schedules today between the earnings season. So once again, thank you very much, and we look forward to meeting you all in the next investor call with better news.

Moderator: On behalf of Granules India Limited, that concludes this conference. Thank s for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: August 0 2, 202 4
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q1 OF FY25
Ref: Our letter dated July 15, 2024 for intimation of the schedule of the Earnings Conference call for Q 1 of FY25.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transc ript of the earnings conference call of the Company for Q1 of FY25 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:

https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

"Granules India Limited Q1 FY25 Earnings Conference Call"

July 30, 202 4

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN & MANAGING DIRECTOR , GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR , GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER , GRANULES INDIA LIMITED
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited
July 30, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q1 FY 25 Earnings Conference Call.
As a reminder, all participant line s will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please sign al an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded .
I now ha nd the conference over to Mr. Irfan R aeen from Orient Capital. Thank you and over to you, Mr. Irfan.
Irfan Raeen : Thank you. On behalf of Granules India Limited, I extend a warm welcome to all participant s on Q1 F Y25 Financial Result Discussion Call .
Today on the call , we have D r. Krishna Prasad sir - Chairman and Managing Director ; Dr. KVS Ram Rao sir - Joint Managing Director and Chief Executive Officer ; Ms. Priyanka Chigurupati - Executive Director ; Mr. Mukesh S urana - Chief Financial Officer.
Before we begin the call, I would like to give a short disclaimer :
This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinion , expectation s as of today. These statements are not guarantee of our future performance and involve unforeseeable risks and uncertaint ies.
And with this, I would like to hand over the call to Krishna sir. Over to you , sir. Thank you.
Dr. Krishna Prasad: Thank you, Irfan. A very good evening, ladies and gentlemen , and thank you very much for attending our Q1 FY25 Earnings Call today. A detailed Presentation of our Quarterly Performance had been uploaded on our website and the trust all of you have reviewed it by now.
We had a robust performance during the quarter hitting our planned trajectory after a few setbacks last year . Our strategic initiatives for formulation led growth trajectory driven by a new product pipeline and geographical expansion are taking shape.
In line with our FD led growth strategy, the share of FD had progressively increased to 76%. This is significant rise from 65% in FY24 and 50% in FY23. Similarly, the sales of new products beyond our legacy five products have been growing well , contributing 35% to our Q1 revenue . Their contribution was 25 % in FY24 and 15% in FY23. We continue to strengthen and grow our business in the US, our most important market. We are uniquely positioned to optimize our offerings through Make in India at G IL and Make in America at GPI and GPA K sites in the US. Our investments in GPI, which includes a local manufacturing arm in the US with the platform for the CNS and ADHD segment are paying off very well and are a key driver of our growth in the US. Similarly, the capacity utilization at GPAK, our new packaging site in the US is improving quarter -on-quarter .

Our OTC private label portfolio sold through our commercial arm Granule s Consumer Health is also gaining good tracti on, contributing to our growth in the US. We continue to prioritize investment in building R&D capabilities and improving the quality of our product pipeline. We have exciting product pipelines in oncology , anti-diabetic segment, large volume molecules and select non -OSD dosage form. We have made significant progress on product developed on innovation and technology platforms such as biocataly sis and continuous manufacturing. We are gearing up to put commercial scale manufacturing capacity at Unit V in Vizag. Dr . KVS Ram Rao will elaborate on this further.
As we expect the formulation segment to drive growth moving forward, we are well placed with our FD capacity to cater to this incremental demand. The construction and capacity ramp up of our new formulation facility at Genome Valley, part of Granules Life Sciences is progressing well. The plan t successfu

lly commence d operations in March for the first phase of 2 billion capacity and validation activities are ongoing.
On the sustainability front, we completed the milestone of submitting our climate action goals to SBTi aligned to the 1.5° pathway and net zero by 2050. Our net zero road map had been finalized and action plans have been initiated on efficiency measures, adoption of biofuels and renewable energy , supplier sustainability programs and the green molecule platform through our CZRO subsidiary.
To summarize :
We are excited about various avenues for growt h, including advancing our core products up the value chain, strengthening our position in the CNS /ADHD segment, introducing differentiated new product line and expanding and deepening our presence in new geographical markets.
With this , I hand over the call to Dr. KVS Ram Rao.
KVS Ram Rao : Thank you, Chairman, and good evening everyone.
Through our efforts in portfolio management, R&D and continued innovation in new molecules,

we have successfully created the platform f or the organization . A lot of progress has happened in terms of product development and filing, strategic approach to creation of infrastructure in the chosen segments and investment plans to reap the benefits in short term and medium term. On oncology platform , oncology products ha ve been an important portfolio for Granules. We have already built world class infrastructure both in API and formulations at our Vizag facility . Our portfolio includes Para-4 first-to-file, Para-4-181 and first to launch in the US , Europe and rest of the world. With this global development program, we expect to leverage technology and scale in a very effective way . We are quite satisfied with the progress of product development and expect to file a couple of products in the next few quarters. The portfolio of filings include near-term launches and are likely to start in FY26.

To p repare ourselves for the launches , we have taken up capacity expansion projects. We propose to create a new oncology AP I manufacturing facility and also augment finished dosage and other infrastructure enhancements. The project execution is likely to start from September and should take approximately 12 months to complete. This should enable us bring flexibility to our supp ly chain and enable us to become a significant player in the oncology segment. As mentioned in my previous communication, CNS /ADHD is a very important portfolio for Granules . The therapeutic area is growing in the US and also in other parts of the world. We expect to be significant player in this segment.

R&D efforts at our Chantilly facility with collaboration from R&D c enters has progressed well in successfully developing a good portfolio of ADHD products. The portfolio in this segment includes Para-4, Para-4-181 and NCE -1 and also Para-3. It is a blend of near-term and medium -term launches. Our R&D in Chantilly also focuses on complex products. Some of which have been launched at a brand level for several years without competition owing to the complexity of the development . This addition of portfolio to o ur existing products should help us become a dominant player in this segment . Our strict policies and management around manufacturing and commercialization of these products have allowed us to gain momentum in US. With this well-balanced portfolio of immediate launches and IP driven litigation launches in the next couple of years, we see a lot of excitement in this category.

Enzymes and manufacturing technology platform : We have been communicating for the last four quarters on our progress on this pla tform . Five projects are significantly advanced and almost at the stage of completion of optimization in the lab. One of the projects has been tried at plant scale successfully. We are focused on creati

ng manufacturing technology infrastructure in the next two quarters and start validation of at least 3 molecules in Q3 FY 25. This platform is expected t o bring us global cost leaders hip, manufacturing technology excellence and help us lead towards our journey of sustainability.

Our investment plans to build infrastructure and manufacturing of enzymes is finalized and we expect to start the project execution from Quarter 3 . Also, we have finalized the investment plans to build infrastructure for the chosen products in this segment for the chemical steps. These projects will get into execution by September ‘24 and will take around 14 to 18 months to complete. The progress of this platform in a short period of 4 quarters demonstrates our commitment towards transforming the organizati on through science and technology. It is clear from the above , Granules is fully focused on building world class product platforms and drive business growth through bottomline sustainability and living the purpose and vision of the organization . To achieve this transformation , spend in R&D has also been increased and stands at Rs. 62 crores for the quarter and is likely to increase in the subsequent quarters. Thank you, all and over to you, Mukesh.

Mukesh Surana : Thank you , CMD and JMD.

Let me take you all through the top Financial Parameters now:

Revenue :

The 1st Quarter revenue w as Rs. 11,799 million as compared to Rs. 9,855 million in quarter 1 FY24 with the growth of 20% driven by formulations. Revenue grew by 0.3% as compared to Q4 FY24 . In line with our strategic focus, FD sales growth continued. It has be en offset by a decline in Para API and PFI sales volume and price erosion. The sales breakup as per business divisions, geographic regions are presented in our investor presentation, which is available on the website.

Value -added :

Our Value -added as a percentage of sales for Q1 FY 25 was 58.9% as compared to 51.4% in Q1

FY24. Value -added as compared to Q1 FY24 is up by 7.6% points attributed to higher FD sales and lower raw material cost. Value -added as a percentage of sales for Q1 FY25 is down by 1.1% points from Q4 FY2 4 primarily on account of product mix.
EBITDA and EBITDA margin :
EBITDA for the quarter was Rs. 2,593 million that is 22% of sales as compared to Rs. 1,368 million that is 13.9% of sales in Q 1 FY24 , an increase of 89% in value terms, mainly on account of improved VA.
R&D
Our R&D spend for the quarter was Rs. 620 million as compared to Rs. 413 million in Q1 FY24 and Rs. 609 million in Q4 FY24 .
Net debt :
Our net debt was Rs. 7,941 million as compared to Rs. 8,421 million at the beginning of the year. The net debt has decreased by Rs. 481 million.
Cash to cash cycle :
Our cash-to-cash cycle was 183 days in the current quarter as compared to 161 days at the beginning of the year. New launches and Red Sea issues impacted bot h inventory days and overall CCC days.
Operational cash flow :
Operational cash flow for the quarter was Rs. 2,161 million as compared to Rs. 35 million in Q1 FY24.
CAPEX:

CAPEX spent during the quarter was Rs. 1,444 million, primarily invested in Granule s Life Science, Rs. 691 million.
ROCE :
ROCE for Q1 FY25 is 19.6% as compared to 16.5% in Q4 FY 24 and 9.4% in Q1 FY24 . The increase is primarily on account of increase in EBIT .
With this , I open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rashmi Shetty from D olat Capital. Please go ahead.
Rashmi Shetty : Sir, my first question is on the conclusion of FD , we have achieved now 76% of the FD contribution to the overall total sales, h ow could this for the entire year and are we not focused on increasing th

e pace of API and PFI during the year? What I want to understand that whether the co ntribution would fluctuate quarter -on-quarter or more or less it would remain stable during the year ?
Priyanka Chigurupati : Regarding your question, right, you are talking about the contribution of finished dosage as a part of our overall sales . With the number of launches we have going forward; we think there is a very strong possibility that it will remain this or grow a little bit further .
Rashmi Shetty : And what is your target contribution of FD to total sales and what are you aiming to achieve this in next 2 -3 years ?
Dr. Krishna Prasad: Rashmi, if you have seen our strategy is always to keep on increasing FD and that is why we have been talking about all these years and we are on the path. Most of the API 's we make go into our FDs and PFI s and PF Is go into FD s today. So, even if we sell all the APIs elsewhere and buy the APIs required for FD, our revenues would have been at a different level, but most of the APIs are made for in-house consumption. So, we see that this ratio will continue at the same level or possibly grow.
Rashmi Shetty : So, then, in that case, we expect that there should be declin e in both AP I and P FI segment for this particular year because your FD contribution would be pretty high due to the increase in launches ?
Dr. Krishna Prasad: Yes, that is the strategy, Rashmi.
Rashmi Shetty : And, sir, then what about the gross margins , if the FD contribution also sustained , then do you think that the gross margin of this 58 %-59% of the sustainable during the year?
Dr. Krishna Prasad: It should be around this , a little bit here and there , plus or minus a few points, but it should be around that.

Rashmi Shetty : Sir, on EBITDA margin, any particular guidance you are giving, I understand that your R&D and other expenses is being increasing , but your gross margins are improving as well, so are we still at the level of around 22 % or you feel for FY25 with the increased launches and all we would be able to do higher EBITDA margin?

Dr. Krishna Prasad: Rashmi, again, we always maintain that we will definitely be above 20% and we will keep improving year-on-year. So, now the 22% margin has to improve a little bit. How much it will improve , we will see.

Rashmi Shetty : And then last question on your OTC business , as the percentage of your formulatio n business, how much is your OTC contribution?

Priyanka Chigurupati : Rashmi t hat is about 15% of our overall business.

Rashmi Shetty : 15% of overall sales or our formulation business ?

Priyanka Chigurupati : Overall sales .

Moderator : Thank you very much. The next question is from the line of Tarang from Old Bridge. Please go ahead.

Tarang : So, just a couple of questions , specifically on geographies , North America, are there any industry tailwinds or would you describe most of the performance idiosyncratic to your business ? Second, if you could just comment on what is happening in Europe ? And third Chairman, I heard you made some reference to large molecules in your opening comments , if you could just elaborate a bit on that ?

Dr. Krishna Prasad: I think Priyanka will take this question , but before that let me clarify. I didn 't say large molecules , I said large volume molecules.

Priyanka Chigurupati : So, I think the US has always been a very strategic market for us as you always know, and we are built for regulated markets. So, on that front , it was obvious that the US would be the biggest and continue to be the bigge st. And that is primarily because of one , our strategy, like I said, our service levels, our quality and compliance, that I a m sure you have seen in the news that we have had absolutely no issues. So, I think the combination of all these three and of course having the right pr

oducts at the right time, all of them contributed towards growing US sales, which will continue to grow as we go . Number of launches also led to this increase in the US numbers. Just a clarification on Europe, w hat exactly did you mean by , can you provide some commentary on Europe ?

Tarang : The Europe business is down about 35% in INR terms. So, just wanted, is there something that you have already commented, and I missed ?

Dr. Krishna Prasad: Yes, European sales were led by Paracetamol all these years and only recently we made the shift to FD and FDs are picking up . Paracetamol , like I have mentioned in the last quarter and most of you may know is in a very bad shape today. There is a lot of inventory which the customers have built up across Europe and US and some of them have inventory sufficient for another 6 months. So, literally there is no big market. And also, there is a lot of capacity that was built up anticipating a huge demand . So, Paracetamol has not contributed, and we do not expect it to contribute for at least another 2 quarters. I think it is only possibl y next year Paracetamol will come back and add to our revenue and profitability.

Tarang : Just to follow up on US, roughly the run rates moved from about Rs. 700-Rs. 7 10 crores in March 23 quarter to about Rs. 870 crores and in that time span, we have seen additional approvals of about 10 products. So, if you could just give us a sense on how much of the incremental 25% , the dollar hasn 't moved as much would be on account of really the traction on the new products and how much, just a ballpark would be on account of you getting more volumes in your base business ?

Priyanka Chigurupati : It is definitely a mix between both. The new launches to be very honest, we just touched a launch in Q1. So, you will see those making a bigger dent going forward. But primarily it was increased market share from the existing product s.

Moderator : Thank you very much. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : So, just wanted to get an idea on currently how sales are panning out , so maybe, correct me if I'm wrong, but I think since the last 7 -8 quarters we were in the range of around Rs. 1,100 to Rs. 1,200 crores. And I understand that US have grown that much. But I think because of our European business that eating up all our ga ins, so now just wanted to understand like in terms of our trajectory, we could see the similar growth in US, but will the European business stabilize or how would we see our growth going forward because I think March '23 and '24 have identical numbers on the face of it, I understand in depth, there are a lot of differences, so just wante d to get a color on your perspective?

Dr. Krishna Prasad: US will always be our primary driver Mr. Jhaveri . And so, it will always continue to grow, and we see no reason why it should not grow at the same pace. The only thing that will happen is Europe has degrown and we expect formulation growth to come up in the next few quarters. And in addition, when API sales also come up possibly in next year, t here will be a better growth there. And we are also addressing lot of other geographies like many times I mentioned South Africa and Asian countri es, so these are also will be contributing to growth in future.

Darshil Jhaveri : So, any kind of revenue guidance, could we have for FY25, sir?
Dr. Krishna Prasad: I think last time also we made it clear we will not guide anything, but we will see the trajectory improving.

Darshil Jhaveri : So, I am just leaving , my la st question in terms of overall in ex of North America, like in LATAM and India, what kind of market are we seeing ? How is it performing currently and any surprises from there or something on the positive side you can expect from there?
Priyanka Chigurupati : Definitely no surprises. Paracetamol , LATAM was mainly led by PF I in the past, Paracetamol and other PFI. So, Paracetamol being in what state it is today there was a dip in Paracetamol sales in the LATAM . However , we managed to make it up with other PFIs and today the focus in LATAM is to shift away from PFI into FDs. Lot of efforts are being put into that and also new countries in L ATAM also are being addressed right now. So, we see that LATAM will keep growing not at the pace like US will, but it will keep growing.
Moderator : Thank you very much. The next question is from the line of Sajal Kapoor, who is a Retail Investor. Please go ahead.
Sajal Kapoor : First, I would like to point our attention to slide 13, where we have listed our historic asset t urn. So, historically, 2 x is what we got to Fiscal '22 as well as Fiscal '23 , now m oving up the value chain and introducing better and more complex products , increasing gross margins. Logically thinking , we should try and improve our historic asset turns much better than 2x at full capacity , of course. I just wanted to understand what your thought process is, and I am not looking for any sort of gu idance for this year or next, but on a directional basis ?
Dr. Krishna Prasad: Now , what has happened is US is performing to decent capacities rather close to full capacity and Unit V in Vizag is going to be utilized and MUPS block is almost fully utilized, so the a sset turn as we go by will definitely improve. And you are also right, some of the products being made in the US are high value , so the asset turns will improve because of that too , the denominator being same , I think denominator will keep increasing. So, you are right, it will definitely improve.
Mukesh Surana : Mr. Cha irman , I just want to add a clarification. So, as you rightly said, API is going into FD, so its captive consumptions are increasing. That is also in the overall asset turn instead of sales, we are getting better margin s. So, return on capital employed is improving , but asset turn is reducing because of captive consumption of API and PFI . Secondly, we are also investing in new projects in Gran ules Life Science , those asset turn will happen starting from next year.
Sajal Kapoor : But directionally , we are all set to breach our historic high at some point, right?
Dr. Krishna Prasad : We should, definitely that is the whole idea and strategy.
Sajal Kapoor : And I think Mr. Surana mentioned that about the backward integration as the reason for the reduced or the reduction in the asset turn. So, Colchicine, on this molecule, are we backward integrated? If yes, are we backward integrated at the intermediate level or just the API?
Dr. Krishna Prasad: Colchicine is a very small molec ule, Mr. Kapoor. The volumes of Colchicine are not very high. It is a very low dosage product, maybe 25 mg. So, there even if you are integrated, it doesn 't

really make any difference. And such very low molecules we prefer to buy from elsewhere if they are available. If they are not, we will make it ourselves.
Sajal Kapoor : And finally, to a previous participant 's question, D r. Prasad, you mentioned that Paracetamol uptake is still about 2 quarter s possibly 3 quarters away because of this inventory and issue across Western world. So, does that mean that in the immediate next couple of quarters, we may not be reporting a decent topline growth because we need Paracetamol contribution to get back to a better topline, albeit with slight dilution in our gross margins, how do you look at the sales trajectory in the near term because Paracetamol is still off as well as gross margins impact because at some point in time Paracetamol w ill start hitting our P&L ?
Dr. Krishna Prasad: In the next few quarters, this is the next two quarters where I can definitely have some visibility , there will be very marginal growth in topline, but we do expect the bottomline will not be proportionate , it will be a little higher than disprop ortionately higher than the topl ine, but maybe next year the P aracetamol will contribute, and revenues will grow along with bottomline next year. But definitely this year the bottomline will not be stagnant. That will be a little dynamic and move forward.
Moderator : Thank you very much. The next question is from the line of Hari th Ahamed from Aven dus Spark. Please go ahead.

Harith Ah amed: Couple of questions on Granules CZRO, s o last quarter towards the end we had commissioned a pilot plant for D CDA. So, any takeaways from that pilot plant so far and any updated thoughts on our Rs. 2,000 crore CAPEX in this project? And finally, any timelines around the PAP plant that we were planning to commission?
Dr. Krishna Prasad: Interesting question , something close to my heart. CZRO, we did commission the pilot plant. We had some teething issues like I ha ve always been saying this is a new technology. It was demonstrated in lab scale and at pilot we had some issues. These are huge equipment s, so we are making some changes and I think with the changes we will again restart next month modification of equipment, and hopefully it will go well. And once this is demonstrated for a few months, consistent yields and consistent quality, then we will start working on the main plant, which is to come up in Kakinada . The main plant equipments have been ordered already and we are waiting for some modifications that will be needed before they will be delivered to us. And regarding the Rs. 2,000 crore s investment, we have ment ioned that we are very cautious in going forward , at every place we have a stage gate and once we cross that only , we will be investing more. So, we are cautious and right now there has been a little issue or infrastructure creation in Kakinada. Power has to be brought in from adjacent , so a lot of discussions are happening with NTPC. Our partner already is working on that and also discussing with state governments and all on taxes for wheeling and the power. And also, for electrolyzer building and all that happening . Electrolyzers, they are making their own electrolyzers which will take some time. So, in view of infrastructure creation getting delayed, we are in no rush to get there .

And we also understand we seem to be far ahead of anybody else and being too early also may not be the wisest thing . We will take it a little easy, become stronger and then go ahead.
Harith Ah amed: So, one related question, so we had announced these expansions of the backward integration projects when the prices of DCDA and PAP were much higher than where they are now. Now that PAP and DC DA prices have correct ed. Is the case for backward integration as strong as it was at that point, and is that also factored into our capital allocation into this project?
Dr. Krishna Prasad: Financially, not as effective as it would have been in the past Mr. Harith , but again, when you look at the where the world is going , these prices where the overseas manufacturers are giving today may not last and our experience in the past years, these type of products hit a very low and again slowly start flipping up to abnormally high prices. So, we think we are on the right strategy wanting to do these APIs ourselves, intermediates , even though it may not give us any great attraction in the short term. The carbon footprint is going to be much lower than what we get from overseas. And as you know, with CBAM coming in Europe and other places and incentives in other places, this is going to make a tremendous differen ce and it is definitely the right way to go.
Harith Ah a

med: The last one on the formulations business. So, in FY24 , we had received quite a few interesting approvals like Metoprolol , Esomeprazole, P antoprazole , all modified lead versions. And then we had we were preparing for launching these in FY25, so are there any timelines that you can share or any updates on specifically these products? And if I may add one second part to the same question, Priyanka mentioned that 15% of our formulation sales is from OTC. I was hoping if you could give some more color regarding the share from the controls of sensors, the ADHD produ cts and our legacy molecules. Some ballpark break up would be very helpful ?
Priyanka Chigurupati : Harith, I will take your second question first, the share from the controlled substances versus legacy products is not something we can really share, but I will say that both are equally contributing. There is no significant change in the percentage of contribution necessarily and on your other questions yes, we did receive a lot of launches last year. We launched about 3 pro ducts at the very end of Q4, which essentially we launched in Q1 and also another two products in Q1. So, that is about total of 5 launches that we did. But we just started the business. So, the actual value from those businesses, you will see over the next couple of quarters.
Moderator : Thank you. The next question is from the line of Sahil Vora from M&S Associate. Please go ahead.
Sahil Vora : I just had a couple of questions. The employee costs and other expenses have increased by approximately 16 % to 18% year over year. So, when can we expect the operating costs to grow at a slower rate than revenues?
Mukesh Surana : So, employee expenses have gone up, you are right. Other expenses are coming down. The increase in percentage for other expenses will be lesser in F Y25, but we see employee expenses

will still be at double digit rate of increase in the F Y25, which will come down in F Y26 where

we can see a better operating leverage of employee cost.
Sahil Vora : My second question was the Paracetamol API sales have been declining and is witnessing the price erosion somewhat. So, where do you see these stabilizing?
Dr. Krishna Prasad: Mr. Vora, it has already sort of stabilized at the very lowest uneconomical levels. Now, it is only the way up. Like I said, only end of this fiscal year or early next year, we will see that things will look up. It is going to take some time.
These are cycles that happen once in about 7 -8 years. These type of cycles happen, and this is one of the worst cycles I have seen in about 40 years of existence in Granules.
Moderator : Thank you very much. The next question is from the line of Tarang from Old Bridge. Please go ahead.
Tarang : Just wanted to check on the OTC business about 15% of formulations revenue in Q1, t here was a comment in Q4 FY24 that the OTC business grew by about 25% in FY24, but if you would give us a sense on how big the business was for full year 24 and full year 23?
Mukesh Surana : So, in the current quarter it is about USD 20 million. So, it is increasing in strong double -digit quarter -on-quarter as well as year-on-year.
Tarang : And how much was this for FY24 and FY23?
Dr. Krishna Prasad: Full year financial numbers, you are asking?
Tarang : Yes.
Priyanka Chigurupati : FY23 was roughly about USD 40 million , FY24 about USD 60 million.
Tarang : Just a last comment, sir, if you could just give us a comment on your top five products one ? And second, given the performance that we have seen i n FY 24, considering the cycle that Paracetamol has been going through, would it therefore be safe to presume that year on even though Paracetamol and the top five products are significant contributors, but in a large sense you have been able to hedge your business or your dependency on these products or is t

here still time for us to reach that conclusion?
KVS Ram Rao : I think as mentioned in the strategy both by Chairman and me in the last couple of communications, while these core products like Para, Metformin continue to be very important products, but we started looking at the increase in the FD shares a nd also we are looking at the addition to different product portfolios in different baskets . So, you clearly see that in quarter 4 and quarter 1, although P aracetamol decline is seen in the API, we are still able to maintain a very healthy and the sustaina ble bottoml ine. I think as I told before, this itself is a good example

of our derisking and also making sure that we have a very positive way forward in terms of looking at FD growth in US and other geographies and this should enable us to continue to act. And when the Para comes back as told by Chairman as well, I think we will only add more to the bottom line.
Tarang: Most of the capacity creation that has happened in Para has been mostly in India, right?
KVS Ram Rao: It is only in India.
Moderator: Thank you very much. The next question is from the line of For am Parekh from Sh areK han. Please go ahead.
Foram Parekh: My first question is , I see North America sales growing by almost 45% and I understand it is because of the lower base. So, may I just understand like what would be the normalized growth rate going forward? How do we see North America region? Do we see any price erosion pressure there or how do we think about it?
Mukesh Surana : Yes, you are right. Last year Q1 was lesser because of cyber incident as well. But we are seeing North America region to g row in excess of 20% and largely driven by formulations.
Foram Parekh: Sir, my second question is now that we expect formulation sales to increase even from here on and European region also to contribute from next year as Paracetamol sales kicks in. So, do we expect EBITDA margins to go north of 22% and settle somewhere around 25% in a year 's time or so ?
Mukesh Surana : Yes. So, that is the aspiration, but we are currently s taying around this range and also inch up quarter -on-quarter as we see with the increased revenue of formulations.
Foram Parekh: And my last question, if I may squeeze in, may I just understand that on a sequential basis, do our sales have gone up and RM costs have come down, then what has impacted gross margin by 100 b ps almost on a sequential basis?
Mukesh Surana: On a sequential basis, it is not because of raw material cost. Raw material cost s were more or less flat. It is primarily the product mix within the formulations.
Foram Parekh: So, is it the API sales which has not kicked in or what in the product sales?
Mukesh Surana: In the Formulation also there is a product mix, so largely sequentially the formulation mix has changed. It is more of product mix, nothing major, but this 100 basis point plus minus we will see every quarter plus minus . It depends on the products we sell and the customer mix and

product mix.
Foram Parekh: So, largely we would want to maintain around 6 0% odd on a gross margin level, right?

Mukesh Surana: Yes, plus, minus around that level.
Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.
Rashmi Shetty: Priyanka, q uestion to you in the US business, what is the price erosio n now?
Priyanka Chigurupati: Price erosion has stabilized to a very large level. I would say it is an average of mid to a little bit of a higher single digits, but it is more of mid-single digit.
Rashmi Shetty: So, you said that earlier that you have increased the share in the existing products and with this mid-single digit growth, you are not seeing any sort of valu e erosion in the US business. Is this r

ight to understand?
Priyanka Chigurupati: Yes. I wouldn 't say no value erosion. I woul say no significant value erosion.
Rashmi Shetty: And on the launches part, how much are you targeting for the new launches this year?
Priyanka Chigurupati: In terms of number of products like I think I mentioned to somebody earlier, we did about end of Q4 in early Q1, we did about 5 launches. So, in addition to increasing share on those launches and starting to see value on those launches, we will be doing about 3-4 launches in the US and roughly about 8 launches in the rest of the world for the rest of this year .
Rashmi Shetty: So, for the full year in the North America that is in the US, we will be doing around 6-7 launches ?
Priyanka Chigurupati: Yes, it would be about 3-4 more launches and we have already launched about 2, if you consider Q1, but I would say about 9 launches roughly if you consider the last part of Q4.
Rashmi Shetty: And on the cash conversion cycle, you all mentioned that Red Sea issue had impacted the working capital days. So, are we expecting to get normalized during the year and it should be similar to what we have seen in FY24, or it would remain at the elevated level?
Mukesh Surana: We are looking at similar to FY24 level during the year. So, it will be normalized as the Red Sea issue impact comes down.
Rashmi Shetty: And one last question , on the FD site, what is the current capacity utilization ?
Dr. Krishna Prasad : Gagillapur facility, we are almost 100% and we just started validations in our new GL S site. The first stage has 2 billion capacity , I think by the end of this year, we should be doing at least 1.2 billion , 1.3 billion. And early next year, the new capacity of another 8 billion will start up. So, we expect to take up another 2 billion or 3 billion of that capacity too in the next year.
Rashmi Shetty: So, basically , what I understand that as the capacity pick up , you will see that the second half to be much stronger than the first half ?

Dr. Krishna Prasad : Second half , you are right.
Rashmi Shetty: Second half will be stronger?
Dr. Krishna Prasad : Yes.
Moderator: Thank you very much. The next question is from the line of Ashish Soni from Family Office. Please go ahead.
Ashish Soni: Sir, this future portfolio onco product and other product when do you think can be launched?
KVS Ram Rao: So, as I told before that we expect from FY26 the launch of oncology products should happen and they won 't happen in all the geographies. I think it kicks off with a chosen geography where there is a possibility of early launch or early approval, and it keeps going and we expect this to go on from F Y26 onwards.
Ashish Soni : And this innovative product for diabetes, what exactly are you trying to do here? Can you just throw some color on that?
KVS Ram Rao: So, we are trying to look at because we are very strong on Metformin, so we are trying to look at several derivatives of Metformin as a part of our diabetic segment . So, we are trying to look at the gliflozins , the Gliptins and also other important areas of diabetes just because we want to be the serious player in this segment and you keep hearing a lot more as we move forward on how we are going to look at this segment and this platform in a larger way.
Ashish Soni: In this future portfolio, how much revenue can it contribute like in terms of percentage in your overall revenue in next 2 -3 years?
KVS Ram Rao: I think we have been looking at this. We feel that it will contribute quite significantly to our entire portfolio and maybe because all the launches are going to be, most of them are going to be on day one and also we are looking at the dominance of this a s a part of o ur Metformin. We look to be a very significant player in the diabetic segment, and I think that is what the guidance

we want to give.
Ashish Soni: And any CAPEX plan for this year and next year?
KVS Ram Rao: I have already told that we have been taking a lot of capacity expansion both in finished dose as well as in the API and also in our enzyme technology platforms. Yes , there are CAPEX plans, and we will be in line with all our estimates and the expectations on the capital expenditure.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today due to time constraints . I now hand the confer ence over to Mr. Krishna Chigurupati for closing comments.

Dr. Krishna Prasad: Ladies and gentlemen, thank you very much for attending this call today and I wish you all great rest of the day and good night too. Thank you very much.
Moderator: On behalf of Granules India limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: November 1 3, 202 4
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q2 and half year of FY2 5.
Ref: Our letter dated 21.10.2024 for intimation of the schedule of the Earnings
Conference call for Q2 and half year of FY2 5.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for the Q2
and half year of FY2 5 is enclosed with t his letter and has been uploaded on the website of the
Company at the below -mentioned link:
https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Encl. as above.

CHAITANYA
TUMMALADigitally signed by CHAITANYA
TUMMALA Date: 2024.11.13 10:00:39 +05'30'

"Granules India L imited
Q2 FY '25 Earnings Conference Call"
November 06 , 202 4

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN AND MANAGING
DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of
Granules India Limited. As a reminder, all participant lines will be in the listen -only mode and

there will be an opportunity for you to ask questions after the presen tation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -down phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Irfan Raeen: Thank you, Shlok. On behalf of Granules India Limited, I extend a warm welcome to all participants on Q2 and H1 FY '25 Financial Result Discussion call. Today on the call, we have Dr. Krishna Prasad, Chairman and Managing Director; Dr. KVS Ram Rao ; Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana , Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our belief, opinion, expectation as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Dr. Prasad. Over to you, sir. Thank you.

Krishna Prasad: Okay. Thank you very much. Good evening, ladies and gentlemen, and thank you for joining us on our Q2 FY '25 earnings call. We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly performance on our webs ite and I trust you have had a chance to review it. During Q2, our sales were impacted by a voluntary pause in manufacturing and distribution activities at our Gagillapur facility.

Today, let me begin with an update on the recent USFDA inspection at this site. As many of you are aware, the USFDA conducted an inspection of our Gagillapur finished dosage facility from August 26 to September 6 of '24. This resulted in six Form 483 observations. We submitted a comprehensive response to the FDA on September 27, outlining the corrective actions and initiatives we are implementing to address these observations.

Granules has a longstanding history of regulatory compliance, reflecting our commitment to responsibly advancing healthcare. We take our regulatory obligations with utmost seriousness, ensuring that every product meets the highest standards of quality and safety. Following the inspection, we took a voluntary pause in manufacturing and distribution to assess any possible risk to the already manufactured products and also future production. Throughout the process, we maintained full transparency with the USFDA.

To diligently investigate and address the FDA observations and to develop systems -based connective and preventive actions that are supported by science and reflect its strong quality of mindset, we engaged third -party independent consultants for a detailed review of our site's cleaning protocols and cross -contamination controls.

We have also started working closely with additional independent experts to develop and implement protocols that reinforce best practices around personnel performance, data management and investigation processes. Based on our risk assessment studies and wi th the FDA's concurrence, we resumed dispatches in late September and began a phased restart of manufacturing operations in October.

To further strengthen our quality culture, we are enhancing our organizational structure too. We have appointed new leadership in operations and manufacturing and are bolstering our quality function to embed a culture of excellence and continuous improveme nt.

Now looking at Q2 perf

ormance. While the voluntary pause impacted sales, we delivered healthy margins, driven by strong sales of formulations and a favourable formulation product mix. The API and PFI segment saw reduced contributions due to price erosion and softer demand in light of the still continuing high customer inventory levels, especially for paracetamol.

Despite these challenges, our operations generated a healthy cash flow of INR1,997 million. As we look ahead, our growth in the near future will be driven by new product launches from our GPI site in the US market, especially the CNS and ADHD segment and f inished dosage sales in Europe. We are preparing for new launches from the GPI side, which we expect will help lower the impact of the Gagillapur slowdown in Q2, which also has a small spillover effects into Q3.

Our new formulations facility at Genome Valley under Granules Life Sciences is progressing well. Phase 1 with a capacity of 2.5 billion doses ha ve been commissioned and commercial dispatches of monogra ph products have commenced. We are targeting prescription products commercialization for Europe inQ4 '25 and Q1 of '26. Phase 2 with an additional 7.5 billion dose capacity is expected to be completed by Q4 FY '25 with validation and commercialization activi ties slated to begin in Q1 FY '26.

In summary, we are prioritizing the enhancement of quality and compliance across the organization while actively pursuing our growth objectives. These include new launches from our API facility, expanding our formulations capacity at GLS and investing in R&D to support our portfolio expansion in the long -term. Dr Ram Rao will provide further insights on some of these initiatives. So, I hand over the call to Dr. Ram Rao.

KVS Ram Rao: Thank you. Good evening, ladies and gentlemen. Innovation has been a core priority for Granules serving as a foundation of the company's strategy over the last couple of years. In an industry where scientific advancements are constant, our approach to inno vation has helped us to foster growth, accelerate marketing and ensure that we are able to adapt to evolving healthcare challenges and regulatory requirements.

With R&D spend of INR524 million in Q2 FY '25, this continues to be a consistent focus for Granules. R&D spend in H1 FY '25 of INR1,144 million is significantly higher, 26% more than that of the same period last year, demonstrating the organization's growi ng commitment to research and innovation. We have been making consistent progress in achieving our R&D goals.

In addition to our growing list of product approvals globally, Granules at present has 17 ANDAs

in the US and four applications in Europe and eight applications in rest of the world under review for approval.

We continue to grow our current therapeutic portfolio with new filings in CNS, antidiabetic category, etc etera and Q2 FY '25. Globally, our R&D efforts have been centered around achieving the following objectives. At our Chantilly facility, we are developing the CNS products with a focus on ADHD therapies. The progress of our portfolio is on track having filed one product in Q2 and we expect to file several promising products in the next few quarters.

Oncology is another focus area for Granules. We are making significant progress on our Oncology platform with several new products in development that are expected to be filed globally in the coming quarters. Our world -class infrastructure in both API and finished dosage forms for Oncology coupled with strategically selected portfolio of near -term la unch products with market entry barriers, we aim to become a key player in this segment.

Another focus area for our R&D is on the Fermentation and Bio -Catalysis. Bio -Catalysis is observed to be an effective green substitute. In line with our company's philosophy of developing environmental

ly benign processes, we have embarked upon development of enzymes. Using latest protein engineering concepts and enzymes are designed to develop for affecting the specific chemical transformations.

Process validation of the first API with this technology is set to be completed in quarter 3 of the current financial year, followed by two more products in the subsequent quarters. This platform helps us build sustainability and global cost leadership. We are making continued progress in the development of our fermentation technology products with four products currently under feasibility and development. I'm pleased to share that we have remained consistently focused on executing our R&D strategies and d eveloping a robust portfolio for the future. Thank you all.

Mukesh Surana: Thank you, CMD and JMD. Let me take you all through the top financial parameters now.

Revenue, the second quarter revenue were INR 9,666 million as compared to INR11,895 million in Q2 FY '24 with a decline of 19% and revenue declined by 18% as compared to Q1 FY '25.

The sales breakup as per business division , geographic regions are presented in our investor presentation, which is available on the website.

Gross margin, our gross margin as a percentage of sales for Q2 FY '25 was 62% as compared to 51.7% in Q2 FY '24. Gross margin as compared to Q2 FY '24 is up by 1,036 basis points achieved by higher favourable mix of FD sales. Further, raw material costs were also lower as compared to Q2 FY '24. Gross margins as a percentage of sales for Q2 FY '25 is up by 307 basis points from Q1 FY '25, primarily achieved by higher favourable mix of FD sales.

EBITDA and EBITDA margin , EBITDA for the quarter was INR2,033 million, that is 21% of sales as compared to INR2,130 million, that is 17.9% of sales in Q2 FY '24, an increase of 313 basis points from Q2 FY '24, mainly on account of improved gross margins. EBITDA as a percentage of sales for Q 2 FY '25 is down by 94 basis points from Q1 FY '25.

R&D, our R&D spend for the quarter was INR524 million, that is 5.4% to sales as compared to INR496 million in Q2 FY '24, that is 4.2% to sales and INR620 million in Q1 FY '25, that is 5.3% to sales.

Net debt, Our net debt was at INR7,973 million as compared to INR7,941 million in Q1 FY '25. Our net debt was INR8,421 million at the end of March '24.

Cash -to-cash cycle, Our cash -to-cash cycle was 213 days in the current quarter as compared to 183 days in Q1 FY '25. New launches, Red Sea issues and a voluntary pause of operations of Gagillapur facility impacted inventory days and overall CCC days.
Cash flow from operations, Cash flow from operations for the quarter was INR2,007 million as compared to INR329 million in Q2 FY '24 and INR2,161 million in Q1 FY '25.
Capex , Capex spend during the quarter was INR1,324 million, primarily invested in Granules Life Science amounting to INR794 million. In H1, we spent 2,768 million, primarily invested in Granules Life Science INR1,485 million.
ROC E, ROC E for Q2 FY '25 is 16.9% as compared to 19.6% in Q1 FY '25 and 12.9% in Q2 FY '24.
With this, I open the floor for questions.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.
Rashmi Shetty: Yes, thanks for the opportunity. Our first question is on the remed iation cost. You mentioned in the call that you all have hired third consultants. So for that any big expenses is supposed to be spent? I mean for -- in this year, in FY '25 basically in the second half of the year or it is already spent in the second quart er?
Krishna Prasad: Rashmi, a little bit was already spent and we expect that this could be anywhere up to $2 million for this year.
Rashmi Shetty: $2 million and that will be sitting all in

the other expenses, right?
Krishna Prasad: Yes.
Rashmi Shetty: Okay. And so, you know, related to the facility observations, what are you gauging with the response, which is coming from the USFDA ? Is it something you feel that it will get resolved in near term or you feel that it might take some time?
Krishna Prasad: We are pretty confident that this will get resolved and it all depends on the EIR, which we expect will be coming in December. And we expect a positive outcome of that.
Rashmi Shetty: Okay. And the spillover, which you mentioned that third quarter will also have some sort of impact because of the shutting down of the lines at Gagillapur. So you know, in third quarter,

can we expect that there would be -- it would be still better than quarter 2? I mean in terms of sales that got impacted in quarter 2 or you feel that it would be more or less similar.
Krishna Prasad: In the sales, the impact of lost sales will be less than quarter 2.
Rashmi Shetty: Lesser than the quarter 2?
Krishna Prasad: Yes, the lost sales, Yes.
Rashmi Shetty: Okay. And just to understand that you said that you will be doing more filings from the other facilities to de -risk basically. So just want to understand this thing that from the Gagillapur plant, we are just supplying the core products or we are supplying some other products, which are your non-core product where the contribution in the US is now going up. If you can explain that.
Also, if you can explain that, you know, like the breakup sort of like you mentioned that the upcoming 7.5 billion dosage in Genome Valley will be consisting more of a CNS and ADHD products. But what about the older phase, the Phase 1, where we have alread y 2.5 billion dosage, what exactly we are producing and supplying from that plant and from the Vizag plant. Just want to understand that the MUPS product , control substances, these are the products basically supplied from which plants. If you can just exp lain us.
Krishna Prasad : Rashmi, first of all , from Gagillapur, we have quite a few products. It's just not the core products. There are lot of MUPS products and many other products which have been supplying and this will continue to be supplied from there. We , all the new filings, we are doing some from GLS because there is a problem of capacity in Gagillapur. And also as a possible de -risking strategy, some of the important existing products also, we have filed some and will be filing some more from our GLS facility.
And regarding our GPI facility, we have a lot of products, it's just not ADHD and CNS. We have a lot of other products, which also are good products and which have been contributing fairly well in the past. And on the Vizag, we have the Onco facility in the FD and these we have done some very interesting filings of Onco products, which will be launched in the near future on approval and expiry of patents, but we also do a lot of third -party manufacturer in Vizag, and that's picking up right now to manufact ure for other companies.
Rashmi Shetty: Understood. So currently, just to have a little clarity, the product supplies are mainly from the finished dosages supplies are mainly from Gagillapur, your Genome Valley, which is the older phase and your Vizag -- sorry, Vizag is something which is something expected in the future from the Virginia. Is this correct?
Krishna Prasad: Virginia, a little bit from GLS, Gagillapur and Onco also, there are products that are going on

CMO basis.
Rashmi Shetty: On the CMO basis, understood. Got it. And one more question, if I may. Just on the API and the PFI side, like you mentioned that still the demand has not revised, inventory is still there in the market. You know, when can we expect this to turn -around? And is this thing which is happening

on

ly on the paracetamol side or on the other API products also which you are supplying, your other core API and PFI product?
Krishna Prasad: It's mainly on the paracetamol and there also we see a little bit of easing. We saw some positivity in Q2 and we think that it will improve in Q3, but definitely not come back to normalcy.
Rashmi Shetty: Okay. It will not come back only.
Krishna Prasad: In Q3. Q4 could be a normal quarter. We have to go and we have to see.
Rashmi Shetty: Understood. Okay. Thank you, sir. That's it from my side.
Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Sir, given the kind of measures we are doing at Gagillapur, but at the same time, do we have any product should come up for approval over the next three to five months, which could be from this si te. Any market action date?
Krishna Prasad: Priyanka, do you want to take that call?
Priyanka Chigurupati: Yes, I'll take that question. We have about three approvals pending from Gagillapur in Q4.
Tushar Manudhane: Okay. And would you also share some thoughts on this generic toprol and metoprolol succinate? How has been the traction or sort of the business from that product?
Krishna Prasad: Tushar, can you come again? Yes, go ahead Priyanka.
Priyanka Chigurupati: We're doing well, much better than we expected on the product. And we are continuing to supply. I mean, you can look at the IM S data. It shows -- it just reflects our launch quantities. But I would say that we did really well on that product right now in terms of market share.
Tushar Manudhane: what kind of like price discount is sort of taken to get the business.
Priyanka Chigurupati: Let's not get on to those details, Tushar. That's too much information.
Tushar Manudhane: Alright. Thank you. That's it from my side.
Moderator: Thank you. And the next question comes from the line of from Harshit Dhoot from Dymon Asia. Please go ahead.
Harshit Dhoot: Hi, thanks for taking my question. My main question is on Gagillapur. Sir, given the same inspector who did the inspection of In tas and ultimately the plant got ended with import alert. So what is the -- what do you think that is giving confidence to the management for resolving this matter?
Krishna Prasad: Harshit, I think I only heard the last part of your question. Can you repeat it once again?

Harshit Dhoot: Yes, sure, sir. Sir, given the same inspector who did the inspection for the In tas and ultimately, they did import alert to the plant. So what is -- what are the things that giving confidence to the management for resolving the matter and getting the plant clear from FDA?
Krishna Prasad: Okay. Now still the question was not clear, but I think I broadly understood the tone of the question and let me attempt answering it. Ye s, I thought the question was what gives us confidence on being able to resolve the key issue.
Harshit Dhoot: Am I audible, sir? Am I audible?
Krishna Prasad: But it's getting a little, you know, maybe if you speak slowly, we should be able to hear you better.
Harshit Dhoot: Can you hear me now, sir?
Krishna Prasad: Is my assumption correct? What I said your question was about --
Harshit Dhoot: No, sir. My question was that given the same inspector who did inspection of In tas and ultimately the inspector gave the import alert to the Intas plant. So what are the things that are giving confidence to the management that this plant will get clear or matter will get resolved? Considering the critical nature of the inspections whi ch were mentioned in the 483.
Krishna Prasad: Okay, got it. Got it, Harshit. Okay, the same inspector in some other company would have resulted in a warning later, but with the same inspector in some other company h

as resulted in a
VAI. So it doesn't -- it all depends on how the company is responding, what are the actions the company is taking and how we communicated to the FDA. So we are pretty confident about the

actions we have taken.
And also the very fact that with no compulsion or no instructions, we ourselves took a voluntary pause and then did a thorough risk assessment, not only by ourselves, even by using third -party consultants and only after satisfying ourselves that things are good to go, with concurrence from the US -FDA, with their consent, we restarted sales and production. That itself is a good sign that we are very proactive and not reactive and this goes very well with our quality culture and nature of our response and th e actions we have taken, the actions we are continuing to take gives us a lot of confidence that things should be in control.
Harshit Dhoot: Okay, sir. But the 483 observations are largely similar in terms of GMP document and all the things. So that was the key things because the observations were very critical. That's why ?
Krishna Prasad: They are critical but we have good responses to that. I would like to explain, but unfortunately I cannot go into details.
Moderator: Okay, sir. No problem. Thanks. Does that answer your question, Mr. Harshit?
Harshit Dhoot: Yes, yes, sir.

Moderator: Thank you. Next question comes from the line of Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal: Hi, good evening, sir. Am I audible?
Krishna Prasad: Yes sir, you are.
Tarang Agrawal: Yes. Sir, a couple of questions. One, on the gross margin for Q2 FY '25, a fantastic gross margin delivery. Is it a function of any one -off development, I mean, pricing advantage in some of our products or it's really just a function of the mix change in terms of the marketplace and in terms of skewing more towards formulations?
Krishna Prasad: It is a mix towards, I mean, skewing towards formulations, which is a very high percentage this quarter. And also within the formulations, it's a product mix. If we did our entire sales possibly the margins would have come down a bit because the re are less profitable products. So it's more that the more profitable products were sold that they made a better margin. However, the increase in margins is on the upward trend. While I say that it was profitable products that contributed, it doesn't mean our gross margins will fall drastically.
Tarang Agrawal: Sure. If I recall correctly from our last conversation in the previous earnings call, five products were launched in H2 of FY '24, that was supposed to drive growth for FY '25. Has that at all been impacted because of developments in Gagillapur?
Krishna Prasad: No, some of these products went out on time and they will continue to grow and they will definitely drive the growth in '25. And some of these products are the growth drivers in margins.
Tarang Agrawal: So there has been a partial impact. Would that be the right way to look at it?
Krishna Prasad: Sorry? Partial? So go ahead.
Tarang Agrawal: Yes. So, I mean, the conclusion would be there has been some partial impact, maybe not a significant impact, but a partial impact, correct?
Mukesh Surana: Yes. You're right.
Tarang Agrawal: Okay. Sir, between the sales that have been lost owing to the voluntary shutdown, additional spends on remediation, would it be fair to presume that on the bottom line, the hit would be close to about $25 million?
Mukesh Surana: Yes, I have not understood how you are computing it. If it is only remediation expenses, the Chairman has clarified it could be close to $2 million.
Mukesh Surana : Are you also computing loss of sales?
Tara ng Agrawal : Yes, a loss of sale and because of which -- because of the voluntary shutdown and owing to that, the negative operating leverage or the loss of profits that

we would have made on the sales.

Krishna Prasad: You are referring to Q2, right? Or is it going to be for the year?
Tarang Agrawal: Q2. And I mean overall for the year. So between Q2 and Q3.
Mukesh Surana: It's a -- probably I will give a little judgmental number over here, let's say, close to INR200 crore of sales and close to INR50 crores -60 crores of profit.
Tarang Agrawal: Sure. And the last question, I mean, what utilization was Gagillapur running prior to the inspection and my sense is a large part of September and some part of October has been lost. So what utilization was it running prior to the audit? What utilization i s it running at today? And would it be safe to presume that we've lost about 1.5 months of revenues.
KVS Ram Rao: So it was running at around 90% of the capacity and we are close to that way back and close to

that as on today. It's only the 45 days or 40 days that we had an impact. We are back to the original number.

Tarang Agrawal: Super. Thank you, sir, all the best.

Moderator: Thank you. And the next question comes from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good evening. Just a follow -up question. You know, I have -- in your financial statements, I see that your revenue across geographies are impacted, not just the US. So when you say there was a shutdown of lines, are the lines very common across the US, other emerging markets, semi -regulated markets, India, etc etera ?

Krishna Prasad: We have only one facility for all these markets and when we said that we took a voluntary pause , we have a different perception of quality. It's quality for everybody that has to be the same. It's not for different markets. So we took a pause for all markets and having satisfied ourselves that there is no possibility of risk to product and contaminat ion, we release it across. So , to answer your question, the pause has affected sales through all products from this plant.

Bino Pathiparampil: Got it. And sir, when you say it is starting in a phased manner from October, is that same for all markets again or is it that our markets can ramp up faster than US supplies?

Krishna Prasad: Yes, as of today, we give -- because US continues to be a very big market for us. The priority goes to US and other -- we have ramped that up quickly and other markets are ramping up now. There is a backlog which also has to be cleared. So the ramp -up in othe r markets will be a little slow.

Bino Pathiparampil: Understood. Thank you very much.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Hi, thank you for the opportunity. So my first question is on Granules Life Sciences, the new facility. You mentioned that you're undertaking validation activities there. So how should we

think in terms of the timelines for starting commercial supplies from the tablet block that we have there. So can that be expedited given some of the issues that we have at Gagillapur? That's what I'm trying to understand.

Krishna Prasad: Let me answer this first, Harit. The commercial supplies from GLS have already started. And in fact, last month also we did ship product out and that will keep continuing. It is especially to the US with monograph products, which don't need a facility insp ection and approval. So this is going on. The 2.5 billion capacity, we expect to hit a run -rate of about 1 billion in possibly two months' time and then ramp it up.

We could have hit a bigger number, but we don't have packaging capacity till the main plant comes up. Main plant is expected to go commercial possibly in Q1 of next fiscal and we are doing everything possible to speed it up. And also lot of new filings are going to happen from

here and some site transfer products are also happening.

Harith Ahamed: Okay, got it, sir. And on Gagillapur, you mentioned that we've reached utilization levels which we had before the inspection currently. But the 45 days when we were impacted, was it a complete shutdown or did -- were we operating at a lower utilization lev el?

Krishna Prasad: So we were just finishing products which are WIP, but granulation has stopped.

Harith Ahamed: Okay, okay. And then in terms of next steps on the -- from the USFDA side the final classification and if there are any further steps, how should we think about the timelines for those?

Krishna Prasad: Typically, it takes about 90 days and normal limit from completion of inspection. EIR is expected and that's what the FDA is supposed to give, but it could be delayed a bit. We have to see how it goes. And meanwhile, it's not only our response, but we are in constant communication and updating the FDA on various development programs we are doing, various initiatives and the results that are happening here. And like I said, we are doing everything that we think is the right way to go ahead an d we are confident that this could result in a lot of positive results.

Harith Ahamed: Okay. And last one, on the pantoprazole launch that you mentioned during the quarter, can you share some color on the market opportunity here and the competitive intensity and what market shares you've been able to achieve as of currently?

Krishna Prasad: Priyanka, you want to take that?

Priyanka Chigurupati: Sure. Hi. Give me a second. In terms of pantoprazole, the overall market size is about $100 million gene ricized -- well, sorry, gross value. But if you talk about the market share, we've already taken some market share. We've launched the product, but we haven't completely reached our target market share yet. So we want to grow slowly because this is a high v olume product. So we want to make sure that we don't crash prices in the market and grow slowly on this product.

Krishna Prasad: And Harit, just to mention that we are fully integrated on this product, even though we have launched the product with bought -out API, third -party API, now we have approval received last week, accepting our in -house API. So that should add to some strength in the product.
Harith Ahamed: Okay. Understood, sir. Thanks for taking my questions.
Moderator: Thank you. The next question is from the line of Foram Parekh from BOB Capital. Please go ahead.
Foram Parekh: Thank you for the opportunity. My first question is on margins. Since we expect a spillover effect of the facility shutdown even in the next -- Gagillapur facility shutdown even in the next quarter and we see that the base for the margin base in the -- is higher at 22%. So how much impact do you see of this facility a spillover effect or impact on the margins at an EBITDA level?
Mukesh Surana: Foram, I will talk about the gross margin, maybe then you can arrive at how you are looking at EBITDA. Gross margin, you know, the next quarter, the spillover is there and there is a reduction in the formulations also of Gagillapur. So there can be some favourable margin from formulation, not to the extent of Q2, slightly better from Q1, but at the same time, API also will catch -up in a little bit. So overall, you can look at not as high as Q2. Probably would have to consider a moderate marg in in Q3.
Krishan Prasad: So revenue would increase, but margin may fall a little bit.
Foram Parekh: Okay, got that. And my second question is on the API side. I see this massive decline both on a Q-o-Q and Y -o-Y basis. So is it because of some price realization, I mean lower price realization or what has led to such massive decline?
Krishna Prasad: It is the price erosion on one side and lower sales also on the other side. This lower sales are due to

customer inventory buildup. And just to give you a little bit of history, what we -- our analysis is and discussions with our customers based on our dis cussions with the customers, people were very worried, especially paracetamol during COVID time, they built up huge inventories. They also expected their sales will continue at the same level. And their sales dropped of finished dosages . In fact, even consumers have stocked up.
So they also were not buying and that resulted not only in lost sales for us, it's also the pricing pressure because there were no sales, there was competition offering better prices. So it's a result of -- and then came the Red Sea. Once the Red Sea probl em came up, again, there was panic buying and stocking up. So that led to this continued excess inventory. But like I mentioned earlier, we see a little softening. And Q4, I think things will be in very good shape – better shape I would say, much better shape.
Foram Parekh: So can we expect growth from Q4 onwards in this API division or we can still expect some sort of decline?

KVS Ram Rao: Decline won't be there. It will definitely be a growth over the current quarters, but whether it will touch Q2 of last year, it may not, but at least in the next fiscal, it will definitely go to that level.
Foram Parekh: Sure. And my last question, if I may. So the formulation sales has -- is showing muted growth, but overall, the geographies I see have declined massively. So could you just explain the reason why Europe, India continues to you know decline steeply.
KVS Ram Rao: Basically like I said we have prioritized US sales during the slowdown also during the falls and we give priority to US. Now there are a lot of European sales which are catching up so -- and other markets. That's where there is a big decline. So overall de cline, we mostly had it into Europe and other places.
Priyanka Chigurupati: I just want to add one thing to this. US, as you can -- I'm sure you know that it's primarily B2C business, right? So we had -- we always maintain enough safety stock in the US, which we could immediately release post communication with the FDA and push ou t into the market versus having to manufacture the entire product and release to Europe and rest of the regions. So that's why we were able to increase the US sales because of our safety stock.
Foram Parekh: Okay, got that. Thank you.
Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.
Rashmi Shetty: Yes, thanks for the follow -up. Just want to understand on the PFI side of the business. You know when you temporarily stop the production at Gagillapur, was PFI block was also the part of it.

Krishna Prasad: Yes, granulation, we stopped. PFI we sell as a product and we also use PFI for our tableting. So it's mainly granulation that has stopped. And WIP, we continue d to compress and coat but not – PFI.
Rashmi Shetty: Okay, got it.
Krishna Prasad: And now those PFI lines have already started, I mean from the October onwards, everything back to normal as of today.
Rashmi Shetty: Got it. Okay. And, you know, earlier we were saying that in the PFI segment, we will be adding -- we are seeing more customer increase in LatAm markets and all. So what is the update over there? I understand that one quarterly impact we have. But just on a, you know general terms, what are you seeing demand from those geographies.
Priyanka Chigurupati: I'll take that question. There has been an increase in demand for our PFI segment. We've been redirecting that business. And so you can see the absolute numbers of PFIs in LatAm go up gradually. In addition to that, we are also qualifying new customers but as, you know, registrations in Latin -America take some time. So we're building a strong BD pipeline for our existing PFIs and also some new

PFIs.

Rashmi Shetty: Okay. Another question to Priyanka. You know, just on the launches side, we were expecting that for the US business this year, we will be doing around eight to nine launches. But because of this Gagillapur impact, do you think that the number of launches f or this year would come down or you feel that at the end of the year, you'll be able to launch around eight to nine products in the US market?
Priyanka Chigurupati: So we've also launched about I would say about three products in so far and the remaining half of the year, we have another five launches -- four launches planned for the US, which are on track. Now, if all goes well by the end of March, we'll receive another two approvals, but either way, they won't come into this year sa les. They'll float into next year sales.
Krishna Prasad: But there will be some products that are getting approved from GPI, which will be launched.
Rashmi Shetty: Okay. Okay. Got it, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal: Hi, Priyanka, in response to one of the participants, you suggested that three approvals are pending from Gagillapur in Q4. Is it Q4 FY '24 or Q4 -- sorry, Q4 FY '25 or Q4 CY '24?
Priyanka Chigurupati: In fiscal '25.
Tarang Agrawal: Okay. Thanks.
Moderator: Does that answer your question, Mr. Tarang?
Tarang Agrawal: Yes.
Moderator: Thank you. The next question is from the line of Sahil Vora from M&S Associates. Please go ahead.
Sahil Vora: Yes. I just had some questions. Just a second. Yes. Sir, with the softer input costs this quarter contributing to gross margin expansion and the major molecules being backward integrated, how sustainable do you anticipate these margins to be going forward.
Mukesh Surana: Yes, we have already clarified that the Q2 margins are little higher because the USFDA issue was there. So we have prioritized and sold favourable margin products in terms of priority. But at the same time, the margin will not fall significant ly in Q3, Q4. So we will be able to have a good margin run -rate.
Sahil Vora: Okay, got it. And could you provide more insight into the new product launches during the first half of FY '25?
Priyanka Chigurupati: What would you like to hear from us on that front?
Sahil Vora: In general, I wanted just an idea about the product launches.

Priyanka Chigurupati: We launched three products in this fiscal year, both from GPI and GIL and like I mentioned in my previous call, we launched about three products at the end of fiscal '24, which kind of extended into this year. So if you consider about six products, we've m ade decent inroads into every single product. But again, all of them have room to grow.
And if you look at IMS data, etc etera , whatever data source that you look at, you'll just start seeing small numbers because we just launched them into the market. So going forward, as production ramps up, we'll be taking over -- we'll be actually supplying in full and taking on more market s hare.

And also, I just want to clarify something to the participant from earlier. When I mentioned that we have about four launches coming up the rest of this year and also three to four launches that were -- sorry, approvals that we're expecting in Q4, these ar e not linked. The two out of the four launches or three out of the four launches that we are expecting to do are from products that have been approved a while ago that we're launching now because the market opened up in a very good way for us. So they're not linked. I just wanted to clarify that.

Sahil Vora: Okay, okay. Understood. Thank you for the detailed answer. And lastly, could you provide an unexpected -- sorry, expected timeline for t

he Gagillapur facility to resume operations?

Krishna Prasad: Gagillapur has already resumed operations and clarified a few times in this call that things as of today, we are producing at normal capacity.

Sahil Vora: Okay. Thank you for the clarification and all the best. Thanks.

Moderator: Thank you, sir. As there are no further questions from the participants, I would now like to hand the conference over to Krishna Prasad for closing comments. Over to you, sir.

Krishna Prasad: Once again, ladies and gentlemen. My sincere thanks for your interest in Granules and for joining us in this earnings call today. I wish you all a great time ahead. Thank you.

Moderator: Thank you everyone. On behalf of Granules India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

REGISTERED OFFICE

GRANULES INDIA LTD., 2nd Floor, 3rd Block, My Home Hub,
Madhapur, Hyderabad – 500 081, Telangana, INDIA.
Tel: +91 40 69043500, Fax: +91 40 23115145, mail@granulesindia.com, www.granulesindia.com
CIN: L24110TG1991PLC012471

Date: January 30, 202 5
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q3 of FY2 5.
Ref: Our letter dated 09.01.2025 for intimation of the schedule of the Earnings Conference call for Q 3 of FY24.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transc ript of the earnings conference call of the Company for Q3 of FY25 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:
https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

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CHAITANYA TUMMALA Date: 2025.01.30 12:10:20 +05'30'

“Granules India L imited
Q3 & 9 Months FY '25 Earnings Conference Call”
January 24, 202 5

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND MANAGING DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAMA RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR , GPI AND GUSA – GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER – GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 Months FY '25 Earnings Conference Call of Granules India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Ms. Prachi from Orient Capital. Thank you, and over to you, ma'am.
Prachi: Thank you, Man av. On behalf of Granules India Limited, I extend a warm welcome to all the participants on Q3 and 9 months FY '25 Financial Result Discussion Call . Today on the call, we have Dr. Krishna Prasad, Chairman and Managing Director; Dr. KVS Ram Rao, Joint Managing Director and Chief Executive Officer; Mr s. Priyanka Chigurupati, Executive Director; and Mr. Mukesh Surana, Chief Financial Officer.
Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinion expectations as of today. These statements are not a guarantee of our futu re performance and involve unforeseen risks and uncertainties.
With this, I would like to hand over the call to Dr. Prasad for his opening comments. Over to you, sir. Thank you.
Krishna Chigurupati : Thank you, Prachi. A very good evening , ladies and gentlemen, and thank you very much for joining us on our Q3 FY '25 Earnings Call . We appreciate your continued interest in Granules.
We have uploaded a detailed presentation of our quarterly performance on our website, and I trust you have had a chance to review it.
As many of you know, the USFDA conducted an inspection of our Gagillapur finished dosage facility from August 26 to September 6, resulting in six Form 483 observations. The FDA has determined the classification of the inspection as “official action Indicated”. Granules has undertaken a proactive voluntary and comprehensive remediation plan to address observations raised by the US FDA.
Following the inspection, we voluntarily paused manufacturing and distribution in September to conduct a thorough risk assessment, ensuring that there are no product contamination or patient safety concerns. Operations and dispatches have since resumed in October following this assurance , while maintaining full transparency with the FDA throughout the process.
Our voluntary remediation plan encompasses comprehensive corrective and preventive actions, independent third -party oversight, ongoing product testing for risk assessment and regular monthly progress updates to the U S FDA.
The plan is structured around three key focus areas: First, demonstrating a thorough understanding of identified issues by implementing appropriate CAPAs; second, ensuring the effectiveness of close d CAPAs through rigorous metrics -based evaluations; and third, mitigating risks by implementing interim controls for all ongoing activities related to open CAPA. To date,

90% of CAPAs have been completed , with the remaining ones on track for closure by March '25.
To help us with this process, we have engaged multiple third -party consultants and experts who are working closely with our team on the ground. We are in constant touch and engaged with the US FDA to present our progress on the corrective measures and requ est a potential reinspection.
Following our initial response to the FDA on 28th September, we have shared three monthly status update report with the agency on 2 8th October, 26th November and 26th December, communicating the progress on implementation of corrective measures that we have put in place. Our fourth

monthly update will go out before the end of January.
We are also making a systemic change in the quality and compliance culture across the organization, including at Gagillapur, which are directed towards infrastructure improvements, capability building, automation, process changes and inculcating a quality mindset that is in sync with the ever -evolving regulatory expectations.
We are maintaining continuous communication with our customers and have had several visits and on -site meetings with our top customers. These interactions have been highly positive,and I think allowing us to transparently share our progress on corrective actions being taken at the site.
As part of our ongoing efforts to strengthen leadership in quality and manufacturing, the quality function and leadership, Dr. Rajesh Kap oor has been appointed as Global Head of Quality at

Granules. He was already, a head of quality for our North American operations.
On the manufacturing side, Ramraj Rangarajalu has joined us back as new Head of Formula tion Operations for India sites. Ramraj, in his previous stints, was Head of Gagillapur plant. The OAI classification does not impact the ongoing manufacturing distribution or sale of existing products from the site. However, it may impact review of pending submissions for approval of new products until the status is resolved.
Granules' growth trajectory remains robust and diversified, underscoring that our strategy is not solely dependent on new product approvals from the Gagillapur site. Key drivers include new launches from our GPI ability in the US, growth from large volume products in the US and Europe, capacity addition and commercialization of greenfield formulation facility at Genome Valley, value chain advancements in Europe and our expanding oncology pipeline from Unit V in Vi zag
As we look ahead, our near -term growth will be driven by new product launches from our GPI site for the US market, especially the C NS ADHD segment. During the last quarter, we have received US FDA approval for Lisdexam phetamine chewable tablets , and few other exciting products are under approval which we expect to come through in the near future.
Our new formula tion facility at Genome Valley under Granules Life Sciences is progressing well. Phase I with the capacity of 2.5 billion doses has been commissioned and commercial

dispatches of monograph products have commenced. We are targeting prescription product commercialization for Europe in March or April. Phase II with an additional 7.5 billion dose capacity is expected to be commissioned by Q4 of FY '25, with validation act ivities slated to begin in Q1 FY '26.
To summarize, we are prioritizing the enhancement of quality and compliance across the organization while actively pursuing our growth objectives. These include new launches from our GPI facility, expanding our formulations capacity at GLS and investing in R&D to support our portfolio expansion in the long term.
I request Dr. Ram Rao to provide further insights on some of the initiatives.
K.V.S. Ram Rao : Thank you, Chairman. Good evening, ladies and gentlemen. Building a robust and a diverse product portfolio has been a focus for Granules, forming the cornerstone of the company's growth strategy in the last couple of years. We have been steadily advancing towards our R&D objectives . in each passing quarter , We have been consistently growing our product portfolio.
Today, Granules has 83 ANDAs in the US with 15 ANDAs awaiting approval, 12 applications in Europe with four awaiting approval, and 15 applications in rest of the world with eight awaiting approval. Additionally, we have received approval for two of our formulation products in the US in the last quarter.
We are ac tively expanding our therapeutic &product portfolio by submitting new filings in areas s

uch as C NS, oncology and antidiabetic segments while also pursuing market expansion for our existing products. This past quarter, Granules R&D spend was close to INR57 crores , another testament to our commitment to continuous innovation.
Following are the areas of primary focus for growth in the portfolio, ADHD based out of Chantilly facility in the U S. We are developing medicines to adjust one of the fastest growing therapeutic segments and health concerns in the US and world today. The global ADHD market is projected to grow from USD 15.8 billion in '23 to USD 24 .6 billion in 2032. Increasing ADHD diagnosis, advancement in diagnostic tool, and the continuous development of innovative treatments is driving this growth.
Despite being rapidly growing therapeutic segment, patients in the US frequently face shortages of ADHD medications. A combination of the above factors make ADHD attractive therapeutic area for Granules. We have been developing a very robust ADHD portfolio with 10 products in pipeline for development, which includes first -to-file Day 181 and regular launch opportunities.
We also have 5 to 6 ADHD products commercialized in the US and have obtained approval for Lisdexamfetamine chewable tablets in December 2024.
Overall, Granules ADHD portfolio is designed to address majority of the US ADHD market.
Oncology therapy is another focus area for Granules, and we are making substantial strides into our oncology portfolio. We continue to expand our oncology portfolio with 7 to 8 products currently under development, this includes NCE opportunities and the Day 1 opportunity products.

Our state -of-the-art infrastructure for both API and finished dosage in oncology, combined with strategically curated portfolio in the near term that have high market entry barriers, positions us to become a significant player in this segment. Diabetes treatment is another cornerstone of our portfolio. We are currently working on 8 to 9 diabetic medication portfolio and anticipate submitting several of them for approval in the upcoming quarters.

Biocatalysis is a focus area for our R&D. We are developing our products using this technology, process validation of the first API of this segment is set to be completed in the current financial year, followed by two more products in the subsequent quarters. We contin ue to develop th ese products with an eye on sustainability and global cost leadership .

It's great to report that we have stayed consistently dedicated to executing our R&D strategy and building a strong portfolio for the future. Thank you all, and over to you, Mukesh.

Mukesh Surana : Thank you, CMD and JMD . Let me take you all through the top financial parameters now.

Revenue,

the third quarter revenue w ere INR11,377 million as compared to INR11,556 million in Q3 FY '24, with a decline of 2% and revenue improved by 18% as compared to Q2 FY '25. The sales breakup as per business division, geographic regions are presented in our investor presentation, which is available on the website.

Gross margins.

Our gross margin as a percentage of sales for Q3 FY '25 was 61.7% as compared to 57% in Q3 FY '24. Gross margin as compared to Q3 FY '24 is up by 474 basis points, achieved on account of profitable sales growth of finished dosages. Gross margin as a percen tage of sales for Q3 FY '25 is down by 20 basis points from Q2 FY '25. We sustained higher sales quarter -on-quarter and prioritized sales of higher margin within the finished dosages.

EBITDA and EBITDA margin.

EBITDA for the quarter was INR2,303 million, that is 20.2% of sales as compared to INR2,505 million, that is 21.7% of sales in Q3 FY '24, a decrease of 144 basis points from Q3 FY '24. EBITDA as a percentage of sales for Q3 FY '25 is down by 80 basis points from Q2 FY '25 on account of air freight , failure to

supply and professional expenses that have gone up on account of the recent US FDA inspection at the Gagillapur facility.

R&D.

Our R&D spend for the quarter was INR568 million as compared to INR468 million in Q3 of '24 and INR524 million in Q2 FY '25.

Net debt

Was INR8,289 million as compared to INR7,973 million in Q2 FY '25. Our net debt was INR8, 421 million at the end of March '24.

Cash -to-cash cycle.

Our cash -to-cash cycle was 213 days in the current quarter, which is same as Q2 FY '25. Cash flow from operations. Cash flow from operations for the quarter was INR1,315 million as compared to INR1,880 million in Q3 of '24, and INR2,007 million in Q2 FY '25. With the sequential quarter 's sales growth, receivables have gone up. However, DSO remained at 76 days as compared to Q2 FY '25 of 73 days.

Capex.

Capex spend during the quarter was INR1,335 million primarily invested in Granules life science of INR9 40 million. At a Y -T-D level, we spent INR4,102 million for capex primarily invested in Granules Life Science of INR2,425 million.

ROC E

ROCE for Q3 FY '25 is 16.4% as compared to 16.9% in Q2 FY '25 at 15.3% in Q3 FY '24. With this, I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : Sir, with almost 90% remediation of incremented and new approvals or launches expected, could you just guide us in terms of revenue in FY '25 in terms of revenue growth and EBITDA margin?

Krishna Chigurupati : Tushar t he remediation is going on, like I said in my opening remarks. We have voluntarily taken a lot for steps for remediation. We have consultants looking at last 2 years reports of investigation and to just to give confidence to ourselves and the FDA that everything has been good in the organization. And given ongoing investigations also, they will be taken care of. So, so work is happen ing.

And now it all depends. If everything is status quo, and it is OAI, we will not get approval since that is clear, new approval. So the growth has to come from existing products, increasing market

in Europe and other places and mainly from the US operations and production from GLS. So we
cannot put a number today.
But definitely, when you see CAGR, we will continue to maintain it even though there are blips.
So CAGR will definitely be around 20% plus. So that's all I can guide on the growth today .
Tushar Manudhane : Understood. And for the quarter, there has been a sharp uptick for Europe sales. Anything you would you want to comment on that?
Krishna Chigurupati : Did you say uptick, did you say that?
Tushar Manudhane : Quarter -on-quarter, there has been a sharp jump in the Europe sale?

Krishna Chigurupati : Quarter -on-quarter, there has been a jump. But because that reason is last quarter was actually dip. So if you see Europe in a continuing basis, Europe not doing that great, it is also a factor of capacity. Our capacity is not in finite . Until we have the new GLS plant running ,this will continue. And we continue to allocate most of our capacity in US. So if you see the US growth rate and the growth in Europe, you can see the connection. Overall, great growth in Europe.
That's all I can tell you.
Tushar Manudhane : And lastly on like while this has slightly impacted the EBITDA margin for the quarter, but if you would like to call out what kind of cost has gone in terms of remediation measures, which is sort of not recurring in nature?
Krishna Chigurupati : Cost has not only gone up on remediation, Tushar. Due to disruption of supply, there was a lot of material that has to be airlifted that has drastically added to the cost. And

of course,
remediation cost has been there. And a few other expenses, which are not in regular line have happened in this quarter. And I won't say this is one -off for this quarter. Some of these things will happen in next quarter too, though they will be at a much reduced level.
Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.
Rashmi Shetty : So just a follow -up from the earlier participant. You mentioned in your presentation that your expenses during the quarter has gone up due to the professional fees related to the remediation activity and some SPS expenses also. So if you can quantify that number, what was the cost related to the failure to supply and that penalty is going to recur in next 2, 3 quarters? Or you feel this is one -off in third quarter only? And remediation cost, how much is something which is recurring in nature in the next subsequent quarters?
Mukesh Surana : Sure, Rashmi. So, we have incurred consultancy fees , failure to supply and also there was increase in air freights . Some we could recover from customers, some we could not. All put together, I would say it would be close to $3 million. And some of this may not repeat fully in quarter 4. There will be a reduction in this number in quarter 4.
Rashmi Shetty: Okay. So out of $3 million, which you are saying that -- which has been exp ended in this quarter, how much is something which would be rec urred ? I mean is it like 25%, 50% of this amount would rec ur in the quarter 4? To model in our numbers, we would want to know that?
Mukesh Surana : So it would be a little above 50%, I would say. It's a judgment as of now.
Rashmi Shetty: Okay. Understood. That's really helpful. And on the U.S. FDA inspection part, when you're communicating with the agency, anything which you can g auge that the inspection can happen soon? Or you feel that currently, only the timely updates will happen? Anythi ng which you can gauge from them?
Krishna Chigurupati: We are updating them Rashmi, regularly on the work that is happening here, and which is very positive. But we are planning to request them for the re -inspection. We don't know when they'll give us an appointment and when they will come back. It all depends. As of today, we cannot put any dates on that.

Rashmi Shetty: Okay. So the 4 to 5 product launches, which were expected in FY '25, second half, will that happen from other facility or we believe that probably now that will get delayed to next year or till the time it is settled?
Krishna Chigurupati : So this could get delayed to last quarter. But definitely, these products shifting to other sites. If we start filing those from the other site, it could take in to first quarter of next fiscal, from an , I am talking of '27.
Rashmi Shetty: Okay. So net -net, to say that at least 2 quarters' time...
Krishna Chigurupati : There would be some loss in sales from the new launches.
Priyanka Chigurupati : No, Rashmi , to complete that answer, we have still about 4 to 5 launches from the GPI sites that are planned for Q4, which will go on as planned. And from that, about two products are new

approvals, one of which we've already received and three products are from old products that
we've already received approvals for, b ut we'll be launching officially in Q4.
Rashmi Shetty: Understood. So those 4 to 5 products will go on?
Priyanka Chigurupati : Yes.
Rashmi Shetty: Okay. And related to your API business, what is the update over there? We were seeing some sort of price erosion. Even the demand scenario was weak because of the inventory level at the customer? But we expected that probably prices will recover in second half and also, there would be some inventory, which would get over. So , API growth could improve. So , what is the update on that for this end of year? Also, if you can update relat

ed to FY '26?
Krishna Chigurupati : Priyanka, do you want to take that? Or Shall I?
Priyanka Chigurupati : Sure. I'll take one half of the question for sure. So the API prices, I'm assuming you're referring to paracetamol prices. and in general, they have certainly gone up a little bit, but -- and have stabilized right now at a new base. And going forward, I do expect it to go up from here. And regarding the rest of the API prices, I wouldn't necessarily say there's too much of a change either way in any of the prices overall.
In terms of inventory, so again, all other inventory situation is fine. But with paracetamol, there still is a situation of high stockage because customers did take some additional product because of the Red Sea issues on top of the past inventory that the y were sitting on. So again, right now, we see it -- we see projections for FY '26 to be pretty good. But Q4 FY '25 will still be pretty flat. But FY '26 looks good for now.
Rashmi Shetty: Okay. Got it. Thank you. That's it for my side.
Moderator: Thank you. We have our next question from the line of Darsh il Jhaveri from Crown Capital. Please go ahead.

Darsh il Jhaveri: Some of my questions have been answered. I think the first participant asked about the growth. I think sir said, we are targeting a CAGR of 20% plus. Is that fair like for FY '26? Have I heard that correctly, sir?
Krishna Chigurupati : No, Mukesh you want to answer that question?
Mukesh Surana : Yes. So in the long run is what you were trying to say, not quarter -on-quarter. In the long run, we are expecting to achieve 20% plus CAGR in the long run.
Darsh il Jhaveri: Okay. Fair enough. And so in the short term, like how do we see FY '26 planning out for in terms of like revenue? Because we can't launch fully that all the products that we want. So how much will be able to maintain the current pace or quarterly run rate or how would it go, Sir?
Krishna Chigurupati : '26 will definitely be a lot better than '25, Darsh il, which will be aided by GLS where we are likely to have a European inspection early next -- very early next fiscal. So that will help us to start the European business and the business will go on. We expect very positive growth in next year. And maybe we are looking at something like a 20% growth next year.
Darsh il Jhaveri: Okay. Fair. That's helps a lot , sir. And sir, margins like we had some nonrecurring expenses, as you've said. So 20%, 22% margin range, that's also a fair assumption, sir?
Krishna Chigurupati : Yes, d efinitely, very much. If you see our gross margins are only improving, but some of these one-off expenses have been eating into that.
Darsh il Jhaveri: Yes, correct, sir. And sir, I just wanted to know like any potential implications of the Trump presidency that we can expect, like even like we have some facilities in US also. So what do you see as the political risk? Is there like something that can maybe hurt us or can it be a gain for us? Anything on that sort of, sir?
Krishna Chigurupati : I mean this administration could be a little unpredictable, we cannot say. But overall, this administration is industry friendly. So I personally think there could be a lot of positivity that can happen to the pharma industry from this administration. And we having a facility in US also definitely will help.
Darsh il Jhaveri: Okay. Fair enough, sir. And sir, just last on my end sir. So FDA, we are continuously updating them. So any rough timeline? Nothing that we can hold on to, but in your experience, how much like timeline, like it can be maybe a few months or maybe a quarter or two? what do you feel, sir, can -- when will they come back for an inspection? And how would it go on? So just any timeline that you could like to give, sir? Nothing specific, some range will also do?
Krishna Chigurupati : It's very difficult

to fix a timeline, but we're going to request them for a meeting any time from next month onward. And let's see what happens. Maybe within a quarter, I am sure they would definitely visit us.
Moderator: The next question is from the line of Abhishek Pipariya from ICICI Bank.
Abhishek Pipariya : This is in relation to the capex expenses which is expected in FY '26. So , can we just know what

is the capex we are planning in FY '26?

Mukesh Surana : See, some of those capex, there is some carry forward also of the current year plan ned. So, we are estimating as of now, we have not yet done the budgeting exercise, but anywhere between INR500 -odd crores.
Abhishek Pipariya: Okay. And sir, in recent past, there has been USFDA observations. So , what would have been the contribution from the Gagillapur plant, which has been affected? And what is the decline you are expecting in the current year from this?
Krishna Chigurupati : We expect that revenues wil l not decline any more. This quarter, they could have declined because we took a pause in production. We expect that we will continue with Q1 numbers from this si te and possibly improve a little bit , because some of the new launches are taking off. Their sales are improving.
Abhishek Pipariya: And sir, what is the kind of overall contribution in the top line from the Gagillapur plant in a financial year?
Mukesh Surana : Sorry, come again?
Krishna Chigurupati : Top line from the Gagillapur plant percentage.
Mukesh Surana : It is in the range of 60 -plus percentage, 60 percentage to 65 percentage on overall total consol sales.
Moderator: We have our next question from the line of Sahil Vora from M&S Assets.
Sahil Vora : Yes. My first question is, is Granules planning to participate in the GL -1 market, given it's growing significance in the pharmaceutical landscape?
Krishna Chigurupati : Yes, Mr. Vora . This is a market which no company should neglect such a huge opportunity, and everybody should aim for a piece of that big pie. We are definitely looking at it and possibly you will hear from us in future quarters on what we are doing.
Sahil Vora: Okay. Thank you for the update. My next question is, with the finished dosages contributing 76% of revenues, what is the outlook for this segment? And are there plans to diversify revenue streams further?
Krishna Chigurupati : FDs has always been the ultimate target. And the reason we make -- even though we were selling a lot of APIs and PFIs, our target was to convert the PFI business into FDs. So that we have been achieving, and focus will be totally on FDs. While we need the API s and PFI s to feed into our FDs, so all these will be for in -house consumptions. So , we do make a lot of APIs today, but they're all going into internal consumption.
And regarding diversification, if I got your question right, we are looking at various new APIs, again, based on the FD s, which we have filed. And also possibly you'll be hearing from us about our foray into a few different dosage forms in the coming quarters.
Moderator: We have our n ext question from the line of Sreesankar Ra dhakrishnan from EIP

Sreesankar R .: Got two quick questions. The first one is, even in Q2 in your Investor Presentation, I couldn't see a balance sheet there. If you can give a balance sheet that will be great. You don't need to give it on the third quarter, etcetera, but it will be greatly helpful. That's the firs t one.
Second is, every year, you just mentioned that you probably have around closer to INR500 crores capex in FY'26. Did I hear right?
Krishna Chigurupati : Yes.
Sreesankar R .: Yes. If that's the case -- you have been doing your investment, the capex also has been increasing , rather on the high side at every point of time. But my quest

ion really is when do you start to see your cash flows going to keep funding your capex and your debt continues to reduce?
Mukesh Surana : Yes. I would like to clarify. Our Investor Presentation has all the balance sheet key parameters in Slide #8, where we cover the fixed asset turn , net debt, CCC days, cash flow, capex and ROCE. So probably you can refer that. And also detailed balance sheet is anyway uploaded.
With respect to the INR500 capex, as I have clarified, as of now, I'm just giving an estimate because the budgetary exercis e is still under process.
And the third question is with respect to cash flow generation. If you see with the significant increase in capex, our net debt has still not gone up. And we are building this capex. One important capex, which we are building, is on the gran uels life science , which is an additional INR10 billion capacity, which has already started commercialization to the extent of INR2.5 billion.
The run rate of INR2.5 billion, we will see it soon. And also the next INR7.5 billion also will

happen. So , it's a matter of 2 -3 years. So , the capex, whatever we have spent is going to give returns in the next 2, 3 years. So , the cash flow as such is managed well. We are not taking additional borrowings.

Shivshankar R .: No, I appreciate that. My only point was, yes, you are generating cash, you are generating. But when are we going to see rundown in your net debt? That was the only question. I take your point on Slide 8, I can see that, but it would have been much easier if the entire balance sheet also is given. So , you've got a P&L, you've got a lot of those things that are given. So that was a suggestion, that's it.

Moderator: We have our next question from the line of Madhav from Fidelity.

Madhav : I just had one question basically for our Gagillapur site, it has an OAI classification. I just wanted to check my very basic understanding that generally, OAI is followed by either a warning letter or an import alert. So , do we expect that final classification to come in very soon? Or is it already -- I don't know how does it usually work? Am I missing something that -- or is it like stays at OAI without either of these coming out , or how does that work?

Krishna Chigurupati : The worst case in an OAI, of course, is import alert, but intermittent is the warning letter. We are pretty pretty confident based on our conversations with our consultants that import alert is a very, very remote possibility. And warning letter is a possibility, though we feel and they feel

confident that it may not happen. And the best case scenario is to keep it a s OAI come back and inspect us.

Management : And that I answered a little while ago, it could happen in a quarter or so possibly.

Madhav : Okay. So basically, sir, just again, a basic question, so it can just stay at an OAI without going to either warning letter or import alerts ? Or it still gets resolved there itself...

Krishna Chigurupati : Yes, they may want to come back for an inspection and there's an intermittent letter they give. I don't know the exact name of the letter , that letter will say we will come and inspect you. So that could happen.

Madhav : Okay. And given that our inspection was in September -- August or September. So generally, the re -inspection, what's the earliest from sort of -- is it like 1 year that they come back or it could be even faster than that? Any sense there would be...

Krishna Chigurupati : So, it depends, like if our responses are good and the APA is convinced that we are doing a good job, they'll definitely come back earlier.

Moderator: We have our next question from line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : Just one question. If you can call out your total gross borrowings, not net. Total gross borrowings and your average cost of debt?

Mukesh Surana :

See, the gross debt is INR1,025 crores. And -- the cost of borrowing has a mix of PCFC , term loan and also different banks. So if I have to say, largely we borrow in PCFC and USD borrowing. So the sp read ranges from 0.2 to 0.7 range for working capital. And for long -term loan, it is also 100 to 150 basis point kind of a range.

And then obviously, there will be an IFRS accounting of INR equivalent cost, which goes into the interest cost. It's foreign currency borrowing.

Moderator: We have our next question from th e line of Mamta Agarwal from ABN Investments.

Mamta Agarwal: Sir my question is, can you share retails about the greenfield formulation expansion at the GLS? And elaborate more on contribution to future revenues?

Krishna Chigurupati : This capacity, Mamta, is going to be about 10 billion capacity. 2.5 billion is already online in one phase. And since we do not have an FDA inspection or a European inspection so far, we are producing US monograph products for the U.S., and we're shipping them out today.

And we are expecting a European inspection late March or early April. And after that inspection, within a few months, we expect to start shipping f or Europe -- and later on, Europe doesn't need any filings. It can be a separate process. And US inspection, we have already done some filings, and we expect it could be 6 months, 9 months, whatever.

We're trying to push them. We'll see what happens. But meanwhile, European sales and US monograph sales will continue to happen from that side.

Mamta Agarwal: Okay. Fair enough. Sir, follow up question is, what is the company's focus on launching new products or entering untapped therapeutic areas in the near term?

Krishna Chigurupati : Untapped from Granules side, different dosage forms, we are working on. And therapeutic areas, as you know, everybody now is into diabetes, weight loss segments, the GLP -1s. So , we

will definitely be looking at that. And like I said, you will hear fr om us in the next few quarters.
Krishna Chigurupati : Yes of course in t he therapeutic segment, we are focusing on diabetes like the CNA segments, some of the segments we are focusing on. But beyond that, we are looking at different things.
Moderator: We have our next question from the line of Harith Ahmed from Avendus Spark.
Harith Ahmed : What was the R&D spend for the quarter? I couldn't find it in the presentation.
Krishna Chigurupati : Yes. So , I had called it out, it was INR568 million for the current quarter.
Harith Ahmed : Okay. And you mentioned there was an increase in receivables during the quarter. So , we would share the current debtor days and this increase was related to which market? If you can throw some color on that.
Mukesh Surana : The DSO d ays that also I had read in my CFO speech. It is in the same level. Currently, it is 76 days and last quarter, it was 73 days. So , it is largely because of the increase in sales in the Q3, sequentially, Q2 to Q3.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Krishna Chigurupati : Once again, thank you very much, ladies and gentlemen, for attending the call and your continued interest in Granules India. So , I just wish you a great weekend and a Happy Republic Day. Thank you very much.
Moderator: Thank you. On behalf of Orient Capital, that concludes this call. Thank you for joining us, and you may now disconnect lines.

Call: Jun 2025

Date: June 04, 202 5
To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference Call for Q4 and the financial year ended on March 31, 202 5.
Ref: Our letter dated May 0 7, 202 5 for intimation of the schedule of the Earnings Conference call for Q4 and the financial year ended on March 31, 202 5.
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for the Q4 and financial year ended on March 31, 202 5 is enclosed herewith and has been uploaded on the website of the Company at the below -mentioned link:
https://granulesindia.com/investors/investor -resources/earnings -call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)
Encl: As above

REGISTERED OFFICE
Granules India Limited
CIN: L24110TG1991PLC012471
15th Floor, Granules Tower, Botanical Garden Road, Kondapur, Hyderabad – 500084, Telangana, India
Contact Us: Tel: +91 40 69043500 | Fax: +91-40-23115145 |
mail@granulesindia.com www.granulesindia.com

“Granules India Limited Q4 & FY ‘2 025 Earnings Conference Call ”

May 28, 2025

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND MANAGING DIRECTOR , GRANULES INDIA LIMITED
DR. K.V. S. RAM RAO – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR , GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,

Moderator: Ladies and gentlemen, good day, and welcome to the Granules India Limited Q4 FY '25 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference has been recorded.
I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations team. Thank you, and over to you ma'am.
Prachi Ambre: Thank you, Anushka. On behalf of Granules India Limited, I extend a warm welcome to all the participants on Q4 & FY '25 financial results discussion call.
Today on the call, we have Dr. Krishna Prasad Chigurupati – Chairman and Managing Director; Dr. K.V. S. Ram Rao, Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, Executive Director; and Mr. Mukesh Surana, Chief Financial Officer.
Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, expectations, and opinions as of today. These statements are not a guarantee of ou r future performance and involve unforeseen risks and uncertainties.
With this, I would like to hand over the call to Dr. Krishna Prasad sir for his opening comments. Over to you, sir. Thank you.
Dr. Krishna Prasad C.: Thank you, Prachi. Good evening, ladies and gentlemen, and thank you very much for joining us on the Q4 FY '25 Earnings Call. We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly and full year performance on our website, and I trust you have had a chance to review it.
I will start with the update on the US FDA remediation at our Gagillapur facility.
Let me begin with the update on the US FDA inspection status at our Gagillapur finished dosage facility :
As shared in our previous quarterly call, the facility underwent FDA inspection in August 2024, which concluded with six Form 483 observations and was classified as official action initiated. On February 26 , 2025, we received a warning letter from the FDA for the site. The warning letter does not affect the supply of approved commercial products. However, it may temporarily impact the FDA's review of pending product submissions from this facility until the ma tter is resolved.

While manufacturing and distribution continue , the ongoing remediation measures have resulted in a slowdown of operations, which impacted our Q4 output and is expected to continue for another quarter or two. Our remediation program initiated immediately post -inspection , has been driven under the guidance of three globally recognized consulting firms with deep expertise in quality, compliance, and regulatory affairs. These experts have been closely collaborating with our team, both on -site and remote, since September 2024. As part of this initiative, we voluntarily paused operations in September to conduct a comprehensive risk assessment. Operations resumed only after confirming there was no product safety or contamination concern, and in concurrence with the US FDA.
We initiated extensive testing of both previously manufactured and ongoing batches for cross - contamination. So far, over 1,200 post -inspection and pre -inspection batches have been tested, all are within acceptable limits. Additionally , more than 2,600 swab and rinse samples have been tested with no deviations observed. We developed and validated 89 test methods specifically for contamination testing, and analysis remains ongoing. We continue to generate and compile data to demonstrate the robustness and sustainability of our

CAPAs in preparation for a future FDA meeting.
Beyond compliance, we have implemented enterprise -wide quality culture initiatives, including corporate procedures for cleaning validation, visual checks , residue limits, change controls, and competency building across teams. We remain fully engaged with the FDA, customers, and other stakeholders throughout this process, and are committed to embedding long -term improvement in our quality systems. We are confid ent that the steps we are taking will lead to a satisfactory resolution within a reasonable timefra me.

Granules' growth trajectory remains focused and diversified, underscoring that our strategy is not solely dependent on new product approvals from the Gagillapur site.
Key drivers include :
• New launches from our GPI facility in the US.
• Growth from large -volume products in the US and Europe .
• Capacity addition and commercialization of the Greenfield formulation facility at Genome Valley .
• Value chain advancement in Europe .
• Expanding oncology pipeline from Unit -V.
Our near -term growth will be driven by new product launches from our GPI site for the US market, especially the CNS and ADHD segments.
During Q4, we received approval for lisdexamfetamine capsules following the early approval of the chewable tablet formulation in Q3. With this, we now have both dosage forms, capsules and chewables approved and commercially launched, enhancing our presence in the CNS and ADHD

segment. Additionally, we launched multiple key products during the quarter, including paracetamol -oxycodone, paracetamol -hydrocodone combination and dofetilide capsules. These launches reflect our continued focus on expanding our complex generic portfolio and reinforcing our position in the US prescription market.
Our new formulation facility at Genome Valley under Granules Life Sciences is progressing well. Phase -1 with a capacity of 2.5 billion dosage has been commissioned and commercial dispatch of monograph products are ongoing. We are awaiting inspections by both European agencies as well as the US FDA towards commercialization of prescription products from GLS. Inspections are expected in Q2 of FY '2 6. Phase -2, with an additional 7.5 billion dose capacity has been commissioned in the current quarter and validation acti vities for monograph products have also commenced.
I will now talk about Granules' foray into peptides and the acquisition of Senn Chemicals :
The global market for peptide -based anti -obesity and anti -diabetic therapy has already crossed $50 billion in annual sales and is projected to reach $100 billion to $150 billion by 2030. Beyond metabolic disorders, we see exciting opportunities in oncology , cosmetics, and thera gnostics where peptides are enabling next -generation targeted therapy.
With the strategic acquisition of Senn Chemicals, a Swiss -based CDMO, Granules has entered the high -growth peptide therapeutic space. This marks a formal entry into complex peptides, including GLP -1 receptor anti -agnostic one of the most transformative classes of therapy in the fight against diabetes and obesity.
Founded in 1963 and headquartered in Dielsdorf, Switzerland, Senn Chemicals is a specialist CDMO with a strong multi -decade track record in developing complex liquid -phase peptide synthesis processes for peptide APIs and fragments, offering end -to-end cus tomer manufacturing solutions across pharmaceuticals, cosmetics, thera gnostics, and amino acid derivatives. We have completed acquisition formalities in April, and integration activities are in progress. We would provide more updates in the coming quarters .
On the sustainability front :
We made significant progress during the year. Granules received a gold rating from EcoVadis, placing us in the top 5% of the pharmaceutical companies globally in our very first corporate -level assessment.

We also include our CDP climate rating to a B and secu red SBTi validation of our climate goal. Additionally, we launched our supplier sustainability program to extend our impact across the value chain.
To summarize :
We remain firmly focused on strengthening quality and compliance systems across the organization, while staying on course with our clearly defined growth strategy. In the near -term,

momentum will be driven by new product launches from our GPI facility, and ramp up commercial operations at our Genome Valley formulation site.
Looking ahead, we are strategically expanding into high -growth areas such as oncology and peptides, which will shape our medium to long -term strategy. Concurrently, we continue to invest in R&D to build a differentiated portfolio that underpins sustained v alue creation and global competitiveness.
Dr. K.V. S. Ram Rao will provide further insights on some of these initiatives. I now hand over the call to Dr. Ram Rao.

K.V.S. Ram Rao: Thank you, Chairman. Good evening, all of you. At Granules , developing a strong and a diverse product portfolio has always been a key priority, and it remains central to our strategic approach.
Over the last financial year, Granules' R&D spend was Rs. 238 crores versus the Rs. 199 crores in FY '24 , representing a 20% increase in investment, which demonstrates our commitment towards R&D. We have been making steady progress in achieving our R&D goals. With every passing quarter, we continue to expand and strengthen our product portfolio.
We have a total of 127 dossiers filed across various regions. We have 85 ANDAs in the US, 16 pending for approval, 18 in Europe, with 10 pending for approval, and 24 in other regions, including Canada, with eight pending for approval. We have received two approvals, one in US and one in Europe in the last quarter . We filed three US ANDAs and six European dossiers in Q4, including a first to file product from the GPI facility.
On the API front :
We filed 18 DMFs, including US DMFs, CEPs, ASMFs, Korean and Brazilian DMFs. There has been a significant progress in our ADHD portfolio. We have been developing a robust ADHD portfolio with about 10 products in the pipeline for development, which includes day one launches and day 181 launch opportunities, including some first to file.
In February, we launched lisdexamfetamine caps and chewable tablets in the US market. Furthermore, API validation and DMF filing is expected to be done in quarter one FY '26 for lisdexamfetamine, which leads to vertical integration and supply chain reliability for this product. Overall, Granules ADHD portfolio covers a significant portion of the US ADHD market.
We continue to expand our oncology portfolio with around 10 products currently under development. This includes NC E-1 day one launches, first to files, and day 181 opportunities. We continue to make significant progress in our oncology portfolio. Last quarter, we submitted a promising high -growth oncology ANDA in the US and the European geographies , marking the commencement of our oncology filings.

FY '25 also saw the entry of Granules into the peptide as a global CDMO business. Peptide has emerged as one of the most important and promising class of therapeutic agents. From treating metabolic disorders like obesity and diabetes with GLP -1 agonist to offering innovative targe ted therap ies in cancer treatment, peptide holds the potential to significantly enhance treatment outcomes across a range of conditions.
As a part of our strategic objective to tap into this rapidly growing segment, Granules has acquired Switzerland -based CDMO. This acquisition marks a pivotal moment for Granules. It will accelerate our transformation into a more diversified science and inn ovation -led organization with sophi

sticated product capabilities.
With Senn Chemicals AG, we are not just bringing a European company to our fold, we are gaining immediate high -value access to the rapidly expanding peptide therapeutics market, while also firmly establishing our footprint in the specialized CDMO sector. S enn Chemicals adds to Granules' proficiency in complex high -growth areas like peptide development and manufacturing using technologies like liquid -phase, solid -phase peptide synthesis. It also brings a long -standing relationship with pharmaceutical, cosmet ic and thera gnostics clients worldwide. Looking ahead, we are confident the strategic synergies created by this acquisition will unlock significant value. Our focus going forward will be on seamlessly integrating their expertise, while maintaining the operational excellence, accelerating joint d evelopment activities and maximizing the opportunities this acquisition presents.
This acquisition represents a tangible step in our journey to evolve our complex product portfolio, enhance our technical capabilities and solidify Granules' position as a leading global pharmaceutical player in high -value specialized segments. I am please d to share that we have remained steadfast in our commitment to executing our R&D strategies and developing robust portfolio and capabilities for the future.
Thank you, all. Now, I hand over to Mukesh Surana, CFO. Thank you.
Mukesh Surana: Thank you, CMD and JMD. Let me take you all to the top financial parameters now.
Revenue :
The 4th Quarter revenue were Rs. 11,974 million as compared to Rs. 11,758 million in Q4 FY '24, with a growth of 2% . And revenue grew by 5% as compared to Q3 FY '25. Sales growth saw increase in FD, and API sales though there was a continuous price erosion. The full year revenue were Rs. 44,816 million as compared to Rs. 45,064 million in FY '24.
Formulation sales grew by 18% despite a voluntary paused of production in September '24 at our Gagillapur facility, in response to US FDA observations and with remediation efforts, slowdown of production in H2. Further price erosion and demand issue in API and PFI has

impacted the sales growth. The sales breakup as per business divisions, geographic regions are presented in our investor presentation, which is available on the website.
Gross Margin:
Our gross margin as a percentage of sales for Q4 FY '25 was 63.4% as compared to 60.1% in Q4 FY '24. Gross margin as compared to Q4 FY '24 is up by 333 basis points achieved due to higher finished dosages, sales with higher margin. Gross margin as a percen tage of sales for Q4 FY '25 is up by 169 basis points from Q3 FY '25. Sustained higher finished dosages, sales with higher margin has given this improvement. The full year gross margin as a percentage of sales for FY '25 is up by 635 basis points from FY ' 24. Margin improvement is due to strategical shift towards high margin formulation products.
EBITDA and EBITDA Margin :
EBITDA for the quarter was Rs. 2,524 million, that is 21.1% of sales as compared to Rs. 2,557 million, that is 21.7% of sales in Q4 FY '24, a decrease of 67 basis points from Q4 FY '24. Professional expenses have gone up on account of consultancy for remediation of US FDA observation that has impacted the EBITDA margin. EBITDA as a percentage of sales for Q4 FY '25 is up by 83 basis points from Q3 FY '25.
EBITDA margin is better despite continued professional expenses on account of consultancy for remediation of US FDA observation and increase in R&D expenses. EBITDA for the year was Rs. 9,452 million, as compared to Rs. 8,560 million in FY '24, a growth of 10% over the previous year. EBITDA improved with better margin despite Airfreight and professional expenses incurred for remediation of US FDA observation.
R&D :
Our R&D expenses for the quarter was Rs. 665 million, as compared to Rs. 6

09 million in Q4
FY '24 and Rs. 568 million in Q3 FY '25. R&D expenses for the year was Rs. 2,377 million. We are going to continue to spend on R&D in the coming quarters as well.
Net Debt:
Our net debt was Rs. 7,061 million, as compared to Rs. 8,289 million in Q3 FY '25. Our net debt was Rs. 8,421 million at the end of March '24.
Cash -to-Cash Cycle:
Our cash -to-cash cycle was 202 days in the current quarter, as compared to 213 days in Q3 FY '25 and 161 days at the beginning of the year.

Cash Flow from Operations:
The cash flow from operations for the quarter was Rs. 3,183 million, as compared to Rs. 1,315 million in Q3 FY '25, and for the year was Rs. 8,666 million, as compared to Rs. 4,394 million in FY '24.
CAPEX:
CAPEX spend during the quarter was Rs. 1,598 million, and for the year was Rs. 5,700 million, primarily invested in Granules Life Sciences of Rs. 3,135 million in FY '25.
ROCE :
ROCE for Q4 FY '25 is 16.6% as compared to 16.4% in Q3 FY '25 and 16.5% in Q4 FY '24.
With this, I open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please proceed.
Tushar Manudhane: Yes. Thanks for the opportunity. Sir, just wanted to know with respect to these Senn Chemicals, what further investment would be required for next two years to further sort of either integrate with Granules and further scale up the capability or capacity?
Dr. Krishna Prasad C.: Tushar, we are analyzing the whole situation. There is going to be a lot of CAPEX that has to come up in Switzerland . And also , we are putting up a peptide R&D facility in Hyderabad , and which will be followed by a peptide manufacturing also. Some of the developments will happen in Switzerland, and commercialization of large volume products will happen here. We are analyzing what we have to do and maybe in the next quarter we will hav e a clear idea on this. But definitely there is going to be a CAPEX on peptides.
Tushar Manudhane: Currently, sir, any like sales or profits from this entity , if you could share that number?
Mukesh Surana .: It's sort of breakeven or slight loss as of today , yes. And we think in the next one or two quarters or three quarters it will continue to be around that level, but going forward with the new strategy, it should improve.
Tushar Manudhane: Got it. And just secondly, as far as the Gagillapur facility is concerned, you said the production

is disruption for couple of quarter s. Kindly if you could share FY '26 revenue, EBITDA guidance?

Dr. Krishna Prasad C.: We cannot give you any guidance on this, but definitely all I can say is it's going to be better than last year. And I also want to make it clear that the slowdown on operation in Gagillapur will continue for a quarter or two. Despite that, we think that we will do better than last year.

Tushar Manudhane: Got it. And just lastly, this professional and consultancy fees which you would have paid for Gagillapur in FY '25, if you could quantify that?

Mukesh Surana .: So, I will just quantify not only professional expenses, all kinds of expenses, including air freight and US FDA consultancy expenses, all have been close to Rs. 60 crores for FY '25.

Tushar Manudhane: And this will not recur in FY '26, or there will be some more spending in FY '26?

Dr. Krishna Prasad C.: It will continue for Q1 and Q2, but slowly declining. But definitely till Q2 we see that it should be continuing. We have taken up a complete remediation plan, not a mandat ory part exercise. So we have a lot of consultants working on the site. So we think that this will continue for some time.

Mukesh Surana: One more clarification, air freight may not be as hi

gh as what we have incurred in Q3, particularly in FY '25 , there we are seeing an improvement with a better planning.

Tushar Manudhane: Okay. Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital Market Private Limited. Please proceed.

Rashmi Shetty: Yes. Thanks for the opportunity. Just on the Senn Chemicals, you said that you will also be exploring the GLP -1 opportunity. So which part of the value chain you would be targeting , only intermediates or the entire formulation part? And you will be targeting generic companies, I mean, in the CDMO space, or will you be supplying to the innovators?

Dr. Krishna Prasad C.: On the CDMO, it will be some of the innovators we are targeting already. And on the GLP -1 separation, basically let me explain a little bit in detail for everybody's benefit. Our relationship with Senn Chemicals started with us wanting them to develop GLP -1 products for us. It gives them a contract manufacturing opportunity. And when we saw that, they had some very good capabilities, we thought we should get hold of that company so that we can also have a kickstart with technologies ready -made. And we are w orking on APIs for GLP -1, and we expect to plan to do formulation. And formulations we will be developing in India and getting it contract manufactured for the time being.

Rashmi Shetty: And it will be for various markets, like because India and the other emerging markets are already opening up from March '25 end?

Dr. Krishna Prasad C.: India markets also, but we are a little late for India market starting now, because our API will be available after a while. But definitely for the US market, the US is the biggest target we have. We have to wait for a while. But then other GLPs going forward, we have a lot of time, and we will be targeting all markets at one time.

Rashmi Shetty: Okay. And you mentioned that EBITDA or the PAT currently is at the breakeven level or slightly loss, but what is the current sales from Senn Chemicals? And what kind of products are being manufactured over here?

Mukesh Surana: So currently, they are doing roughly CHF20 million a year and with the breakeven EBITDA. And they are largely into CDMO related to peptides, pharma, cosmetics and thera gnostics. And they also have amino acid derivatives, largely for peptides CDMOs.

Rashmi Shetty: Okay. So with the CAPEX planned forward for Senn Chemicals, and plus, we also have an ongoing CAPEX for Granules. So put together, what will be the CAPEX guidance for FY '26 and FY '27?

Mukesh Surana: So currently, we have done estimate for FY '26, FY '27 we are still working on. So FY '26, overall CAPEX estimate is about Rs. 600 crores. This includes further CAPEX , which we have to incur for Granules Life Science and also oncology and peptide investment .

Rashmi Shetty: This includes the Senn Chemicals' CAPEX also, that will be additional in case it is planned?

Mukesh Surana: Yes, this includes that as well.

Rashmi Shetty: Understood. And on the GLS Phase -II, that is 7.5 billion dosage, the entire CAPEX is over, or that extra amount is going to come in FY '26 also?

Mukesh Surana: It will come in FY '26 also.

Rashmi Shetty: Okay. So the plant is not ready for 7.5 billion dosage ?

Mukesh Surana: We do have some CAPEX creditors and also we are incurring additional CAPEX expansion in terms of packing facility and some press -fits, all of that will be spent in FY '26.

Dr. Krishna Prasad C.: But commercialization has already started in the new Phase -II, Rashmi.
Rashmi Shetty: Okay, but the total installed capacity currently is not 7.5 billion, I mean it is ongoing, right?
Dr. Krishna Prasad C.: No, we have already 2.5 billion in Phase -I and this will be 7.5 billion --
Rashmi Shetty: Yes, that is first phase. That is your first pha

se.
Dr. Krishna Prasad C.: That's right. 7.5 billion is, I think, you can say 7.5 billion capacity by next month onwards , okay. So, 7.5 billion from next month, but it will take us time to get into full utilization, because we must need to get approval from the FDA and the European authorities, which we expect to have in Q2. Once we get this approval, we will start full production and then I think by possibly this year, we may do about 40%, 50% capacity utilization and close to 90% by next fiscal end.

Rashmi Shetty: Got it. So 7.5 billion dosage will get over by, we can expect by Q2 of FY '26.
Dr. Krishna Prasad C. : No, no, it will be FY '27.
Rashmi Shetty: Okay, sir. Okay.
Dr. Krishna Prasad C. : Close to 100%, 90% or so.
Rashmi Shetty: Got it. And just on the gross margin, so we had a strong formulation phase during the year and that is why with the help of a good business mix, our gross margin was 61.5% during the year. But what are we expecting for the AP I and PFI segment from the last two consecutive years due to external factors, we have seen a decline. But were there any small growth or anything we can expect in these two segments? And if the sales increase of these two segments, FY '26, the gross margin would decline, or it would be at the similar level?
Dr. Krishna Prasad C.: Rashmi, first of all, all the APIs and PFIs we make are slowly getting consumed in -house. So it's a vertical integration that's giving us the benefit. Except paracetamol API, where we have a large capacity, other APIs are all being used in -house. So parace tamol, we had quite a substantial API sale, which has been impacted by extra capacity created in the world. And so instead of trying to push more API into the market at negligible margins, we are concentrating on converting most of i t into PFIs and FDs. So we will see the FD share at this level or possibly increase a little bit more. Definitely, I can tell you, API percentage will not increase.
Rashmi Shetty: API percentage will not increase. So year -on-year, we will see a small decline or maybe a flattish.
Dr. Krishna Prasad C.: Yes, because all that is where the capacity is going into consumption for --
Rashmi Shetty: It's getting converted to the FDs.
Dr. Krishna Prasad C.: Yes.
Rashmi Shetty: Got it. So then this kind of gross margin is sustainable.
Dr. Krishna Prasad C.: We hope to, and we are confident as of today definitely.
Rashmi Shetty: Okay. Got it, sir. And one last question just on the Europe business. We have seen for Q4 and for the full year decline, whereas even in the rest of the world, we have seen a decline. Your other markets like India and US have done well. So is it mainly because of the paracetamol and the API segment impact, which is actually reflecting in the geographies like Europe and all.
Dr. Krishna Prasad C.: Yes, you are perfectly right. Europe was mostly driven by paracetamol API with some of the big brands. And there was a slowdown there, it's only picking up, but I don't think it will go back to where it was. The price erosion continues to stay, I don't thi nk we will get back to the old levels,

which actually was helped during COVID. And except for very valued customers, we do not plan to sell paracetamol. And European sales will be mostly driven by formulations, where we had lot of filings, there was a little delay in launching this product. And once these products are launched, European sales will increase, but as a percentage, it may remain the same.
Rashmi Shetty: Okay. Got it, sir. Thank you. That's it from my side.
Dr. Krishna Prasad C.: Yes.
Moderator: Thank you. The next question is from the line of Tarang Agarwal from Old Bridge. Please proceed.
Tarang Agrawal: Thanks, sir. Good evening, and congrats for a reasonable set of numbers given the bac

kground
of Gagillapur. So three questions, sir. Firstly, on Senn Chem acquisition. Sir, what's the --
Dr. Krishna Prasad C.: Tarang, you are breaking up, Tarang, I cannot hear you properly.
Tarang Agrawal: Okay. Sir, this is basically with respect to the Senn Chem acquisition , what are the medium -term milestones and say, slightly longer -term milestones that you are looking at? And a subsequent question, given the strategic nature of this acquisition, how should we calibrate the eventual success or failure of this acquisition?

K.V.S. Ram Rao: On the Senn acquisition, the medium -term, I think we will be focusing on A, improving the CDMO segment. So as already mentioned in the speeches that there are four areas where there is already enough customer base. And also there is a lot of potential, and we will be exploiting this potential on both the science technology as well as the infrastructure to enable Senn to be competitive diversified and lead to a kind of a good CDMO play in the medium to long -term. That is one segment.
Second segment, the GLP -1s, as already mentioned by Chairman, we actually started our journey with them on GLP -1s and we have gone quite a bit of distance in development of the product. So this will become an important journey in terms of looking at GLP -1s, and therefore, using this knowledge, experience, and technology to look into various fragments of GLP -1 both for CDMO business and also for the Granules consumption. I think that will be the long -term approach to sell.
Dr. Krishna Prasad C.: And the strategic importance, Tarang, is that we will have access to good capabilities rather than starting from scratch. So it's just going to be transfer from there to India for increased volumes of GLP -1s to start with and then there are various other p eptides we want to concentrate on as we go by.
Tarang Agrawal: Got it. Sir, second, I mean, your R&D clip has been quite significant, especially in the last five years. How are you measuring the productivity of your R&D spends? I mean, if you could help us with some anecdotes, it will be quite helpful.

K.V.S. Ram Rao: So R&D spend productivity is seen through one, the number of quality filings that we are doing both in US and Europe in ADHD and oncology segments. I think that is the first measurement that we see. The second measurement is on the value of the filings. So the NC E-1s and the first to files are the differentiated filings. So I think, we have been very consistently maintaining that our portfolio is going to be focused on ADHD and oncology segments and the measurement of filings. And you already see that we have a lisdex amfetamine chewables and oral tablets approval as a beginning of our journey to the ADHD segment. So we are very clear on the number of filings globally and also in specific geographies as one big productivity measure, and I think we are pretty satisfied with the ki nd of progress we are making on our R&D spend and its pro ductivity.
Dr. Krishna Prasad C.: Tarang, we also have a benchmark for return on investment of one particular ANDA. How many times of that in what period and these are different numbers for regular products, P3 products and for going forward with first to files and all is going to be another aspect. So we are fairly happy with the progress and the returns we are getting.
Tarang Agrawal: Sure. Just last question, sir, with whatever uncertainty that's sort of been created over the last two, three months with the impending tariffs, given your significant exposure to the US, how are people looking at it? I mean, are you positioned? I mean, what are the conversations that are happening internally to address the eventuality if at all it, would be possible to do it?
Dr. Krishna Prasad C.: Yes amore than internally, I think external communication is important. We are talking

to all
our customers in the US about the possible impact. And we have been mentioning that if duties, tariffs come in, we will have to increase prices, there is no way we can absorb it. And we don't see too much resistance as of today, but let's see when it actually happens what the im pact will be. And my feeling is this is going to impact everybody just not us and it's a level playing field and the re may not be too much of an effect, because everybody is going to get hit with this tariff and there is so much anybody can absorb on margins especially products genericized long ago.
Tarang Agrawal: Correct. And last I mean, Mukesh, on CAPEX , what's the CAPEX number for FY '26?
Mukesh Surana: Rs. 600 crores, Tarang, that is what we guided.
Tarang Agrawal: Okay. And Senn Chem is on top of that, so about Rs. 1,100 crores of outlay, correct?
Mukesh Surana : Yes, you are right, Senn Chemical investment is on top of that. That is equity plus debt put together, Rs. 450 crores Enterprise Value and we did that recently.
Tarang Agrawal: Okay. Thank you. All the best.
Mukesh Surana: Thank you.
Moderator: Thank you. The next question is from the line of Sahil from M&S Associates. Please proceed.

Sahil Vora: Hello, sir. Thank you for the opportunity. Sir, I have a couple of questions. Firstly regarding the new formulation facility at Genome Valley, which commenced commercial dispatches. Sir, could you discuss the impact of it? Sir, could you discuss its impact on the overall capacity and revenue?
Dr. Krishna Prasad C.: Only Phase -I has been commercialized, Sahil, and Phase -II is under commercialization right

now, which will happen within a quarter or two. So there has been, like we said, a slowdown in Gagillapur till the FDA remediation is completed, there will be a slowdown because of various activities that are being undertaken there. So all that from this quarter, both to some extent, and Q2 in a better way will be made up by GLS and also from our US sites with new product launches.

So going forward, Genome Valley site is going to play a very important role in our revenue because even when Gagillapur returns to full normalcy, the demand for our products we foresee will be increasing and we definitely see that this cycle contributes quite a bit.

Sahil Vora: Understood, sir. Sir, secondly, how is the company addressing the decline in European sales? And what are the plans to regain market share in that region if you can shed some light on that?

Dr. Krishna Prasad C.: I just mentioned a little while ago that Europe was mainly dominated by Paracetamol API sales. And now, API sales demand has come down and we are moving the APIs more into PFI's and formulations that have been happening in US and other places and paracetamol sales API will improve a little bit, but we do not see it going back to the old times. And we will make up for European sales with formulations where the margins also will be high and we had a delay in launches of some pro ducts an d we expect that to be back on track and sales will definitely improve. But as a percentage I said a little while ago, the US will continue to be the biggest growth driver.

Sahil Vora: Okay, sir. Thank you. That's it from my end. Thanks.

Dr. Krishna Prasad C.: Thank you.

Moderator: Thank you. The next question is from the line of Varun Mishra from SK Investments. Please proceed.

Varun Mishra: Yes. Hi, sir. Thank you for the opportunity, sir. I had a couple of questions. So I wanted to know like from North America, like we have been accounting almost 79% of total revenues as per Q4 and FY '25. So sir, like what are our strategies in place to div ersify geographical revenue mix.

Dr. Krishna Prasad C.: Yes, we do have a strategy . Priyanka, would you like to take that?

Priyanka Chigurupati: Sure, I will take that question. So we have been workin

g on the North America strategy for almost 10, 12 years now in terms of filings, etc. So that market has been and will continue to be our biggest growth driver. But if you look at the number of filings that we're doing in other

regions, this year we have done about 11 filings for Europe and we continue to increase that momentum.

In addition to that, we are framing up the strategies for the rest of the world for finished dosages and plan on increasing our existing current API and pay by business as well. So going forward, you'll see an absolute increase in numbers coming from ROW markets as well. But again , I just want to reiterate that the US, just the size of the market is so big that even for us that will continue to be a focus.

Varun Mishra: All right , ma'am. Thanks a lot for that. Sir my second question was around what is your outlook on the API and the PFI segments? Could you give the current contributions to the revenue? How are they contributing? Like could you throw some light on that?

Mukesh Surana: Yes, currently it is less than 25% and this is how the trend also we see going forward, as Chairman clarified in the earlier conversation. So we are producing API more for in -house consumption. So we are focusing more on formulation. So this trend of aroun d close to 25% of API, PFI will be in that range.

Varun Mishra: All right, sir. My last question is, sir, can you please provide an update on the CAPEX spend on the GLS and the CZRO projects in FY '25? How do we see these projects like contributing on the topline in the coming years?

Mukesh Surana: So in terms of CAPEX investment, I had clarified in my speech, we have spent about Rs. 313 crores in FY '25, and we have further amount left to be spent in FY '26 also in Granules Life Science. And in CZRO, we are going slow. We have not incurred much in FY '25. Largely whatever we have incurred is on the land, which was incurred a year before and some pilot facility, which we have incurred ove r the last two years. CZRO, we are cautious and going slow, at the right appropriate time we will do . In terms of priority, GLS expansion is our priority, and also the new oncology and peptide facilities are our priority.

In terms of near -time revenue, we don't expect much from CZRO immediately in near-term and also similarly from peptides in the near -term in terms of revenue other than the acquired revenue.

In terms of Granules Life Science, our Chairman has clarified that this year, it would be about 40% of capacity utilization, next year it will be closer to 90% plus.

Varun Mishra: All right, sir. Thank you. That's all from my side, sir. Thank you, and all the best.

Mukesh Surana: Thank you.

Moderator: Thank you. The next question is from the line of Mr. Doshi from an Individual Investor. Please proceed.

Mr. Doshi: Hello, sir. So thanks for the opportunity. Sir, I just wanted to have some color on the oncology portfolio that we have. You just mentioned that we filed one US ANDA. I wanted to understand

what are the total number of molecules that we have here in the pipeline? And where are we in the development of regulatory timeline, along with any market sizes for the same, if you can share?
K.V.S. Ram Rao: On the oncology pipeline, as I mentioned in my speech, that we have already filed one molecule in the US and European segment, and we have a full double -digit pipeline of oncology products, which will be, as I told before, which will be NC E-1 segment some of them are first to launch, some of them are Para IV 181. And most of these products are for global development, and as mentioned by Priyanka that we are building our Europe and ROW business, and oncology will become a significant element of this building of the business in terms of PFI stroke, the formulation business. So ove

rall, this is the portfolio, and we expect this portfolio to start yielding us revenues from FY '28 onwards.
Mr. Doshi: Okay. All right. Got it, sir. So this was the first filing, and do we expect to see filing every quarter or every six months from now on?
K.V.S. Ram Rao: I think every quarter, we make progress in terms of filing, but you know R&D and therefore, I would not like to say a quarter or this one, but we have a fairly good idea about the timeline of filing in US and in other geographies.
Mr. Doshi: All right. Got it. And just an extension to that one, we would be here looking at making the API in-house with full integration and then going on to the formulations, or how are we thinking about it?
K.V.S. Ram Rao: As Granules strategy and as you heard our Chairman just a few minutes ago, I think most of it will be vertically integrated. So the entire differentiation in the API comes completely from a vertical integration and that is one of the reasons and also one of the strategies for selecting our portfolio.
Mr. Doshi: All right. Okay. Thank you so much, sir. That's all from my side. All the best.
K.V.S. Ram Rao: Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Dr. Krishna Prasad C.: Thank you very much, ladies and gentlemen. It's been an interesting discussion. And I look forward to meeting you all once again in the next earnings call with possibly better results and till then, have a great day and a great time ahead.
Moderator: On behalf of Granules India Limited Q4 FY '25 Earnings Conference Call , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

"Granules India Limited Q2 FY'26 Earnings
Conference Call "

November 13, 2025

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI - CHAIRMAN AND
MANAGING DIRECTOR , GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI - EXECUTIVE
DIRECTOR , GRANULES INDIA LIMITED
MR. MUKESH SURANA - CHIEF FINANCIAL OFFICER ,
GRANULES INDIA LIMITED
DR. P. V. SRINIVAS - CHIEF TECHNOLOGY OFFICER ,
GRANULES INDIA LIMITED
MR. SANJAY KUMAR - CHIEF STRATEGY OFFICER ,
GRANULES INDIA LIMITED
MODERATOR : MR. IRFAN RAEEN - MUFG

Moderator : Ladies and gentlemen, good day and welcome to the Granules India Ltd Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from MUFG. Thank you and over to you, sir.

Irfan Raeen: Thank you, Muskaan. On behalf of Granules India Ltd, I extend a warm welcome to all participants on the Q2 and H1 FY '26 Fin ancial Results Discussion Call.

Today on our call, we have Dr. Krishna Prasad Chigurupati – Chairman and Managing Director ; Ms. Priyanka Chig urupati – Executive Director ; Mr. Mukesh Surana – Chief Financial Officer, Dr. P. V. Srinivas – Chief Technology Officer and Mr. Sanjay Kumar – Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer :

This call contains some of the forward -looking statements, which are completely based on our expectations, beliefs, and opinions as of today . These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Krishna Prasad sir, for his opening comments. Over to you, sir. Thank you.

Dr. Krishna Prasad: Thank you, Irfan. Good evening, ladies and gentlemen, and thank you very much for joining us on our Q2 FY '26 Earnings Call.

We appreciate your continued interest in granules. We have uploaded a detailed presentation of our quarterly performance on our website. I trust you had a chance to review it.

I will start with an update on the U.S. FDA remediation at our Gagil lapur facility :

We are in the final stages of remediation following the August 24 U.S. FDA inspection and thesubsequent warning letter. As communicated during the last investor call, we have reached the eligibility milestone for a request for a meeting and reinspection, a nd we have now initiated formal engagement with the agency. We have been granted a meeting with the FDA in January 2026, which is Q4, and remain on track with all the required remediation measures in preparation of this interaction. We continue to submit m onthly progress reports with the latest update provided on October 31, 2025. In addition, multiple status reports have been shared to date, and

the FDA has raised no concerns regarding the adequacy or pace of our corrective actions. Cross - contamination testing on more than 3,000 retrospective and concurrent samples have also shown no failures to date.

Meanwhile, the Gagi llapur site had received a GMP certificate from the German authorities, an outcome of the inspection completed in February '25. The site had also completed eight customer audits with no critical observations, and received the UL certificate last quarter. The facility is now cleared by the German and Danish authorities, with Denmark granting us a EU GMP certificate in July 25.

Across our network, multiple regulatory milestones have been achieved. At GPI site located at Chantilly, Virginia, the U.S. FDA has issued an Establishment Inspection Report for the unannounced pre -approval inspection conducted in June '25 for a first -to-file controlled substance A NDA. Our API Unit 1 facility at Bonthapally has received an EIR and has been classified as VAI by the FDA following the June '25 inspection.

Our Greenfield GL S facility at Genome Valley, Hyderabad, has received U.S. FDA approval for a product following the PAI conducted between July 28 and August 1, 2025. This marks the first FDA approval for the GL S site, strengthening our finished do

sage capabilities and ena bling
multi -site manufacturing.

In the coming quarters, inspection for the GL S Genome Valley site, inspection by the European Authority is also scheduled. With these developments, we are confident of returning to the growth trajectory for formulation business from India, free from delivery constraints. The successful U.S. FDA inspection of a greenfield formulation facility at Genome Valley unlocks an additional 10 billion doses of formulation capacity, a 40% increase over the existing 26 billion dose capacity at Gagi llapur. It also establishes a second source supply of finished dosage and PFIs to the U.S. from India. Supplies of monograph products to the U.S. have already commenced and ramp -up of prescription product supplies will follow this FDA approval.

With remediation at Gagil lapur expected to conclude in near future, post which we anticipate securing new product approvals and enabling the site to fully support our return to the growth trajectory. Together, these steps will free us from delivery constraints for both the U.S. and EU, enabling us to fully leverage the growth potential of our formulations business from India.

Additionally, growth will come from CNS -ADHD segment from our GPI facility in the U.S., scale -up of large volume products in the U.S. and Europe, moving up the value chain in Europe, as well as the oncology capacity monetization from Unit 5 in Vizag, creating a balanced platform for near -term performance and long -term growth.

Our peptide CDMO platform, Ascelis Peptides, built on Senn Chemical's strong Swiss legacy, is progressing well through its integration and capability building phase. Our Swiss innovation Indian scale model is resonating strongly with target customers and Sanjay will take you through this later in the call.

To conclude, we are entering the phase of reviving our growth with a stronger quality foundation, expanded capacity and a more diversified portfolio. Near -term momentum will be driven by the ramp -up of prescription supplies from our Genome Valley facility, continued growth from our U.S. manufacturing operations, moving up the value chain in Europe, and finally, expected normalization of operations and new product approvals from Gagi llapur post -completion of remediation. Over the medium to long -term, our str ategic expansion into high -value segments, such as peptides through Senn Chemicals and Ascelis Peptides, alongside oncology and new dosage forms, will further strengthen our competitive position.

Supported by our sustainability COMMITMENTS and disciplined execution, we are confident in delivering sustained value to all stakeholders.

With that, I will now hand over the call to Sanjay Kumar, our Chief Strategy Officer, who will share more on our peptides and CDMO growth platform.

Sanjay Kumar: Thank you, Chairman Sir, and good afternoon everyone. Let me take you through the development and progress of our peptides CDMO platform, Ascelis Peptides, which is being built on the strong foundation of Senn Chemicals in Switzerland. Ascelis operates as a separately managed subsidiary, maintaining an arm's -length relationship with its parent, that is Granules India Limited.

The Swiss site at Senn Chemicals continues to function as our global R&D and CDMO hub, ensuring complete data confidentiality and IP protection for our customers. In parallel, Ascelis

India is being developed as a scalable manufacturing and R&D backbone, creating a swift innovation and Indian -scale platform that differentiates us in the global peptide CDMO landscape. A key milestone on the India side is the establishment of the Peptide R&D Centre of Excellence at Indian Institute of Technology, IIT Hyderaba d, which is now ready and will become operational this month.

Over the past few months, the Senn and Ascelis teams have collabora

ted closely across

Switzerland and India on CAPEX execution, quality initiatives, and various other support functions. This has helped reshape the business into a true CDMO model, focused on complex and emerging peptide segments. At th e same time, we have strengthened leadership, governance, and performance management system at the site.

Our quarterly performance was in line with the expectations, reflecting the ongoing transitions, integration activities, and inherent variability of CDMO operations. Importantly, the underlying traction remains strong. We are in an integration and infrastr ucture upgradation phase and expect to turn profitable in Q4 of this year, while continuing to target FY '27 as the first fully synergized and profitable year for Ascelis .

On the commercial front, customer engagement continues to gain momentum. Recent interactions at major industry events, including CPHI Frankfurt and ongoing TIDES Europe in

Basel from where I am speaking right now, have reinforced growing interest from leading innovator pharma companies, emerging biotech, and cosmetic peptides customers. We are seeing multiple feasibility programs, new inquiries, and renewed discussion with s everal global innovators. Our LPPS hybrid chemistry capabilities and the India -scale manufacturing narrative have been particularly well -received by early -stage biotech companies seeking agility, responsiveness, and cost -effective development pathways. Senn Chemical's deep expertise in liquid phase synthesis continues to attract innovators looking for scalable and economical process development and manufacturing solutions. In the cosmetic segment, Senn's TFA -free peptide offering remains a unique differentiator, valued especially by Europe -based innovators and brand owners.

In summary, Ascelis is now emerging as a differentiated peptide CDMO combining Swiss craftsmanship, Indian efficiency and global reach. With rising partnership interests, advancing technology collaborations and growing customer confidence, we are building a strong foundation for a credible and competitive pepti de CDMO platform.

With that, I will hand over to Mukesh Surana, our CFO, who will take you through the financial performance.

Mukesh Surana: Thank you, CMD and Sanjay. Let me take you all through the top financial parameters now.

Revenue :

The 2nd Quarter revenues were Rs. 12,970 million as compared to Rs. 9,666 million in Q2 FY'25, reflecting a growth of 34% and revenues sequentially grew by 7% as compared to Q1 FY'26. Year -on-year growth was primarily driven by the formulation business in North America and Europe. In Q2 FY '25, the Company had voluntarily paused production in Gagillapur plants to reassess the potential risk on account of U.S. FDA observations. The sales break -ups as per business divisions and geographic regions are presented in our investor presentation, whi ch is available on the website.

Gross Margin :

We delivered a strong gross margin of 65.7% in Q2 FY '26 representing an improvement of 368 basis points year -on-year and 82 basis points sequentially. Gross margin improved primarily because of improvement in operational efficiency and product mix.

EBITDA and EBITDA Margin : EBITDA for the quarter was Rs. 2,782 million i.e. 21.5% of sales as compared to Rs. 2,033 million that is 21% of sales in Q1 FY '25, an improvement of 42 basis points from Q2 FY'25 . Despite EBITDA loss of Ascelis peptides of Rs. 200 million. EBITDA as percentage of sales for Q2 FY'26 is improved by 106 basis points from Q1 FY'26The improvement in EBITDA was primarily due to sale growth and margin expansion.

R&D : R&D expenses for the quarter were Rs . 705 million i.e. 5.4% to sales as compared to Rs . 524 million i.e. 5.4% to sales in Q2 FY '25 and Rs . 678 million i.e. 5.6% to sa

les in Q1 FY '26.

We will continue to spend similar expenses to support long term strategic growth.

Net debt:

Our net debt stood at Rs . 10,241 million as compared to Rs . 9,480 million in Q1 FY '26 primarily due to increase in CAPEX spends in the quarter.
Cash -to-Cash Cycle:
Our cash-to-cash cycle was 204 days in the current quarter as compared to 205 days in Q1 FY '26.
Cash Flow from Operations :
Our cash flow from operations for the quarter was Rs . 1,937 million as compared to Rs . 2,806 million in Q1 FY '26.
CAPEX :
Our CAPEX spend during the quarter was Rs . 2,112 million as compared to Rs 1,137 million in Q1 FY '26.
ROCE:
ROCE for Q2 FY '26 is 16.2% as compared to 16% in Q1 FY '26.
With this, I open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.
Tarang: Hi, good evening. Congrats for a strong quarter and the compliance outcomes that you received for a couple of your facilities in the last quarter. I had a couple of questions actually. One, just to get the health of the organic, the base business ex-Senn . Is there any positive or negative one - off in this quarter?
Mukesh Surana: So, Tarang, one -off with respect to the overall granules group you are asking or any specific question?
Tarang: I mean, special one -time opportunities or some one -time expenditures that you incurred in this quarter?

Mukesh Surana: So, the US FDA consultancy expenses is continuing. Other than that, it is more or less similar. Of course, post -acquisition of Ascelis , there is a full quarter loss in the current quarter.
Tarang: With the first quarter of Ascelis integrated into the business, would it be fair to presume that all the fixed costs associated are baked into your P&L and this is the trend that we should see going forward or we could see further escalation in your cost structures?
Mukesh Surana: In terms of fixed cost, Tarang, full quarter expenses have been considered. So, it will be similar going forward. Maybe some additional if at all if you want to hire a headcount. And with respect to the revenue and profitability visibility, Sanjay has already covered in his discussion. Sanjay, do you want to add on?
Sanjay Kumar: Sure. So, Tarang, the same thing as Mukesh confirmed. There could be minor headcount -related expenditure as we build our operations in India going forward. But from the revenue and the cost perspective, things are expected to get better from here.
Tarang: Question not audible
Moderator: Thank you. The next question is from the line of Ritwik Sheth from One Up Financial. Please go ahead.
Ritwik Sheth: Hi. Good evening, sir. So, a few questions from my end. So, firstly, Ascelis includes Senn Chemicals, right?
Dr. Krishna Prasad: Yes, Ritwik.
Ritwik Sheth: Okay. So, this 20 crores is related to c ompletely Senn chemicals. Would that be a right understanding?
Mukesh Surana: It is largely Senn chemicals only. Ascelis , we have just started some of the R&D infrastructure setup.
Ritwik Sheth: Okay. Got it. And sir, in your opening remarks, you mentioned that you expect to turn profitable in Ascelis Peptide. So, what kind of revenue trajectory should we expect going forward in Ascelis Peptide and S enn chemicals combined? And what is the base right now? If you can give us that figure for Q2?
Dr. Krishna Prasad: Sanjay, wh y don't you go ahead with that? But basically, I don't think we don't give guidelines. But Sanjay, you can give a strategic outlook.
Sanjay Kumar: Yes. Sure. Happy to jump in See, we will be unable to diverge the details at a quarterly split level. But it's safe to assume that the base with which we acquired is just under 20 million. And the

growth will be multiple around that. We are not looking at incremental growth around it. But we will not b e able to provide you a quarter -to-quarter guidance. And current base business is in

no way a reflection to what we intend to build, given the excitement in the peptide space. And the encouraging new inquiries that we are receiving bases are Swiss and India play. So, we will

leave it at qualitative at this moment. Ye s, that's where I will stop.
Ritwik Sheth: Sure, and sorry to hop upon Ascelis peptide and Senn Chemicals , what is the capital employed in Ascelis peptide and Senn C hemicals?
Mukesh Surana: there's no major change from what we have said in the last earnings call. It is a total Rs. 450 crore of acquisition debt plus equity. And additionally, we have invested another 100 crores for additional scaling up of CAPEX .
Ritwik Sheth: Okay. And what could be the asset turn that you would have going forward once you completely integrate this over the next two years? Can you give some sense on that?
Mukesh Surana: It's a CDMO business. So, CDMO business asset term would be completely different than the normal business. And also the margin profiles would be completely different. So, we are generally not giving sales guideline. But what Sanjay has clarified already is, there is a base and we are not looking at simple incremental growth. It will be a multiple of the base.
Ritwik Sheth: Got it. And what is the internal timeline to scale this up? Would it be two years -three years or sooner than that? Just to get a qualitative sense on that .
Dr. Krishna Prasad: Sanjay, can you answer that?
Sanjay Kumar: Sure. So, the first year we want to just make sure that we turn profitable. And FY '27, that's the target is to turn it profitable. In terms of a build out, the CDMO business is typically a long lead item. But it doesn't mean that we have to wait out three years to get to what we realize. I think we have been good shape in starting with the six months from now to an 18 month period. That's where we start converting some of the inquiries into the real businesses for ourselves. And we keep our investment proportional to the kind of projects that we start getting in. So, aga in, stopping short of guidance, b ut we are not loo king at a very, very long term beyond three year horizon. But the real build out happens from a one to three year period itself. Again, a multiplier function, not an incremental function.
Ritwik Sheth: Got it. And I have one more question. Can I go ahead?
Dr. Krishna Prasad: Yes, go ahead.
Ritwik Sheth: So, sir, if you see in the last 2 to 3 years, we have been around this ballpark, top line of approximately 700 to 1,200 crores per quarter. And earlier in the last phase from 2014 -2015 to 2022, we have grown at double digit. So, would you think that with all these remediation and the new site getting approvals one -by-one, would you suggest that we would start growing at double digit from FY '27 onwards on the top line on the base business and plus peptide business?

Dr. Krishna Prasad: I think you are right, Tarang. We were constrained by certain things last few years. But now, like I said in my opening remarks, we are going to have a breakout and get back on our growth track.
Ritwik Sheth: Got it. Okay, sir. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.
Tarang: I was lost in the middle. So, the last few questions were not by me. They were from someone else.
Dr. Krishna Prasad: Okay, go ahead.
Tarang: Sir, just to get a better sense of the German subsidiary that's been incorporated, what's the thought process there? And number two, we saw very strong traction in both your Europe busine

ss as well as your US business this quarter. So, has that got to do anything with Paracetamol coming back?
Dr. Krishna Prasad: A little bit, Tarang. Not totally Paracetamol . But now your first question about the German subsidiary. We are focusing on EU growth now. And we need to have an arrangement for stocking and selling. So, that's the reason we are starting a subsidiary there. It will not be a big affair, but slowly we see growth there. And regarding the growth, EU is going as per plan. We had a little dull slowdown in the last quarter, but it's on track now. And of course, the US, as we anticipated, mentioned many times, we are expecting a very strong growth from our US manufacturing especially, more than Indian products sold in the US. GPI as a standalone unit has picked up and doing quite well. And we anticipated good growth from there.
Tarang: Has that meaningfully contributed this quarter?
Dr. Krishna Prasad: Yes, Tarang.
Tarang: Okay. Thank you guys. All the best.
Moderator: Thank you. The next question is from the line of Priti Agarwal from SK Associates. Please go ahead.
Priti Agarwal: Thank you so much for the opportunity. I would like to know what were the key drivers behind the increase in EBITDA?
Mukesh Surana: The key driver is largely operational efficiency. Operational efficiency, of course, includes various things in terms of yield improvement and some of the leveraging on the packing side,

etc. And also product mix. And this EBITDA margin could have been further higher if EBITDA

loss of peptides was not there. So, the product mix and operational efficiency has helped us in improving EBITDA.

Priti Agarwal: Understood. And how did the 200 million EBITDA loss from Ascelis peptides affect overall profitability?

Mukesh Surana: So, the turnover we have already covered in the presentation. So, it is almost sim ilar number of turnover quarter -on-quarter in Ascelis, Rs. 28 crores -Rs. 29 crores. And the EBITDA loss is about Rs. 20 crores from Ascelis.

Priti Agarwal: Understood, sir. Thank you so much and all the very best.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Hello. Just on the peptide business. So, we said that we will turn profitable. Are we expecting to turn PAT profitable or EBITDA profitable by Q4?

Sanjay Kumar: In Q4 we should be PAT profitable.

Maitri Shah: And do we see a lot of program coming in in this business, that is why we are expecting this PAT profitable from Q4 or this is mostly on... How do we expect this growth to happen?

Sanjay Kumar: I understood the question. So, we do have the visibility for the Q4 right now and if execute it well, we are hopeful of turning profitable in Q4. And that's very much in the side. On the inquiries and on the new projects, those are longer lead items and those will get realized subsequently. But our Q4 performance will not be largely dependent on those development or any outcome of those discussions. But yes, there are indeed some great discussions that is ongoing. But I will just caveat it by saying that these are slightly long lead time discussions and we will have to wait out. But we are very hopeful of converting those.

Maitri Shah: Okay. So, then the entirety of FY '27, do we expect these inquiries to convert or are we expecting them to happen post FY '27?

Sanjay Kumar: So, these are typically, we are talking to innovators with their in clinical assets and their programs. It could be a calendar year 26, financial year 27. And the visibility we have is over a longer horizon as well. These will have the projects and the programs at various stages. In FY '27, we are in discussion with companies with a program in FY '28 and subsequently for the later stages the project goes through. So, these are very long lead time

discussions. Part of it can be realized in the co ming year. And there will be an ongoing component from there based on the success of a project. And we become a co -traveler along the innovators on the agenda.

Maitri Shah: Okay. And secondly, what sort of revenues do we need to clock in to have a positive EBITDA and also a positive PAT? I don't want any guidance, but hitting this revenue figure can turn us profitable, basically ?

Sanjay Kumar: I won't be able to give you the exact detail, but when you see the Q4 numbers, we will get a better idea on what could be a breakeven number, both on EBITDA and PAT front. We do have the visibility and we will cross that in Q4.

Maitri Shah: What sort of visibility do we have, sir? Are these contracts that something we got into before this business was incorporated?

Sanjay Kumar: As a part of our project, there are certain commercial products out of the previous project, which have gone to a commercial stage and there are supply commitments and those are phased out along different quarters. The visibility that we have for the Q4 for those commercial supplies items will help us take us over the profitability benchmark and breakeven numbers.

Maitri Shah: So, these projects, these commercial projects will continue throughout FY '27. Is that also correct?

Sanjay Kumar: Yes, that will also be correct.

Maitri Shah: So, could you give us like an annual range of what is this commercial project, like what sort of annual revenue we see ?

Sanjay Kumar: We cannot divulge more detail on more granularity into the business at this point in time.

Maitri Shah: Okay. Ye s, that is it from my side. Thank you so much for answering.

Moderator: Thank you. The next question is from the line of Aditya from Sowilo Investment Managers. Please go ahead.

Aditya: Thank you for the opportunity. My question is on the Gagillapur facility. So, I think earlier the timeline we were looking at was December 2025 to get the FDA to re -inspect. Are we still on that timeline?

Dr. Krishna Prasad: No, not really, Aditya. We expected once we were ready for the inspection and once we inform

FDA, we thought that they would come for a quick re -inspection. So, we did get back to them last month and they gave us a meeting only in January of '26. And after that, how long they are going to take is something we will see. But from our side, we are ready and let's hope that it all happens fast.

Aditya: Okay. So, just to understand, so now when we say that we need them to come and inspect, so what kind of like in terms of say, I don't know if it's the right word to use, but revenue loss

because of this we are facing or is it that we are compensating for the volumes to some other facility?

Dr. Krishna Prasad: We had constraints in capacity and we were not operating at full capacity, Aditya. Definitely there was a revenue loss because of that. We did compensate from our US manufacturing quite well and a little bit on OTC products from our GLS facility. But now with the approval of the GLS facility by the FDA, we will be able to manufacture more RX products from here and we should be able to make up for and we should be able to increase our revenues. However, once the Gagi llapur facility is out of the warning letter, we have some approvals, new products that are pending. And once we get those, I think there'll be a better increase in revenue.

Aditya: Okay. So, basically it's not, it's not that the existing ones which will get spread. We have, there is scope for further revenue growth once it comes back online, right?

Dr. Krishna Prasad: That's right. Not only from GLS, but also from Gagi llapur itself, there'll be better growth.

Aditya: Understood. That was my question. Thank you.

Moderator: Thank you. The next question is

from the line of Ritwik Sheth from One Up Financial. Please go ahead.

Ritwik Sheth: Thank you for the follow -up. So, just one question, you mentioned that the consultancy expenses are still going on in this quarter. So, can you just give us that figure for Q2 and H1 F Y'26?

Mukesh Surana: Sure. F Y26, I would hesitate to give because continuously we are monitoring, but Q2 actual numbers I can give, it's at about $2 million in the quarter.

Ritwik Sheth: Okay. And first half?

Mukesh Surana: First half is also, first quarter also of similar number.

Ritwik Sheth: Okay. So, basically there's a $4 million expenses that we have incurred in H1 F Y'26.

Mukesh Surana: That is right.

Dr. Krishna Prasad: Trend of it coming down. I think it'll come down in Q3 and Q 4, it'll come down drastically.

Ritwik Sheth: Okay. So, FY'27, this would be close to nil ?

Dr. Krishna Prasad: Yes. That's the expectation. Quite confident.

Ritwik Sheth: Sure. And sir, are you looking to do any product side transfer from Gagillapur to Genome? What kind of timelines would you have for these products?

Dr. Krishna Prasad: We have already applied, made applications for some of the products and some more are being filed right now, which will be a CB-30 and we expect quick approval. I think about 4 to 5 products will be transferred from Gagillapur and that will give us the needed capacity.

Ritwik Sheth: Got it. And sir, can you throw some color on the control substance growth for H1 F Y'26 and how do you see it panning out in the next couple of years?

Dr. Krishna Prasad: I think Priyanka, can you take that question?

Priyanka Chigurupati: Sure. The control substances were pretty stable over the first two quarters, but going forward, we have about, do you want short term or long term?

Ritwik Sheth: For next 2 to 3 years.

Priyanka Chigurupati: Two to three years, we will see possibly one to two approvals from the side, but then most of our products are about 2 to 3 years out. So, we will have the launches happen three years post because most of them are patent protected and some of them are first to file. So, we do expect tentative approvals to come in within the next quarter.

Ritwik Sheth: And what kind of growth can we expect from this business?

Priyanka Chigurupati: Without giving exact numbers, I will say that there's going to be a significant growth over the next 3 years to 10 years because we have products filed until 2035. So, we have a lot of confidence in this particular pillar of growth and we are very excited to see this pan out.

Ritwik Sheth: Yes. Okay. That's it for my time.

Moderator: Thank you. The next question is from the line of Vivek Gupta from Star Investment. Please go ahead.

Vivek Gupta: Actually, I just happened to join the call a little late, so I am not sure if the question was answered previously. But I just wanted to know what factors contributed to the revenue growth in formulation markets in North America and Europe?

Dr. Krishna Prasad: The question was answered, but for your benefit, I think Mukesh will go through it again.
Mukesh Surana: Yes. So, in the current quarter, sequentially also, we have grown significantly better. So, some of the remediation activities are robust enough. The productivity improvement has happened already in Gagillapur . Genome Valley also started giving monograph products. And in the near future, we will have other products also as per approval Q3 -Q4 onwards. In addition to that, the year-on-year growth was significantly contributed because last year quarter, there was a USFDA audit observation and th e plant was temporarily shut down. And third pillar of growth on the formulation, which is just now Priyanka has clarified, controlled substances also significantly contributing to the growth.

Priyanka Chigurupati: Actually, I will also answer, I will also respond to that. We have also won some awards with our existing business. And if you recall a couple of, I mean, every concall, I always keep saying that some of the products that we pick are long -term products in terms of gaining market share. So, we do have products that we got approval for about almost 2 to 3 years back, and we are still gaining share on those products. So, if you look at IMS data, you'll see that slowly we penetrate the mar ket. Most of the products, we start with 5, 10, 15, and we go up to a very, very decent market share. And that's also contributed to the growth in North America this quarter.
Vivek Gupta: Okay. That helps. So, sir why did the company voluntarily pause the production at the Gagillapur plant in Q2 FY'25?
Dr. Krishna Prasad: This was discussed and explained in the past, Vivek, but then I will explain once again. See, once the FDA brought in some serious concerns, we just cannot say we are good, we will keep continuing, we will continue to produce. So, we took a pause to assess the exact situation and to prove to ourselves and to the FDA that there is no risk, the product is good, there's no cross -contamination in the product. And we also told the FDA, we have taken a pause. And they told us, you don't have to take a pause, you can continue production. We wanted to hear from the FDA rather than doing it ourselves. And that has gone a long way in convincing the FDA that we are a very compliant company.
Vivek Gupta: Okay. So, how did API and PFI sales in the rest of the world markets impact the overall revenue growth?
Mukesh Surana: It has been pretty good. It is there in the investor presentation. We have done good growth of PFI in the LATAM market, which we had constraints in Q1 because of the capacity. Now, with the available capacity, with the robust remediation activities in place, we have capacity available and we are growing.
Vivek Gupta: Okay. Thank you. That was from my side and all the best for the future quarters.
Dr. Krishna Prasad: Thank you , Vivek.
Moderator: Thank you. As there are no further questions from the participant, I would now hand the conference over to the management for the closing comments. Over to you, sir.
Dr. Krishna Prasad: Once again, ladies and gentlemen, thank you very much for joining us and we appreciate your questions. And I hope that we have done our best to answer them a nd in case you need some more clarifications, please feel free to reach out to our CFO and he will be able to update you.
Thank you once again and have a good day.
Moderator: Thank you. On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2026

.GRANULES
Date: January 28, 2026
To,
National Stock Exchange oflndia Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482
Dear Sir,
Sub: Transcript of the Earnings Conference call for Q3 of FY26.
Ref: Our letter dated 08.01.2026 for intimation of the schedule of the Earnings
Conference call for Q3 of FY26..
Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for Q3 of
FY26 is enclosed with this letter and has been uploaded on the website of the Company at the
below-mentioned link:
https:/ / granulesindia. com/investors/investor-resources/earnings-call-transcripts/
Kindly take the above information on record.
For GRANULES INDIA LIMITED
CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)
REGISTERED OFFICE
Granules India Limited
CIN: L24110TG1991PLC012471)
15th Floor, Granules Tower, Botanical Garden Road, Kondapur, Hyderabad - 500084, Telangana, India
Contact Us: Tel: +914069043500 I Fax: +91-40-23115145 I mail@granulesindia.com www.granulesindia.com

“Granules India L imited
Q3 & 9 Months FY26 Earnings Conference Call”
January 23 , 202 6

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR – GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED
DR. P.V. SRINIVAS – CHIEF TECHNOLOGY OFFICER–
GRANULES INDIA LIMITED
MR. SANJAY KUMAR – CHIEF STRATEGY OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI AMBRE – MUFG INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Granules India Limited Q3 and 9 Months FY26 Earnings Conference Call hosted by MUFG Investor Relations. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.
I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations. Thank you and over to you, ma'am.
Prachi Ambre: Thank you, Danish. On behalf of Granules India Limited, I extend a warm welcome to all the particip ants on the Q3 and 9 months FY 26 Financial Results Discussion Call. Today on the call, we have Dr. Krishna Prasad Chigurupati, Chairman and Managing Director; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana, Chief Financial Officer; Dr. P.V. Srinivas, Chief Technology O fficer and Mr. Sanjay Kumar, Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer. This call contains some of the forward -looking statements, which are completely based on our expectations, beliefs and opinions as of today. These statements are not a guarantee of our futu re performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Krishna Prasad sir for his opening remarks. Over to you, sir. Thank you.

K. P. Chigurupati : Thank you, Prachi. Good evening, ladies and gentlemen. Thank you for joining us today and for your continued interest in Granules India. We trust, you have had a chance to review the detailed presentation available on our website. Let me begin with our consolidated performance. Q3 FY '26 has been one of our strongest quarters despite a temporary loss at our Peptide CDMO business.

We reported revenues of INR1,388 crores, a 22% increase year -on-year. EBITDA was INR308 crores, growing 34% over the same period last year. Margins improved meaningfully, driven by disciplined execution and better operating leverage. This momentum reflects the strength of our diversified business model and the progress we are making on mu ltiple strategic fronts.

Regulatory and quality up date. Regulatory excellence continues to be a critical priority for us. We made steady progress across all our facilities for this quarter. Gagillapur facility. Our remediation plan remains on track. We held a post -warning letter meeting with the FDA in early January.

We will be submitting the requested documentation shortly. Importantly, to date, the agency has not raised any concerns regarding the adequacy or pace of our corrective action. We expect a formal feedback after our submission and remain confident about the pathway to resolution. As a prudent de -risking measure, we have f iled select products from our U S and GLS facilities. The site also received ANVISA Brazil GMP certification, reinforcing the improvement in our quality system. GLS at Genome Valley, the US FDA conducted an unannounced PAS and GMP

inspection from 15th to the 19th of December. We received five observations, none related to data integrity. Our responses were submitted within the stipulated timelines .

Earlier in the quarter, GLS received a PAS approval on 10th November, and an EIR on 11th December, for the inspection held in August. We have also received a CBE 30 approval following the recent inspection. Our GPI facility in USA received EIR on 5th November, closing the PAS inspection from June. GCH, our U.S. packaging site. The U.S. FDA completed a GMP inspection on 4th December with zero Form 483.

Across the network, we continue to advance digitalization of manual operations. Several initiatives are already live at GPI.

We expect to complete implementation at Gagillapur by the mid-calendar year, followed by rollout to other sites. While a lot of our consultancy costs have come down, we expect to invest into system enhancements, which will involve some capex and opex over the coming quarters. These steps will strengthen both the reliability and resilience of our operations.

R&D filings. Our R&D and regulatory pipeline progressed well this quarter. We filed 1 EU dossier, which is DCP, 8 new product registrations in rest of the world markets through partners, 4 DMFs in rest of the world countries. Approvals included a tentative U.S. FDA approval for generic Adzenys from GPI, 1 approval in Europe, two approvals in ROW markets, 1 DMF approval in China. Our increasing focus on ROW markets supports our strategy to diversify beyond the US and Europe.

ESG progress. Sustainability continues to be a core part of who we are. This quarter, our CDP climate change rating improved to A up from B. Our S&P CSA score increased to 62 placing us among the top 10% of our global peers. We reinforced our commitment as a signatory to the UN Women's Empowerment Principles, UN Global Compact and PSCI.

Our Gagillapur facility achieved zero waste to landfill, which is platinum plus with over 99% waste diversion. We continue to make measurable progress across Scope 1, 2 and 3 emissions, renewable energy, sustainable procurement and water neutrality initiat ives. Preferential issue.

During the quarter, we also took a strategic step to strengthen our balance sheet through the preferential issue, which saw strong support from shareholders in yesterday's EGM.

The proceeds from this issue enhance our financial flexibility and will be deployed prudently to support capacity expansion, drive efficiency and pursue value -accretive opportunities while maintaining our focus on governance and capital discipline. We beli eve this capital raise positions the company well to accelerate growth and create sustainable long -term value for all shareholders.

Strategic direction. As we noted last quarter, Granules has entered a phase of renewed momentum. Our strategic priorities remain clear: transitioning to higher complexity generics,

normalization at Gagillapur following remediation and strengthening the qua lity systems
holistically across all the facilities, strengthening our market presence across key geographies,
scaling operations at GLS as regulatory milestones tran slate into commercial execution.

Building a differentiated peptide CDMO platform through Ascelis with rising innovator
engagement. These pillars position us well for sustainable quality -led growth. For ease of
understanding, we have broken down our portfolio strategy into integrated Rx, complex Rx and
CDMO. The definitions and directions of which have been presented in our IR presentation.
To conclude, this has been a strong quarter operationally, financially and strategically. We
remain committed to building a high -quality innovation -driven global pharmaceutical enterprise
supported by robust governance and a resilient multisite supply chai n. With this, I now hand
over the call over to Sanjay Kumar, who will speak about our peptides and CDMO growth
platform. Over to you, Sanjay.
Sanjay Kumar: Thank you, Chairman, sir. Good evening, everyone. Let me briefly update you on the progress
of our Peptide CDMO platform, Ascelis Peptides and Senn Chemicals. As anticipated,
performance in the Q3 was modest, but consistent with the transition phase we hav e discussed
earlier. Having said that, Q3 was an execution and activity intensive quarter, focused on
executing key projects, increasing utilization and strengthening delivery readiness for the Q4.
Also during the quarter, Q3, we incurred high operating costs on account of planned maintenance
activities and additional shifts towards th

e key customer project. The benefit of this increased
activity are expected to translate as deliveries conversion in the next quarter, that is the Q4.
From an execution standpoint, Q4 is anchored on delivering key projects where work carried
out over the last quarters is now moving into delivery stage. Accordingly, Q4 is tracking towards
a meaningful improvement in performance, supported by ongoing proje ct deliveries. Our focus
remains on disciplined execution, predictable delivery and strengthening customer confidence.
On the R&D front, we are seeing active collaboration between our Switzerland and India teams
working together on live customer projects after operationalization of our Peptide Center of
Excellence at IIT Hyderabad. The India R&D setup has begun contributing directly to the
customer projects, including development and execution responsibility.
The R&D team is also making progress on TFA -free peptide chemistries, reinforcing our
technology differentiation, particularly in the cosmetics segment. On the commercial front, our
focus over the next couple of quarters is on progressing feasibility discussions with our
customers, seeding samples with those select customers, particularly in amino acid derivatives
and complex peptide fragments and respondi ng to the RFQs and RFPs across the active
pipelines.
These activities are focused on building a conversion pipeline for the coming financial year and
beyond the next financial year. With that, I will hand over to Mukesh Surana, our Chief Financial
Officer, who will take us through the financial performance.
Mukesh Surana: Thank you, CMD and Sanjay. Let me take you all through key financial highlights for Q3 FY
'26. Revenue , The third quarter revenue were INR13,879 million as compared to INR11,377
million in Q3 FY '25, a growth of 22% and revenue sequentially grew by 7% as compared to Q2

FY '26. Revenue growth was broad -based with strong contribution of formulation business in
North America and Europe.
The sales breakup as per business division and geographic region are presented in our investor
presentation, which is available on the website. Gross margin. We delivered a gross margin of
63.9% in Q3 FY '26 representing an improvement of 216 basis points year -on-year and decrease
of 183 basis points sequentially. Year -on-year, gross margin improved with a better product mix
for the finished dosag e segment.
EBITDA and EBITDA margin. EBITDA for the quarter was INR3,081 million, that is 22.2% of
sales as compared to INR2,303 million, that is 20.2% of sales in Q3 FY '25, meaningful
improvement of 196 basis points from Q3 FY '25 despite EBITDA loss of Ascelis Peptides of
INR248 million. Quarter -on-quarter increase in EBITDA loss of Ascelis Peptides is due to
regular and preventive maintenance taken up in December '25 at Senn Chemicals facility.
EBITDA as a percentage of sales for Q3 FY '26 has improved by 75 basis points from Q2 FY
'26. The improvement in EBITDA was primarily due to sales growth and margin expansion.
R&D. R&D expenses for the quarter were INR689 million, that is 5% of sales as compared to

INR568 million, that is 5% to sales in Q3 FY '25 and INR705 million that was 5.4% to sales in Q2 FY '26. We will continue to spend similar amounts to support long -term strategic growth.
Net debt. Our net debt stood at INR10,151 million as compared to INR10,241 million in Q2 FY '26. Cash -to-cash cycle. Our cash -to-cash cycle has slightly improved to 202 days in the current quarter as compared to 204 days in Q2 FY '26. Net working capital as a percentage to sales was at 27%, improved from 33% in the year be ginning.
Cash flow from operations. Cash flow from operations for the quarter was INR2,187 million as compared to INR1,937 million in Q2 FY '26. Cap ex spend during the quarter was INR1,298 million as compared to IN

R2,112 million in Q2 FY '26. ROCE. ROCE for Q3 FY '26 is 16.8% as compared to 16.2% in Q2 FY '26. ROCE has improved with the improvement in operating profit quarter -on-quarter. With this, I open the floor for questions.
Moderator: Thank you, sir. Ladies and gentlemen, we will begin with the question and answer session. O ur first question comes from the line of Krisha Kansara from Molecule Ventures. Please go ahead.
Krisha Kansara: Am I audible?
Moderator: Yes, ma'am, you are.
Krisha Kansara: I joined the call a bit late. So pardon me if the answer to my question has already been answered in your opening remarks. But my question is on our Gagillapur facility. So in the last quarter, you informed that we were going to meet the FDA in January month. So could you please update your investors regarding the same? Have we met them already? And if yes, could you please outline the next steps that we as a com pany are required to follow before we clear this warning letter? This is my ques tion.

K. P. Chigurupati : Krisha, we had a meeting with the virtual meeting with the FDA early January, and they have requested us for some more documentation, which we'll be submitting shortly. The most important part is the agency has not raised any concerns regarding the adequac y or pace of corrective action. So once we submit our response and further information, we will see what the FDA comes back with, but we are -- that's it, yes.
Krisha Kansara: Right. So would you be able to put a timeline to it, like when are we expecting the final reinspection from there end?
K. P. Chigurupati : We cannot put a timeline to that, but we will be submitting the response quite early in the very near future. But we'll have to see how the agency and then what timelines are going to come out.
But again, like I mentioned, we have also been de -risking. Some of the filings have been happening in our U.S. facility and also at our GLS facility. And some products are being site transferred to a GLS facility here, too. Slight amount of de -risking is happening. Even if it takes a little longer, it should not be a major problem.
Moderator: Our next question comes from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: A couple of questions from my side. One, there is this INR25 crores of loss from the peptide franchise, which you have given in the investor presentation. How has this moved across quarters from 1Q to 3Q? And what is the outlook for the next few quarters?
K. P. Chigurupati : I think it's a good idea Sanjay take this call. Sanjay? Sanjay is responsible for the peptides business and anything regarding peptides, he will be answering.
Sanjay Kumar: Yes. So Bino, so the numbers are comparable to the financial performance of the previous quarter. In terms of outlook, this is a typical of a CDMO business where the quarter -to-quarter variation happens. And as I covered as a part of my early commentary, w hile the financial performance was lower and as anticipated, the quarter itself was activity intense and our projects progressed through the execution, which typically take a couple of quarters.
And the outcome of the last quarter will be reflected in the Q4, and we are expecting a very meaningful improvement in the Q4 performance. And we do have a visibility over the next set of quarters, and the numbers are significantly improved over the past 2 quarters on the revenue basis.
Bino Pathiparampil: Understood. Just to follow up on that. When you say improvement in performance, are you referring to breakeven and a positive EBITDA sometime soon?
Sanjay Kumar: Yes. I exactly mean that, and that is something that we covered in the last con call as well that we expected Q4 to go above the neutrality on EBITDA that you asked. So we remain confident, and we are on track to get to that position.
Bino Pa

thiparampil: Q4 as in next quarter, right, this coming quarter?
Sanjay Kumar: Yes, the current ongoing quarter.

Bino Pathiparampil: Okay. And what will drive that? Is it transfer of manufacturing to India or additional projects that you have taken up? What is leading to this sharp turnaround?
Sanjay Kumar: So I won't put it as actively as that. Like as you would assume the lead time to execute these projects go beyond a quarter. So we did have the visibility on the execution timeline for this, and we understood that those deliveries will happen in Q4. Again, the quarter -to-quarter variation is very unique to the CDMO business. So we did have the visibility. We were executing during the Q2, Q3, and we continue to execute through the Q4 and some of the key customer deliveries are happening in the Q4.
Bino Pathiparampil: Understood. And can we also assume that it will remain in the positive EBITDA territory through the quarters in FY '27 as well?
Sanjay Kumar: So our target is always to turn positive from next financial year. But again, I keep on saying the quarter -to-quarter variation will remain a characteristic of this business. But on a year basis, we are turning towards neutrality and profitability for sure .
Bino Pathiparampil: Got it. And second, is there any cost related to Gagillapur facility remediation still sitting in the P&L in Q3?
Mukesh Surana: Yes, Mukesh. This side, Bino. The remediation cost has substantially come down. So it will be in these normal levels for a few quarters and then will be negligible. It has come down substantially.
Bino Pathiparampil: Got it. And one last question on the U.S. If I look at your U.S. revenues in dollar terms, the last couple of years, we have added like $40 million to $50 million, somewhere between $40 million and $50 million every year to the US revenue. Is that something which we can kind of look forward to in the coming couple of years as well?
K. P. Chigurupati : That's what we aspire for and we are confident of that.
Bino Pathiparampil: Got it. Thank you. I will join back the queue.
Moderator: Thank you. O ur next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on the Ascelis Peptide, how much of the revenue would have been in this quarter or, let's say, 9 months?
Mukesh Surana: So this quarter is INR33 crores, Tushar.
Tushar Manudhane: Okay.
Mukesh Surana: And quarter -on-quarter, last quarter, it was INR28 crores and the previous quarter also around INR28 crores, INR29 crores. This quarter, INR33 crores. And the loss has gone up, which Sanjay also has clarified, I also clarified. Primarily, we have taken higher execution activities, both on

the -- some of the active projects where the revenue will further come in Q4. And also, we have taken up regular and preventive maintenance cost in December.
Tushar Manudhane: So effectively, that maintenance cost will reduce and then there will be scale up in the revenue, which is why the EBITDA breakeven for Ascelis Peptides...
Mukesh Surana: You are right, Tushar, yes.
Tushar Manudhane: Even if I leave aside or even if I -- so if I exclude, let's say, Ascelis revenue and the EBITDA loss with respect to the Ascelis, the ex of that business has also scaled up both in terms of revenue as well as profitability. So how that piece of the busine ss will improve subsequently, maybe like fourth quarter onwards or in FY '27, given that the regulatory issue -related expenses are actually at least largely behind, we might wait for inspection – re-inspection for Gagillapur site. But ex of that, how to th ink about the growth in the business in FY '27, if you can shed some light on that?
Mukesh Surana: Tushar, we are looking at sequential improvement, both o

n the sales and margin side.
Tushar Manudhane: And that would be driven by?
Mukesh Surana: That will be driven by one expenses, operational leverage, for sure, and more than that, in fact, revenue as well.
Tushar Manudhane: But this is to do with our, let's say, core products or the new approvals and which geograph ies, if you can give more color?
K. P. Chigurupati : Tushar -- Priyanka, go ahead, you can answer that.
Priyanka Chigurupati: Yes. Tushar, I'll answer that. A few things, well, the last couple of quarters like we mentioned in our past con calls also, we -- while we were producing, we weren't producing to the full of our capability. So right now, we are going to be increasing capa cities and catering to all the awards that we have in the U.S. and to the other markets.
So just the operational efficiencies will increase, productivity will increase, and that will

certainly increase the numbers going forward. In addition, if all goes well with Gagillapur, we have our launches in place. That will also facilitate the growth. We have a few C BE30 approvals and some PAS approvals from the GLS side, which we plan on launching, that will also facilitate growth.

Moderator: Our next question comes from the line of Yashika Gogia from Ni rzar E NT.

Yashika Gogia: I just had one question. I wanted to gain some clarification on lisdexamfetamine. What's the product status? As we heard previously that GPI received FDA approval for the same chewable tablets in December '24 and then in January '25, the capsules. Is there any revenue recognition also, I just wanted to gain so me insight for lisdexamfetamine?

K. P. Chigurupati : Priyanka, can you take that?

Priyanka Chigurupati: Yes, sure. Yes. It's been four quarters since we've launched lisdex a caps and tabs and it provides a meaningful revenue addition to our U.S. business.

Yashika Gogia: All right. So could you clarify some numbers or the revenue for the same?

Priyanka Chigurupati: No, we don't get into product specifics, unfortunately. But I will tell you that we have -- we were a late entrant to the market, but because of our quota history and our compliance history with the DEA, we were able to get meaningful share, and we plan on increasing it as we keep going further.

Yashika Gogia: All right. So will it be feasible for you to tell how much incremental demand this will signal since you mentioned that the quota for U.S. -- the quota for lisdexa has been improved. And in '24, it was around 26,000 per kg, whereas in '25, it was increased to 32,000 per kg. And in September '19 also, it was raised. So can we see any numbers from our and what benefit we can see?

Priyanka Chigurupati: I'm sorry, can you please repeat your question?

Yashika Gogia: I mean to say that since lisdexamfetamine quota was increased around September, it was announced by US DEA that the quota has been increased from '24 to '25 annual approximately 40,000 per kg. So what incremental demand does this signal? And does the indus try have sufficient end market demand to absorb this?

Priyanka Chigurupati: First of all, I'd like to clarify that without end market demand, the DEA will not increase the quota overall for any product. So yes, there is market. And based on compliance history of each company and the continuous outflow of products quarter -on-quarte r based on legitimate demand. And again, I want to say, based on the compliance aspect of that, the DEA awards quotas to the suppliers.

Moderator: Next question comes from the line of Ritwik Sheth from One Up Fin.

Ritwik Sheth: Sir, a couple of questions. Firstly, sir, we've got an approval -- in principle approval for amphetamine product in December across two dosage forms. And you mentioned the market size is $220 million to $230 million per annum, and we are one of the few players to get approval for this. So

when can we expect the launch of this product in U.S.? And over a period of time, what kind of market share can we garner?

Priyanka Chigurupati: I'll take that question. If you're referring to the approval of generic Adzenys, it was a tentative approval. It's not an approval yet because it is an IP -based product. The overall value of the product right now, including the brand, is about 170 million units, but there's only one other generic player in the market. So -- but the timing of launch, I cannot confirm right now because it is a tentative approval, which is in litigation stage right now.

Ritwik Sheth: Okay. And when do we get the final approval, if at all, we get it?

Priyanka Chigurupati: It will take a year.

Ritwik Sheth: Okay. It will take a year. Okay. Got it. And second question is on controlled substance. What kind of growth did we clock in Q3 and 9 months FY '26 in this segment?

Priyanka Chigurupati: I think we should start referring to this entire basket instead of just looking at controlled substances. I would urge you to just look at our investor presentation where we are segregating our divisions into integrated pharma, complex generics and others. And within that, the definitions, et cetera, have been mentioned in the presentation. But within the complex generics range itself, just from Y -o-Y growth, Q3 to -- Q3 FY '25 to '26, we grew from 27% as a total contribution to 49%. A nd Q -on-Q, we grew from 40% to 49% within the complex generics range.

Ritwik Sheth: Right. So controlled substance would be a significant part of the complex generics?

Priyanka Chigurupati: Yes.
Ritwik Sheth: Okay. Got it. This is helpful. And just 1 last question on bookkeeping. Sir, what was the remediation expense in Q3 FY '26?
Mukesh Surana : So Ritwik, it has been substantially lower, almost half of what we incurred in Q2.
Moderator: The next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.
Sucrit D. Patil: I have two forward -looking questions. My first question is, as Granules continues to grow -- sorry, as Granules continues to grow its formulations and CRAMS business, how do you see capacity use and overall production levels changing over the next 1 to 2 years? And particularly, how will steps like making more of your own APIs using automation in manufacturing and strengthening regulatory compliance be put into practice to improve efficiency, reduce production time and keep the company comp etitive in the global market? That's my first question. I'll as k my second question after this?
K. P. Chigurupati : Priyanka, go ahead.
Priyanka Chigurupati: In terms of capacity utilization, if I understood your question right, at Gagillapur, we will have some capacities over the next couple of quarters. But GLS, we will have significant capacities. And more importantly, both the sites will have a lot of produ cts in common. So if there is a lot of demand that we see going forward, we can cater to it from both the sites. And on the operational efficiencies, could you please repeat your question?
Sucrit D. Patil: No, I just want to understand who -- like what steps you taking -- making more of your own APIs using automation in manufacturing and strengthening regulatory compliance to reduce production time and keep the company competitive in the global market?
Priyanka Chigurupati: I think to answer your question, if it's specifically about APIs, almost all the APIs that we make, we are already very cost competitive. So when we talk about automation and digitization, digitalization, it's more to increase quality compliance to make su re that we are one of the

strongest companies in quality going forward, and quality has always been a strong pillar for us. So that's where w

e'll be spending a lot of our resources with automation and digitalization.
K. P. Chigurupati : Let me clarify, Sucrit. The existing plant, there is a level of automation already. But any new plants that are coming up, including one API plant with a different type of differentiated technology in Vizag, this is going to be totally DCS driven and very few people on the site. So even that will happen in addition to paperless documentation.
Sucrit D. Patil: Good to hear. My second question is specifically to Mr. Mukesh. With strong cash flows and ongoing expansion into CRMS and specialty formulations, how do you plan to keep EBITDA margins steady while also funding new investments? From a financial process po int of view, how will you handle the working capital more efficiently, manage currency risk on -- export revenues and use digital tools to control costs so that ROE and balance sheets remain strong in the near medium term ?
Mukesh Surana: Thank you, Sucrit. It's a multi -loaded question. EBITDA improvement, of course, with a good mix of formulation, getting into larger complex generics share , the EBITDA margin, of course, gross margin to EBITDA margin will continue to improve. And thereby, of course, cash flow from operations will be positive quarter -on-quarter. At the same time, with the increased sales, there will be investment in working c apital.
At the same time, we are seeing that how we steady state at the CCC days, even with the new launches and increase in inventory requirement, how we efficiently manage the CCC days so that working capital blockage is lesser with the growth as well. That is a continuous process which we do.
And we do have -- on the forex side, which you have asked, we have a good risk management governance, and we balance hedging also accordingly. And if you see all of these processes are effectively managed. That's how you see ROCE is improving and return on equity is also improving quarter -on-quarter with a business improvement.
Sucrit D. Patil: Thank you for the guidance and I wish the entire team best of luck for the next quarter.
K. P. Chigurupati : We don't give guidance, Sucrit. It's all going to be positive. That's all we can say. We have no guidance.
Sucrit D. Patil: I said thank you and best of luck for the next quarter.
Moderator: Our next question comes from the line of Abu Rafe from Wealth Catalyst. Please go ahead.
Abu Rafe : Thank you, sir. Thank you for giving me the opportunity. S ir, my question is, earlier management had indicated that paracetamol demand was weak due to elevated inventory. Could you update on the current inventory situation? Has the excess inventory largely been cleared, sir? And how does the management feel the d emand outlook for paracetamol over the next few quarters?

K. P. Chigurupati : Priyanka, you want to take that?

Priyanka Chigurupati: Sure, I can take that. Paracetamol as an absolute -- if you talk about the inventory situation, in certain markets, they have eased down. And we are seeing an increase in demand from our key customers in both APIs, PFIs and finished dosages. While we are s eeing good growth, and that's what facilitated the growth in some of our regions this quarter, we do see some amount of price erosion also in paracetamol. But in terms of inventory, the volumes are building back up.
Moderator: Our next question comes from the line of Vivek Gupta from Star Investment s. Mr. Gupta, you may please proceed with the question.
Vivek Gupta: Yes. Am I audible?
Moderator: Yes, you are.
Vivek Gupta: So sir, could you outline the expected timeline for meaningful product launches from the Genome Valley facility and like share your estimates on the incremental revenue contribution that is anticipated in FY '27?
K. P. Chigurupati : Priyanka?
Priyanka Chigurupati: I'll take that question. Yes. We are g

oing to be launching at least 1 product, if not two products, which are existing products from the G pp sites to cater to additional demand that we have. So these two products will be launched over the next couple of -- next two quarters, one to two quarters. We'll start this quarter, and we'll see an incremental revenue coming up. And we're also expecting -- once we have a European approval for that site, then we expect even more numbers to come in.
Vivek Gupta: Okay. So with oncology and high -value segments positioned as key long -term growth levers, how do you plan to scale capacity, build partnerships and progress regulatory fillings to unlock their potential?
Priyanka Chigurupati: So if you look at the 3 baskets that we have mentioned in our investor presentation, sequentially, even if you look at the R&D filings in order of how they have changed over time, you'll see that the percentage of complex generics, which is where oncology, CNS and other products come into play, they have sequentially grown. So we plan on filing a certain number of products more inclined towards complex generics in the future, while integrated generics remain a core area of focus as wel l.
Vivek Gupta: Okay. Thank you.
Moderator: Thank you. O ur next question comes from the line of Saniya from SS K Capital. Please go ahead.
Saniya : Hello. A m I audible?
Priyanka Chigurupati: Yes, you are.
Saniya : Hi, good evening. A ctually, I joined a little late. I had a question regarding that the controlled substances that are emerging as a key growth driver in the US market. Could you provide a

greater visibility on the pipeline, like the outline, the expected launch timeline ? And can you share how the management anticipate this product will contribute to your earnings for the next 2, 3 years?
Priyanka Chigurupati: I'll take that question also. When somebody -- sorry, I forget the name, but somebody spoke to me about it in the past couple of minutes. I mentioned that we should look at it as integrated generics, complex generics and others. So CNS, ADHD and controlled substances are a part of the complex generics range.
We have about 8 to 9 products in the market, 5 to 6 of which are amongst the top 3, if not number 1 in the markets today. So going forward, as immediate launches -- well, immediate launches, meaning within the next year, 1.5 years, we have about 3 launches, and they will -- 3 to 4 launches, and they will contribute to a very meaningful percentage of ou r overall growth story.
Saniya : Okay. Got it. And also regarding the tentative approval for amphetamine, could you please elaborate on the strategic importance of this molecule, particularly in the terms of potential revenue contribution and the market share?
Priyanka Chigurupati: See, I don't want to -- yes. Sorry, please finish your question.
Saniya : No, it's okay.
Priyanka Chigurupati: It is a very important -- very, very important product for us from a strategic perspective because it reinforces our strategy of filing limited competition products to be able to get -- to be able to give patients with ADHD immediate access to products by launching generics that are early to the market.

And from a manufacturing and development perspective, these are difficult products. These are products that -- some of the products have been in the market with this particular product, well, there has been one generic for a long time, but others have not been able to develop, file and get approval for this product because of the complexity involved. So overall, it is a very good product that fits exactly within the pipeline that we have envisaged for ourselves and it will contribute to a very meaningful a mount going forward.

Saniya : Okay. Got it. Thank you and best of luck.

Moderator: Thank you. A s there are no further questions from the participant, I wo

uld like to hand the conference over to management for the closing comments. Thank you and over to you, management.

K. P. Chigurupati : On behalf of the entire leadership team, I would like to thank all our shareholders, analysts and participants for taking the time to join us today. We value your insights and your continued trust. This brings our call to a close. Thank you and have a wond erful evening.

Priyanka Chigurupati: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of MUFG Investor Relations Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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